



**Government
Of the
Republic of Vanuatu**

BUDGET 2025

VOLUME 1

FISCAL STRATEGY REPORT

**INCORPORATING THE ECONOMIC AND
FISCAL UPDATE AND THE BUDGET
POLICY STATEMENT**

Foreword by the Minister

The 2025 Budget Appropriation has been finalized at a time when the economy is still recovering from the voluntary liquidation of Air Vanuatu and the effects of the devastating earthquake that struck Port Vila in December of last year. Additionally, other factors such as the slow implementation of planned capital expenditures and the impact of labour shortages have further dampened growth expectations for the year. Despite these challenges, the Government is committed to enhance service delivery and focus on relief, response and recovery efforts related to the earthquake to stimulate economic growth during this economic downturn.

Overall, estimated GDP growth for 2024 has been revised downward, from the initial forecast of 2.8 per cent to the current forecast of 2.2 per cent. This 0.6 percentage point downgrade partly reflects the significant impact of the voluntary liquidation of Air Vanuatu on the economy, particularly on services sectors such as accommodation and food, retail and wholesale, and information and communication. Another contributing factor is the slower than anticipated implementation of the 2024 Capital Budget, with many projects yet to commence, resulting in weaker growth within the construction sector. Looking ahead, growth has been downgraded for every year in the forecast, with growth now expected to reach 3.6 per cent in 2025, followed by an average of 4.0 per cent from 2026 to 2029.

The Government revenue (excluding donor financing) is estimated to decrease by 4.7 per cent from VT 47,409.3 million in 2024 to VT 45,178.6 million in 2025. This is primarily due to an anticipated reduction in both the Value Added Tax (VAT) and the Honorary Citizenship program. When including VT 15.3 million from sales of fixed assets, VT 4.0 million from currency gains and losses, VT 407.5 million from VAT paid by Departments, VT 28.6 million from trust funds and VT 4,138.6 million from issuance of Government bonds to the 2025 Government revenue (excluding donor financing) of VT 45,178.6 million, it brings to a total of VT 49,772.5 million which will be used to fund the Government Budget Appropriation of VT 49,772.5 million. This represents a decrease of 12.8 per cent compared to the 2024 original Government Budget Appropriation of VT 57,051.0 million. This significant budget reduction is mainly due to the capital budget investment which will not be continued in 2025; however, it is necessary to restore the fiscal position to a sustainable footing.

In addition to Government financing, the contributions from major development partners are gratefully acknowledged as they fall in line with the Government's budget policy priorities to enhance economic development and improve the wellbeing of all people in Vanuatu. In 2025, the Government is expected to spend a total of VT 27,093.7 million, that will be funded through grants (VT 16,845.4 million), aid-in-kind (VT 5,948.3 million) and loan drawdowns (VT 4,300.0 million).

Therefore, the total receipts from both Government and Donor financing in 2025 are estimated at VT 76,866.2 million. This amount will be allocated to fund the 2025 total Budget Appropriation of VT 76,866.2 million, that is in line with the objective of achieving a balanced budget as outlined in the 2025 Budget Policy Statement.

Vanuatu's debt sustainability is currently assessed as "high level" of debt distress. Continued support is essential from the Government, its Multilateral and Bilateral partners, development partners, and domestic market participants. The total debt stock (both domestic and external) at the end of 2025 is forecasted to be approximately VT 63,397.5 million, around 41.9 per cent of GDP (well under the threshold of 60.0 per cent). The domestic debt-to-GDP ratio is also forecasted to be 13.8 per cent by the end of 2025. The Vanuatu's Medium Term Debt Management Strategy for 2023 to 2026, will again,

express the Government's intention to source financing needs and payment obligations at the lowest possible cost, balanced with acceptable levels of risk.

To the people of Vanuatu and esteemed Members of Parliament, it is my greatest honour to announce that the preparation and finalization of the 2025 Budget is consistent with the Principles of Responsible Fiscal Management, as outlined in the Public Finance and Economic Management Act [CAP 244]. I am therefore pleased to present to you the 2025 Budget.



Hon. Johnny Koanapo Nies RASOU (MP)
Minister of Finance and Economic Management
Ministry of Finance and Economic Management

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1 Statement of Fiscal Responsibility

This statement of responsibility confirms that 2025 Budget Appropriation has been finalised in line with the Public Finance and Economic Management Act (CAP 244). On this note, the following fiscal strategy reports, economic update and fiscal update for the 2024 financial year, including the estimates over the medium term, were presented at the same time as the first appropriation bill for the 2025 fiscal year.

Statement of Responsibility

The Government remains committed to ensuring that the Budget 2025 is implemented and executed in accordance with the Public Finance and Economic Management Act (CAP 244) and the Central Tenders Board Act. Additionally, the Government will continue to pursue financial reforms, manage Government revenue and expenditure responsibly, and handle state debt prudently following international best practices. These Government efforts will ensure that there is sufficient funding to fund the Government programs and activities to improve service delivery and enhance economic growth for a better wellbeing of all the people in Vanuatu.

As the Minister and Director General for the Ministry of Finance and Economic Management, it is our honour to confirm that the Budget 2025 has been finalised in line with the Public Finance and Economic Management Act (CAP 244) and it will be our ultimate responsibility to ensure that agencies spend their budget effectively and efficiently, in line with their 2025 total Budget Appropriation.



Hon. Johnny Koanapo Rasou (MP)

Minister of Finance and Economic Management

Ministry of Finance and Economic Management



Mr. Roan Lester SUNGHK

Director General

Ministry of Finance and Economic Management

2 Budget Overview

The implementation of the 2024 Budget has been challenging due to the unexpected voluntary Liquidation of Air Vanuatu, as well as the effects of the devastating earthquake that hit Port Vila in December last year. In 2024, the Government's revenue has performed below both its forecasted budget as well as the Government's expenditure resulting in a fiscal deficit of VT 2,037.4 million. The Challenges faced with lower revenue collection during the first half of the year has forced the Government to implement some of the expenditure control measures during the last quarter of 2024.

As a result of the numerous headwinds facing the economy, projected GDP growth has been downgraded to 2.2 per cent for 2024, much slower than the growth expected in Budget 2024. The agriculture sector is expected to post growth of 2.2 per cent, while the industry is expected to expand by 1.8 per cent. The dominant services sector is expected to grow by 3.0 per cent, its weakest growth rate since the Covid-19 pandemic, with the slowdown driven by negative growth in key tourism-related sectors. Growth is expected to pick up in 2025 to 3.6 per cent, and to accelerate further in subsequent years, with growth peaking at 4.2 per cent in 2027.

The Government revenue (excluding donor financing) is estimated to decrease by 4.7 per cent from VT 47,409.3 million in 2024 to VT 45,178.6 million in 2025. This is primarily due to an anticipated reduction in both the Value Added Tax (VAT) and the Honorary Citizenship program. When including VT 15.3 million from sales of fixed assets, VT 4.0 million from currency gains and losses, VT 407.5 million from VAT paid by Departments, VT 28.6 million from trust funds and VT 4,138.6 million from issuance of Government bonds to the 2025 Government revenue (excluding donor financing) of VT 45,178.6 million, it brings to a total of VT 49,772.5 million which will be used to fund the Government Budget Appropriation of VT 49,772.5 million. This represents a decrease of 12.8 per cent compared to the 2024 Budget Appropriation of VT 57,051.0 million.

In addition, the Government anticipates to spend VT 27,093.7 million that will be funded by development partners through grants (VT 16,845.4 million), aid-in-kind (VT 5,948.3 million) and loans (VT 4,300.0 million).

In 2025, the total estimated Government receipts and external financing (Donor financing) is VT 76,866.2 million which will be allocated to fully fund the Government's total budget (Government and Donor financing) appropriation of VT 76,866.2 million.

Table 1, below, shows key economic and monetary indicators for Budget 2025.

Table 1. Key Economic and Monetary Indicators for Budget 2025

Indicator	Year			
	Actual 2022	Actual/ Forecast 2023 *	Actual/ Forecast 2024 *	Forecast Budget 2025
(1) Real GDP Growth (%)	5.2	4	2.2	3.6
(2) Nominal GDP (VT billions) **	118.9	132.6	137.5	145.6
(3) Nominal GDP per capita (VT)	365,042	409,312	425,588	444,022
(4) Annual CPI inflation (%)	6.7	11.3	1.5	1.8
(5) Current account balance (VT billions)	-15.9	-1.4	-13.6	-7.5
(6) Foreign reserves level (VT billions)	70.1	71.2	72.8	78.3
(7) Foreign reserves level (months of import cover)	9	8	7.2	8.3

* Figures for annual CPI inflation, current account balance and foreign reserves levels are actual for 2023 and 2024; figures for real GDP growth, nominal GDP and nominal GDP per capita are forecast for 2023 and 2024.

** Real GDP level and real GDP per capita level are not quoted because they do not have significance as published economic variables. This is because they show GDP at historic prices (2006 is the current base year), when prices were much lower. Real GDP levels are, however, the critical input to estimating real GDP growth. Real GDP keeps prices constant - in other words, removing price changes (inflation) to show only changes in production volumes (i.e. "real" changes) across a year. For this reason, real GDP growth is the key economic variable here (as opposed to nominal GDP growth).

So, to show GDP levels at any point in time, the latest (current) price levels are published - that is, nominal levels. For GDP growth, on the other hand, the interest is in excluding price changes and focusing solely on volume changes - that is, real changes. So real GDP growth is the variable published.

Sources

- (1) Budget 2025 Volume 1 Fiscal Strategy Report
- (2) Macro-economic Framework 2025, internal DoFT document
- (3) Macro-economic Framework 2025, internal DoFT document
- (4) Budget 2025 Volume 1 Fiscal Strategy Report
- (5) Macro-economic Projection Tool (MPT) 2025, internal DoFT/ RBV document
- (6) Macro-economic Projection Tool (MPT) 2025, internal DoFT/ RBV document
- (7) Reserve Bank of Vanuatu Quarterly Economic Review (QER) September 2024

Tables 2 and 3, beneath and overleaf, set out the summary fiscal position. Table 2 shows the recurrent fiscal position – that is, excluding donors. Table 3 summarises the fiscal position inclusive of recurrent and donor financing. The Government Finance Statistics (GFS) tables, displayed on pages 27-29, show more detail.

Table 2. Summary Fiscal Position, Budget 2025 (in VT millions) (excluding donors)

Indicator	Year			
	Actual 2022	Actual 2023	Actual 2024	Forecast Budget 2025
(1) Revenue	29,578.7	36,035.3	39,040.1	45,178.6
(2) Expenses	32,259.8	35,060.2	36,580.4	42,948.6
(3) Current Budget Surplus or Deficit: (1) - (2) = (3)	(2,681.1)	975.1	2,459.7	2,230.0
(4) Capital expenditure	1,386.3	2,032.3	4,497.0	3,237.8
(5) New Financial investment in SoEs	0.0	0.0	0.0	0.0
(6) Net Lending or Borrowing: (3) - (4) - (5) = (6)	(4,067.4)	(1,057.2)	(2,037.3)	(1,007.8)
Fiscal Balance is financed by				
(7) Change in Bank Balances	(4,020.2)	(1,305.5)	383.9	17.4
(8) New Loans to SoEs	0.0	0.0	0.0	0.0
(9) Change in Domestic Debt	2,344.1	2,186.6	3,882.7	3,426.4
(10) Change in External Debt	(2,296.8)	(2,434.9)	(1,461.4)	(2,401.1)
(11) Financing Total: (9) + (10) - (7) - (8) = (11)	4,067.5	1,057.2	2,037.4	1,007.9

(a) Strictly speaking, (6) Change in Bank Balances is the change in balances of all accounts plus the value of any unrepresented cheques.
(b) (3) Budget Surplus and (6) Net Lending are represented by positive values; (3) Budget Deficit and (6) Net Borrowing are represented by negative values (as shown by figures in brackets).

(c) An increase in (7) Bank Balances is represented by a positive value; a decrease in (7) Bank balances is represented by a negative value (as shown by a figure in brackets).

(d) An increase in (9) Domestic Debt/ (10) External Debt is represented by a positive value; a decrease in (9) Domestic Debt/ (10) External Debt is represented by a negative value (as shown by a figure in brackets).

(e)(11) Financing Total is equal to (6) Net Lending or Borrowing, except where there are differences in rounding.

Table 3. Summary Fiscal Position, Budget 2025 (in VT millions) (including donors)

Indicator	Year			
	Actual 2022	Actual 2023	Actual 2024	Forecast Budget 2025
(1) Revenue	38,379.7	46,046.0	47,425.5	62,023.9
(2) Expenses	37,919.5	37,663.7	40,913.6	59,794.0
(3) Current Budget Surplus or Deficit: (1) - (2) = (3)	460.2	8,382.3	6,511.9	2,229.9
(4) Capital expenditure	6,287.0	7,439.2	9,631.1	7,537.9
(5) New Financial investment in SoEs	0.0	0.0	0.0	0.0
(6) Net Lending or Borrowing: (3) - (4) - (5) = (6)	(5,826.8)	943.1	(3,119.2)	(5,308.0)
Fiscal Balance is financed by				
(7) Change in Bank Balances *	(5,779.6)	694.8	(697.9)	17.4
(8) New Loans to SoEs	0.0	0.0	0.0	0.0
(9) Change in Domestic Debt	47.3	2,186.6	3,882.7	3,426.4
(10) Change in External Debt	0.0	(2,434.9)	(1,461.4)	1,898.9
(11) Financing Total: (9) + (10) - (7) - (8) = (11)	5,826.9	(943.1)	3,119.2	5,307.9

Notes as per notes for Table 2 above.

3 Economic Update and Medium-Term Prospects

3.1 World Economic Outlook (WEO)

The world economy faces a complicated situation. Emerging markets and developing economies, especially in Asia, are showing strength. China, for instance, is projected to grow by 4.6 percent in 2025, helped by momentum from 2024 and a fiscal package announced in late 2024. However, advanced economies are struggling. The United States is forecast to grow by 2.7 percent in 2025, driven by strong consumer spending and a looser monetary policy. This is, however, a lower growth forecast than previously expected. The euro area is projected to see growth accelerate slightly, but remain weak at 1.0 percent in 2025, due to ongoing geopolitical tensions and weak manufacturing activity. Overall, the IMF's January 2025 World Economic Outlook (WEO) maintains its global GDP growth forecast at 3.3 percent for both 2025 and 2026. This reflects a combination of upward and downward revisions to growth projections across different economies.

Table 4. World Economic Outlook, Real GDP (annual growth in percentage)

World Economic Outlook								
	2022	2023	2024	2025	2026	2027	2028	2029
World Output	3.4	3.3	3.2	3.3	3.3	3.1	3.1	3.1
Advanced Economies	3.2	1.7	1.7	1.9	1.8	1.7	1.7	1.7
US Economy	5.9	2.9	2.8	2.7	2.1	2.1	2.1	2.1
Euro Area	3.5	0.4	0.8	1.0	1.4	1.3	1.3	1.2
Japan	1.7	1.5	-0.2	1.1	0.8	0.6	0.6	0.4
Emerging Markets & Developing Economies	4.0	4.7	5.0	5.1	5.0	4.0	3.9	3.9
China	3.0	5.2	4.8	4.6	4.5	3.6	3.4	3.3

Source: International Monetary Fund, *World Economic Outlook (WEO)*, January 2025

Advanced economies are projected to register modest growth, with a forecast of 1.9 percent in 2025, marking a slight increase from prior estimates. The United States is anticipated to spearhead this growth, achieving a robust rate of 2.7 percent, underpinned by strong consumer demand and favourable financial conditions. In contrast, the euro area is expected to experience slower growth of 1.0 percent, constrained by geopolitical tensions and ongoing policy uncertainty. Overall, while conditions are improving in certain regions, the growth outlook remains uneven, shaped by a range of domestic and external challenges faced by advanced economies.

Emerging markets and developing economies (EMDE) are projected to sustain a steady growth rate of approximately 4.2 percent in both 2025 and 2026, demonstrating resilience amidst global uncertainties. China's growth is expected to show slight improvement, reaching 4.6 percent, supported by fiscal measures and a gradual recovery in consumer activity. India's growth remains robust at 6.5 percent. However, challenges such as increased trade policy uncertainty and geopolitical tensions present ongoing risks, notably in regions like Latin America and Central Asia, where growth dynamics exhibit significant variation. Overall, while EMDE show potential for stable growth, their outlook is influenced by both internal factors and broader global economic conditions.

Global inflation is projected to gradually decline, with forecasts of 4.2 percent in 2025 and 3.5 percent in 2026, as economies address the consequences of previous inflationary pressures. This disinflation process is marked by a convergence toward target inflation levels in advanced economies, while emerging markets and developing economies may face more persistent inflation challenges. Contributing factors to this trend include easing commodity prices and moderating wage growth; however, elevated inflation remains in certain areas, particularly in the services sector. Central banks are exercising caution, with some maintaining restrictive policies to combat ongoing inflationary risks, highlighting the complexity of managing inflation dynamics across diverse global economic contexts.

The outlook for global growth presents a mix of upside and downside risks, creating a challenging situation for policymakers. On the positive side, stronger-than-expected economic performance in the United States could enhance global activity, especially if supportive fiscal measures effectively stimulate demand. However, significant downside risks persist, primarily due to increased policy uncertainty, geopolitical tensions, and potential trade disruptions that could negatively impact investment and market stability. Furthermore, ongoing inflationary pressures in various economies may lead central banks to implement tighter monetary policies, complicating the growth trajectory even further. Consequently, the balance of risks is skewed toward the downside, highlighting the necessity for careful monitoring and flexible policy responses to address this complex situation.

3.2 Regional Economic Outlook (REO)

Pacific Island Countries (PICs) are experiencing a steady recovery, supported by the reopening of borders and a rebound in tourism and remittances. Tourism-dependent economies like Fiji have seen significant progress, with Fiji achieving strong growth after reaching near pre-pandemic tourist levels in 2023. This recovery is expected to positively influence other tourism-reliant nations in the region.

The October 2024 IMF World Economic Outlook (WEO) projects regional growth (excluding Australia and New Zealand) at 3.2 percent in 2024, increasing slightly to 3.3 percent in 2025 before moderating to 2.8 percent in 2026. These figures reflect a stable recovery trajectory, driven by improved external demand and domestic policy support. Resource-rich economies like Papua New Guinea are expected to benefit from steady commodity exports, while smaller island nations will continue to rely on development assistance and remittance inflows.

Australia's economy is projected to grow at an average annual rate of 1.2 percent in 2024 and 2.1 percent in 2025, supported by resilient consumer demand and robust commodity exports, while inflation is anticipated to moderate. The Reserve Bank's prudent monetary policy, alongside a focus on infrastructure investment and the transition to renewable energy, will bolster economic stability. In New Zealand, the economy is projected to grow by 0.04 percent in 2024, with a more pronounced recovery forecasted at 1.9 percent in 2025. The modest growth in 2024 reflects ongoing adjustments within the economy. A resurgence in tourism and robust agricultural exports are expected to drive a stronger recovery in 2025, supported by a tight monetary policy framework aimed at controlling inflation. The economic expansion in Australia and New Zealand is likely to provide benefits to Pacific Island economies through enhanced trade opportunities and regional cooperation, thereby facilitating crucial aid and infrastructure development projects.

Inflationary pressures are easing across the overall region, reflecting tighter monetary policies globally and domestically. This has alleviated some of the cost-of-living pressures faced by households, though vulnerabilities remain due to external factors like global commodity price fluctuations.

However, the region remains highly exposed to external shocks. The ongoing Russia-Ukraine conflict poses risks to global supply chains and trade, which could disrupt growth prospects or reignite inflationary pressures. Furthermore, climate change continues to be a critical challenge for PICs, with rising sea levels and extreme weather events threatening long-term economic sustainability. As such, multilateral cooperation and investment in climate resilience remain essential for safeguarding the region's future.

Table 5. Regional Economic Outlook, Real GDP (annual growth in percentage)

Country	2022	2023	2024	2025	2026	2027	2028	2029
Pacific Region (excl Aus&NZ)	2.3	2.7	3.9	3.3	2.8	2.3	2.0	2.1
Fiji	19.8	7.5	3.0	3.4	3.4	3.3	3.3	3.1
Kiribati	3.9	4.1	5.8	4.1	3.3	2.5	2.1	2.1
Marshall Islands	-1.1	-3.9	5.0	3.5	2.8	2.5	2.0	2.0
Micronesia	-0.9	0.8	1.1	1.7	1.1	0.8	0.7	0.7
Nauru	3.0	0.6	1.5	1.4	1.6	1.6	0.8	1.8
Palau	-1.7	0.9	8.1	8.5	6.1	2.3	2.0	1.7
Papua New Guinea	5.2	2.9	4.6	3.7	3.4	3.0	3.1	3.1
Samoa	-5.3	8.0	9.7	4.2	2.5	2.1	2.0	2.0
Solomon Islands	2.4	3.1	2.3	2.5	2.6	3.0	3.0	3.0
Tonga	0.0	2.0	1.8	2.4	2.0	1.6	1.4	1.2
Tuvalu	0.4	3.9	3.5	3.0	2.5	2.2	2.1	2.0
Vanuatu	1.9	2.2	0.9	1.5	2.1	2.5	2.0	2.0
Australia	3.9	2.0	1.2	2.1	2.2	2.2	2.3	2.3
New Zealand	2.4	0.6	0.0	1.9	2.4	2.4	2.4	2.4

Source: IMF WEO Oct, 2024 & staff calculations

3.3 Vanuatu Economic Outlook (VEO)

The Vanuatu economy demonstrates resilience in the face of both domestic and international challenges. While the projected real GDP growth forecast for 2024 has been revised to 2.2 per cent, down from the earlier estimate of per cent, the economy shows signs of adaptability and potential for recovery.

The services sector, despite facing headwinds, continues to be a cornerstone of the economy. The entry of new airlines and expansion of existing ones following Air Vanuatu's restructuring presents opportunities for revitalizing tourism and related services. This development could lead to a faster-than-anticipated rebound in air travel, potentially boosting the tourism sector and creating positive spill overs to other sectors of the economy.

The industry sector, particularly construction, holds potential for growth as the implementation of capital budget projects progresses. While there have been delays, the eventual execution of these projects is expected to not only benefit the industry sector but also enhance overall productivity and infrastructure, supporting long-term economic development.

The agriculture sector remains a key driver of the economy, demonstrating resilience in the face of challenges such as the Coconut Rhinoceros Beetle. The sector continues to adapt, with opportunities for growth in commodity production and potential for developing niche markets and value-added products.

Inflation has been successfully brought under control, decreasing from a peak of 14.4 per cent in 2023 to 2.2 per cent in Q2 of 2024, well within the Reserve Bank of Vanuatu's target range. This achievement in controlling inflation provides a stable environment for businesses and consumers, supporting economic activity.

The medium-term outlook remains cautiously optimistic, with growth expected to average 3.7 per cent over 2025-2029. This positive trajectory reflects confidence in Vanuatu's economic fundamentals and its capacity to leverage opportunities across various sectors.

Table 6. DOMESTIC ECONOMIC OUTLOOK, Real GDP (annual growth in percentage change)

	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Agriculture, Fishing and Forestry Sector	-2.7	2.7	3.9	-0.9	2.2	2.4	3.1	3.4	3.5	3.1
Industry Sector	4.0	-1.3	-19.7	4.6	1.8	8.9	8.3	8.8	3.9	4.1
Services Sector	-6.7	0.4	7.8	4.6	3.0	3.9	3.7	3.9	3.7	4.0
Real GDP Growth (2006 Prices)	-5.0	-1.6	5.2	3.0	2.2	3.6	3.9	4.2	3.9	4.1

Source: Vanuatu Bureau of Statistics and Macroeconomic Committee (MEC) 3 2024 Estimates

Remittance flows, while expected to be weaker, have the potential to outperform expectations, which could boost output through increased household consumption. This, coupled with the government's ongoing efforts to address challenges and implement supportive policies, provides a foundation for economic recovery and growth.

While risks persist, including climate-related threats to agriculture and potential delays in capital project implementation, Vanuatu's diverse economic base and adaptability position it to navigate these challenges. The government's continued

focus on addressing key issues, such as improving the ease of doing business and maintaining international financial relationships, will be crucial in supporting investor confidence and long-term economic stability.

3.3.1 Agriculture, Forestry, and Fishing Sector

The agriculture, forestry, and fishing sector remain a key driver of growth in the Vanuatu economy but faces significant challenges. Despite these challenges, the sector is expected to grow in real terms by 2.2 per cent in 2024, down from the 2.8 per cent forecast in Budget 2024.

The crop production sector is expected to grow by 2.3 per cent in 2024, following a contraction of -1.8 per cent in 2023 due to the effects of tropical cyclones Judy and Kevin. The animal production sector is expected to grow by 1.3 per cent in 2024 and followed by a 2.2 per cent in 2025, before averaging around 2.3 per cent for the period 2026-2029. The forestry subsector is expected to grow by 1.9 per cent in 2024, with growth expected to pick up in 2025 to 3.2 per cent off the back of a rebound in domestic demand. The fishing sector is expected to grow by 3.1 per cent in 2024 and maintain a solid growth averaging 2.8 per cent from 2025-2029.

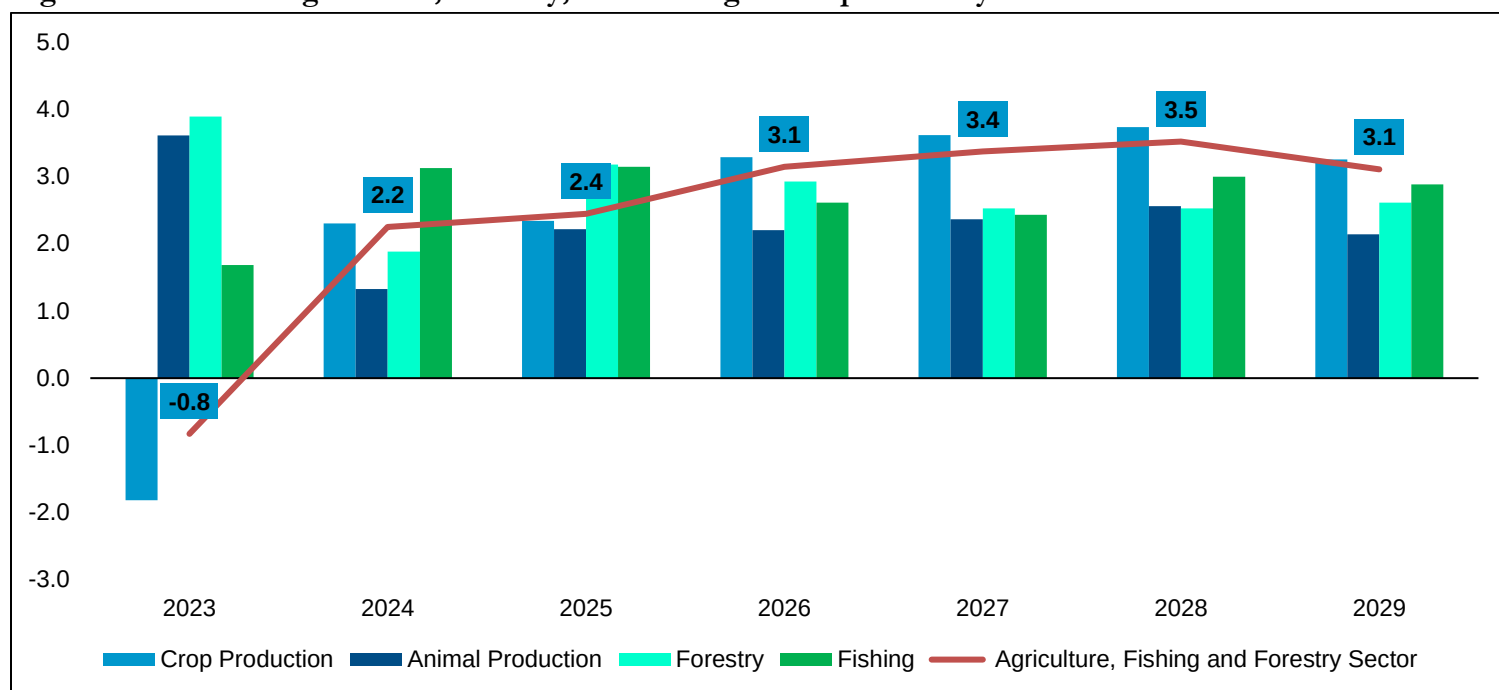
The agriculture, forestry, and fishing sector face several challenges, including natural disasters such as tropical cyclones, weak export markets for key commodities, supply chain disruptions, labor shortages, and delays in capital budget implementation. These challenges are further exacerbated by the ongoing impacts of climate change, which is causing more frequent and severe weather events.

Despite these challenges, there are also opportunities for growth in the sector. Increased demand for agricultural products, both domestically and internationally, rising prices for certain commodities, and government support for the sector are all factors that could contribute to growth.

To capitalize on these opportunities and address the challenges, the government will need to implement effective policies and strategies to support the sustainable growth of the agriculture, forestry, and fishing sector. This could include investing in infrastructure, improving market access for local producers, providing technical assistance to farmers, and promoting sustainable agricultural practices. Additionally, the government could also explore ways to reduce the sector's vulnerability to climate change, such as developing climate-resilient crops and promoting sustainable land management practices.

By taking these steps, the government can help ensure that the agriculture, forestry, and fishing sector continues to contribute to Vanuatu's economic growth and development.

Figure 1: Growth of Agriculture, Forestry, and Fishing Sector per cent by subsectors



Source: Macroeconomic Committee (MEC) estimates

3.3.2 Industry Sector

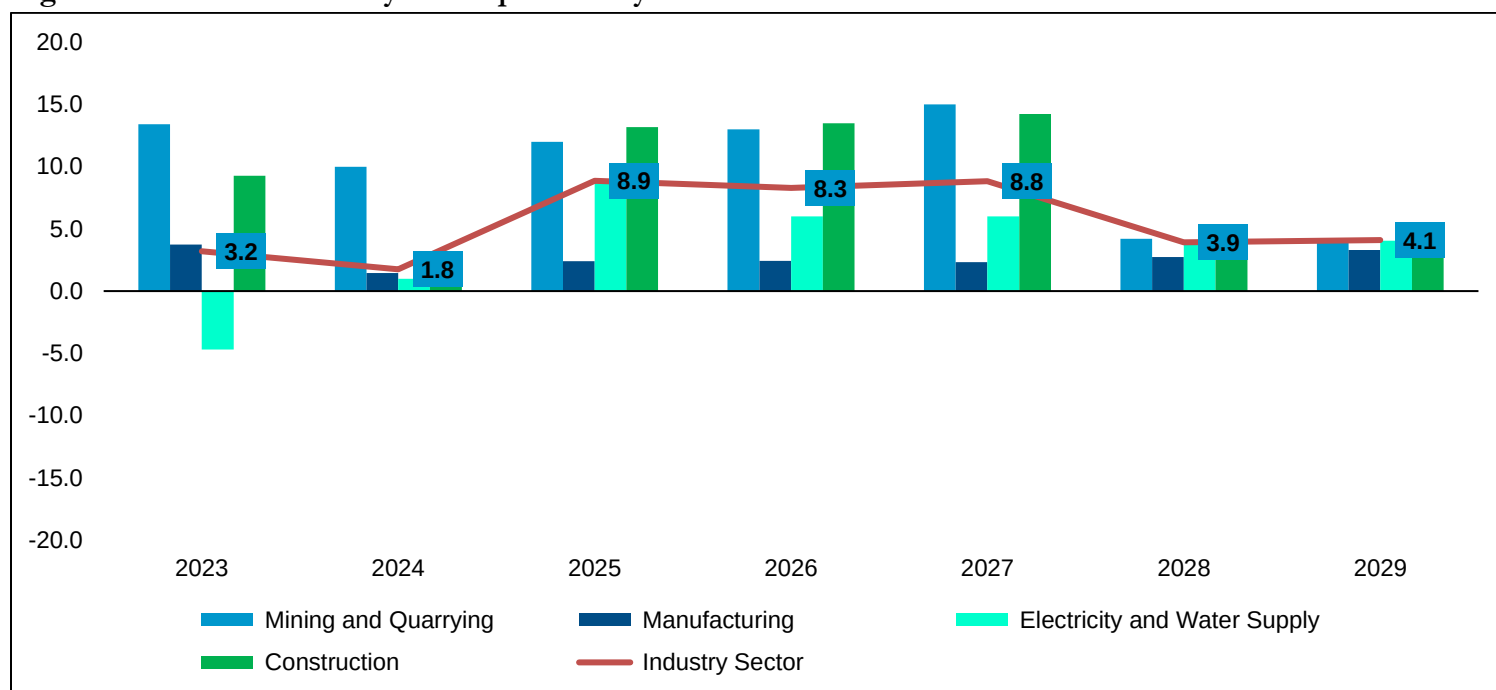
The industry sector is expected to experience a significant slowdown in real terms growth in 2024 to 1.8 per cent, primarily due to delays in the implementation of the capital budget. However, the sector is projected to rebound in 2025, with expansion of 8.9 per cent, and to maintain a steady growth rate over the medium term.

Construction is the main driver of growth in the industry sector. The construction subsector is expected to expand by just 2.3 per cent in 2024 due to delays in capital project implementation but rebound to 13.2 per cent in 2025 driven by delivery of these projects. Over the medium term, growth in the construction sector is expected to remain on average at 9.2 per cent per year, supported by projects such as the South Santo, Pentecost, Tanna, and Ambae roads. The mining and quarrying subsector is expected to mirror trends in the construction subsector, with lower growth in 2024 than previously forecast but with strong growth in 2025.

The electricity and water subsector are expected to be impacted by weaker construction growth, with output now expected to grow at 1.0 per cent in 2024. The sector is also likely to be impacted by lower tourism numbers, which will result in less electricity demand from hotels and resorts. However, growth in the electricity and water subsector is expected to average 5.8 per cent over the period 2025 to 2029, driven by increased activity within construction, and expanded grid connectivity in outer Islands resulting in higher demand for electricity consumption.

Growth in the manufacturing subsector in 2024 and 2025 is expected to reach 1.5 per cent and 2.4 per cent respectively. In the short term, the food and beverage manufacturing subsector is expected to be impacted by lower tourism arrivals resulting in lower demand for beverages. However, in the medium term, a turnaround in tourism arrivals will boost demand for consumption. In addition, ongoing government support towards the Industry Development Fund (IDF), Industry Support Fund (ISF) and Micro Small and Medium Enterprise (MSME) projects that target domestic production and exports will also support consumption.

Figure 2: Growth of Industry Sector per cent by subsectors



Source: Macroeconomic Committee (MEC)

3.3.3 Services Sector

The Services sector is expected to grow by 3.0 per cent in 2024, this is a decline from a much stronger growth of 4.6 per cent in 2023. The outlook in 2025 shows an increase in growth reaching 3.9 per cent after leveling to 3.0 per cent over the medium term.

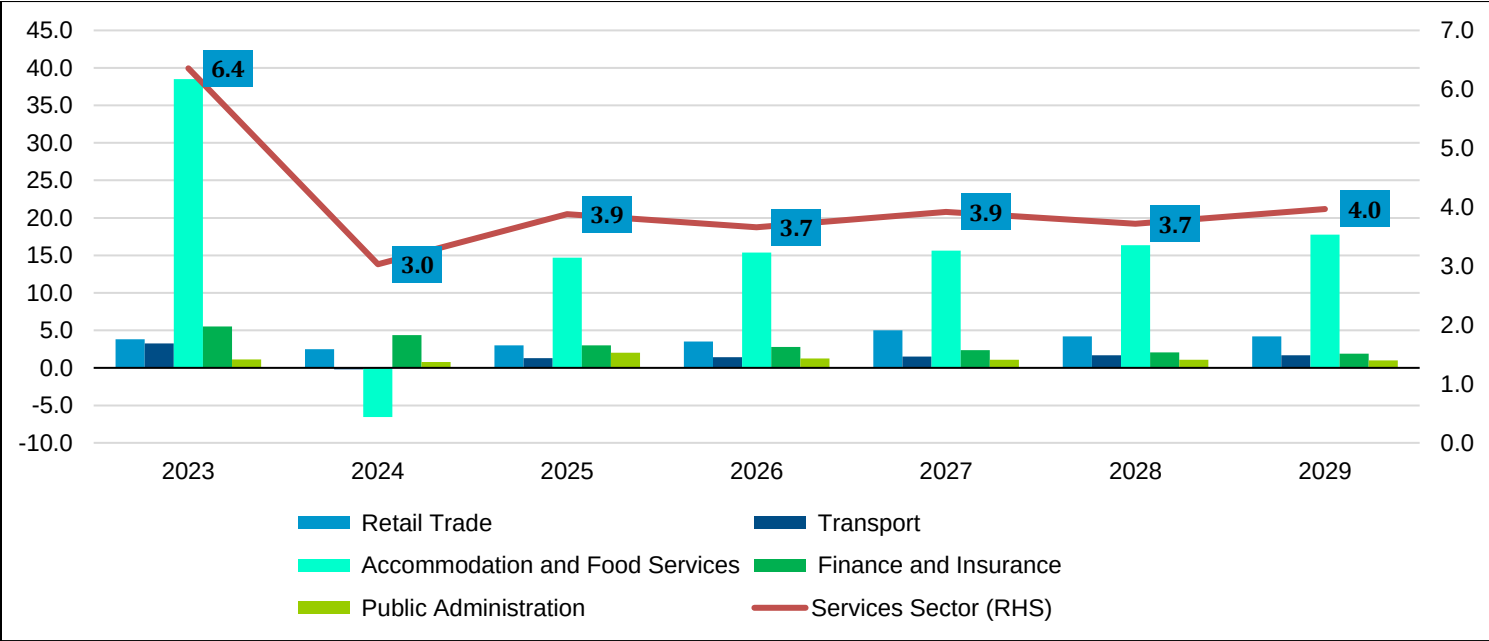
The Transport sector reflects a negative growth of 0.2 per cent in 2024 after a growth of 3.2 per cent in 2023, mainly driven by a contraction of 5 per cent growth in the Air Transport sub-sector, evidencing the detrimental effects of the Air Vanuatu voluntary liquidation at the beginning of the year where both international and domestic flights ceased operating. The Land and Sea transport sector yields a positive growth of 6.5 per cent compared to 5 per cent in 2023 to compensate for air travel loss and the increased demand for inter-island connectivity. The Accommodation and Food sector has also experienced a weaker growth in 2024 compared to 2023, a decline from 92 per cent in to a negative 6.5 per cent in 2024 driven by weak tourism arrivals and activities. Although other airlines have commenced flights into the country, the incoming tourist arrivals is forecasted to fall short of reaching 2023 tourist levels. Hotels and Restaurants in the same way were heavily impacted, especially in locations outside Efate. The growth in this sub-sector has been revised down from 60 per cent in 2023 to a negative -10 per cent growth in 2024. The confidence in domestic travel by air is lacking and it may take some time before the tourism sector improves. With these events, other sectors such as Telecommunication also saw a reduction in growth from 5 per cent in 2023, now reaching 2.0 per cent in 2024.

Additionally, Australia and New Zealand have embarked on other visa options competitive to workers from Vanuatu. A reduction in the number of seasonal workers is highly expected in 2024. The reduction in the inflow of remittances drives down domestic spending in the Retail Trade sector from a height of 3.8 per cent growth in 2023 to 2.5 per cent in 2024, coupled also with the impact of tourism activities.

On the other hand, the Real Estate sector has experienced an increase in growth from 9.9 per cent in 2023 to 10.1 per cent in 2024 driven by strong domestic demand in the market. The re-introduction of international flights has increased

demand from abroad coupled with the recent land lease extension; the sector is expected to foster more growth and activities in 2025 henceforth.

Figure 3: Growth of Services Sector per cent by subsectors



Source: Macroeconomics Committee (MEC)

The projection entails that growth in the Public Administration sector is also expected to rise from 1.1 per cent in 2023 to a slight growth of 0.8 per cent in 2024. A reflection of structures being ceased for the implementation of the GRT assessment, the halt on recruitment as a cost cutting measure in relation to Government fiscal challenges and the laying off of teachers under the Education sector.

Moreover, the Capital budget implementation has not fully started in 2024 but the spillovers of the infrastructure projects in this sector should be realized in 2025 and onwards once projects are fully implemented.

3.4 Monetary Sector Development

The Reserve Bank of Vanuatu (RBV) maintained its tight monetary policy stance up to February 2025. Accordingly, the policy rate and Capital Adequacy ratio (CAR) were maintained at 2.75 percent and 12.0 percent, respectively. Furthermore, Statutory Reserve Deposit (SRD) ratio was kept at 5.50 percent, the level of Open Market operations remained at VT200 million per month and the Bank’s Imports Substitution and Export Finance Facility (ISEFF)¹; and the Disaster Reconstruction Credit Facility (DRCF)² remained active. These policy measures were executed in 2024 to further address the on-going high level of excess liquidity and non-performing loans (NPLs) in the banking system and to ensure that the RBV’s objectives of price stability and adequate level of foreign reserves are achieved.

¹ ISEFF is a back- to-back lending facility to businesses offered through commercial banks
² DRCF is offered to businesses through commercial banks for the purpose of rehabilitation and reconstruction post disasters

In terms of monetary policy targets, inflation has fallen below the RBV's lower target range of 0 to 4 percent in the September quarter of 2024. Annual headline inflation recorded a decline of 1.9 percent (deflation) in September 2024, lower than 2.2 percent in June 2024 and 12.1 percent in September 2023.

Official foreign reserves remained above the minimum threshold of 4.0 months of import cover throughout 2024.

Growth in money supply moderated throughout 2024, owing to offsetting movements in its determinants. Domestic credit; following the surge in government borrowing from the banking system combined with gradual rise in private sector credit was offset by a weaker growth in net foreign assets amid slow global conditions. The Government's net credit position with the banking system deteriorated throughout 2024. This largely reflected the expansion in the Government's domestic borrowing; mainly by the issuance of Government Bonds and the withdrawal of Government deposits with both the RBV and commercial banks. The moderated growth in private sector credit was mainly attributed to a strong increase in personal loans; investment loans grew moderately reflecting slow growth in economic activities. The Money growth in 2025 is expected to expand steadily reflecting higher inflows anticipated from donors, insurance payment for recovery and persistent increases expected for domestic credit.

In terms of financial stability, commercial banks in Vanuatu remained profitable, highly liquid and were well capitalised as at end of 2024. Non-performing loans (NPLs) and Corresponding banking relationships continue to remain as main issues of concern for commercial banks. However, it is worth noting that, the RBV is working in a collaborative manner with the commercial banks and relevant stakeholders to address these issues. Generally, majority of the commercial banks loan books are performing loans and they continue to maintain adequate levels of provisioning against any expected losses. Therefore, financial stability is expected to be maintained in the short to medium term.

3.5 Inflation

Vanuatu's year on year headline inflation rate declined by 1.9 percent in the September quarter of 2024, way lower than 12.1 percent in the September quarter of 2023. Prices have eased reflecting mainly high peaks recorded in 2023, adequate (food) supplies due to no domestic supply shocks throughout the year, and lagged effects of reduction in international commodity prices. The underlying inflation rate rose by 2.3 percent over the September quarter 2024 period compared to 11.2 percent over the September quarter 2023 period. The main categories contributing to the year-on-year inflation over the September 2024 reviewed period were food, drinks and tobacco, housing & utilities, and communication prices. Accordingly, decreases were driven by notable decreases in prices of fruits and vegetables, wines and spirits, electricity and water supply charges and purchasing of new sim cards.

In terms of outlook, the year-ended headline inflation is projected to remain low (compared to previous two years) over the short term with upside risks still imminent (i.e. cyclone impact, worsening global conditions). Accordingly, the IMF³ forecasts global prices to reduce to 4.2 percent in 2025 and a further 3.5 percent in 2026 underpinned mainly by reduced energy prices driven by weak Chinese demand and strong supplies from countries outside of OPEC. These would translate to domestic transport-related prices easing domestic prices with expected spillover effects to other domestic prices as well. In terms of non-energy prices (in particular food and beverage prices), mixed perceptions are in place. Domestic food related prices are expected to remain low due to adequate supplies and high competition of related domestic suppliers with upside risks of domestic supply shock caused by cyclones and increased import prices due to global supply chain disruptions. The RBV remains committed to further tighten its policy tools to control the level of liquidity and overall inflation.

³ IMF January world economic outlook (WEO) 2025

3.6 Balance of Payments

Vanuatu's current account balance (CAB) is estimated to have deteriorated in 2024⁴ due mainly to deteriorations of the trade account balance and income balances. Accordingly, trade balance accounts are estimated to be driven mainly by the decline of service receipts from abroad primarily due to Air Vanuatu issues and increased imports of goods. In addition, income balances are estimated to have been mainly driven by reductions in government revenue from abroad. Consequently, overall official foreign reserves held by the RBV continue to remain within threshold of more than 4 months of imports, reaching VT 69,743 million in November 2024 relative to VT71,296 million in November 2023. In terms of outlook, the CAB is estimated to further worsen in 2025 due mainly to increased payments abroad (imports of goods and services) for recovery purposes and reductions of service receipts with offsets from increased primary income receipts and grant transfers from abroad. RBV's official foreign reserves are expected to remain within threshold over the short to medium term with risks of persistent high import payments, unscheduled government external debt and exchange rate fluctuations in place, as the Bank continues to monitor both domestic and international developments.

3.7 Exchange Rate Developments

Movements of the Vatu vis-à-vis the major foreign trading currencies reflect developments in the economic and financial conditions of Vanuatu's major trading partners. In 2024, the Vatu depreciated against the USD and Euro by 1.1 percent and 4.8 percent on average terms respectively while it appreciated against the AUD and NZD by 1.9 per cent and 0.7 per cent in average, respectively. The RBV continues to pursue a stable nominal effective exchange rate in support of the current adequate levels of foreign reserves in the Banking system.

4. Fiscal Update and Projections

4.1 Budget Balance

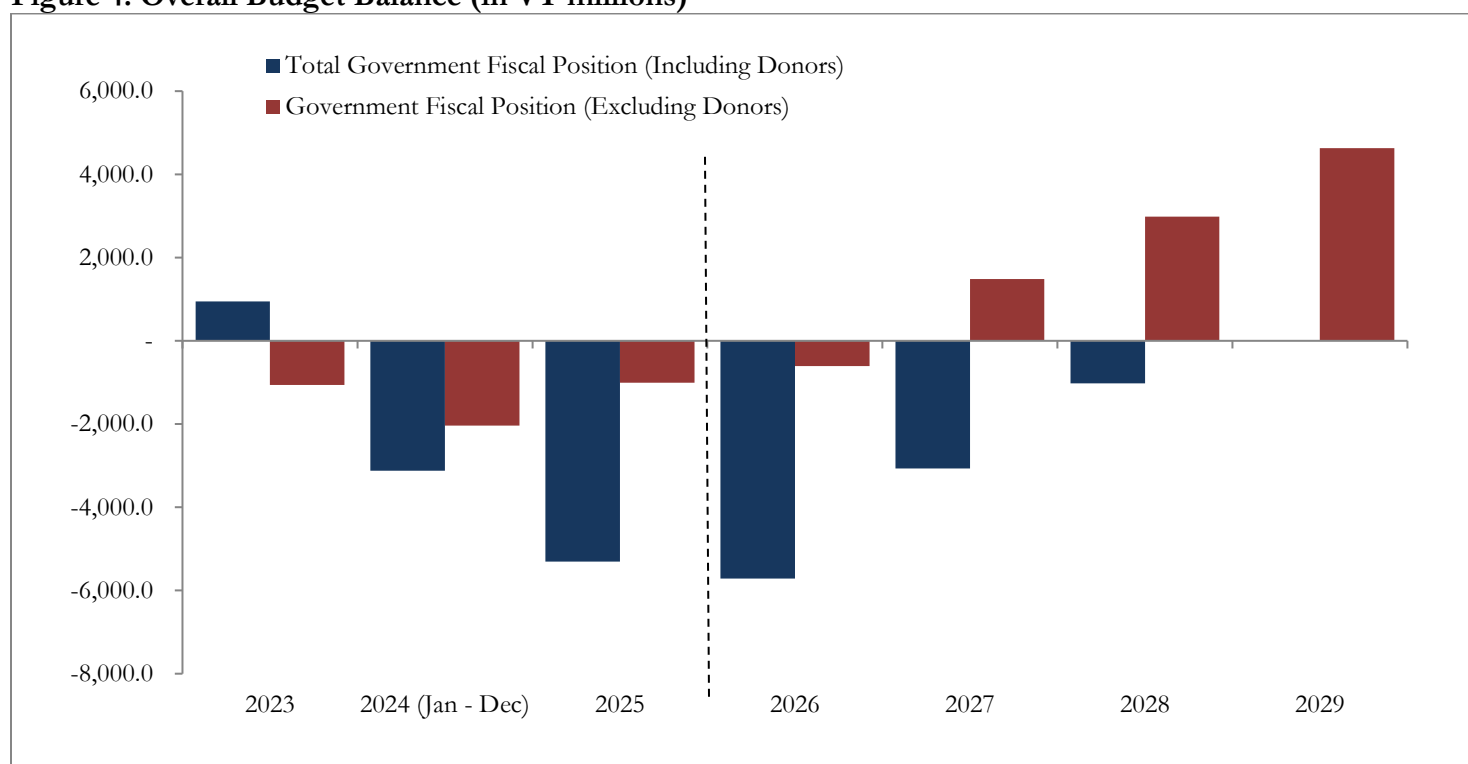
In 2024, the Government's net operating position excluding donors financing has recorded a net operating surplus of VT 2,459.7 million at the end of December. Including net acquisition of nonfinancial assets of VT 4,497.0 million, the Government has a fiscal deficit of VT 2,037.4 million.

In 2025, the Government's net operating position excluding donor financing is estimated to operate at a surplus of VT 2,229.9 million and will remain positive with surplus over the medium term. In contrast, the development financing is estimated to operate at a balanced net operating budget but a fiscal deficit of VT 4,300.0 million which will be financed entirely by external loan drawdowns.

In aggregate, the Government's position (including donor financing) is estimated to receive VT 76,866.2 million to fund the total Government's Budget Appropriation of VT 76,866.2 million to achieve a balanced budget in 2025. The objective of achieving a balanced budget will also be maintained over the medium term for prudent fiscal management. On this note, the Government will continue to ensure that fiscal discipline and responsibility are maintained, to enhance sound public financial management while improving service delivery and economic development.

⁴ January to September 2024 estimates

Figure 4: Overall Budget Balance (in VT millions)



Source: Ministry of Finance and Economic Management

4.2 Government Revenue – January to December 2024

The Government revenue collection (excluding Donor Financing) at the end of December has performed below the budget forecast, recording VT 39,040.1 million. This represents 82.3 per cent of the revised budget target of VT 47,409.3 million and is 8.3 per cent higher than the VT 36,035.3 million that was collected during December last year.

Tax collection continues to be a substantial source of the Government revenue recording VT 23,956.9 million at the end of December. VAT, the largest individual tax revenue stream, brought in VT 11,993.7 million of revenue at the end of December. This represents 67.7 per cent of the annual budget target of VT 17,705.2 million⁵ and is 12.3 per cent higher than the VT 10,682.0 million that was collected during the same period in 2023.

Excise tax collection has been the second main source of Government tax revenue at the end of December collecting a total of VT 3,569.7 million, which is 98.4 per cent of the budget target of VT 3,627.1 million. This is 14.0 per cent lower than the VT 4,152.1 million that was collected during the same period last year.

Taxes on international trade and transactions, constituting import and export duties recorded a total of VT 3,974.3 million at the end of December. This comprises 88.8 per cent of the budget target of VT 4,474.8 million and it is 18.9 per cent lower than the VT 4,902.0 million that was collected during the same period last year.

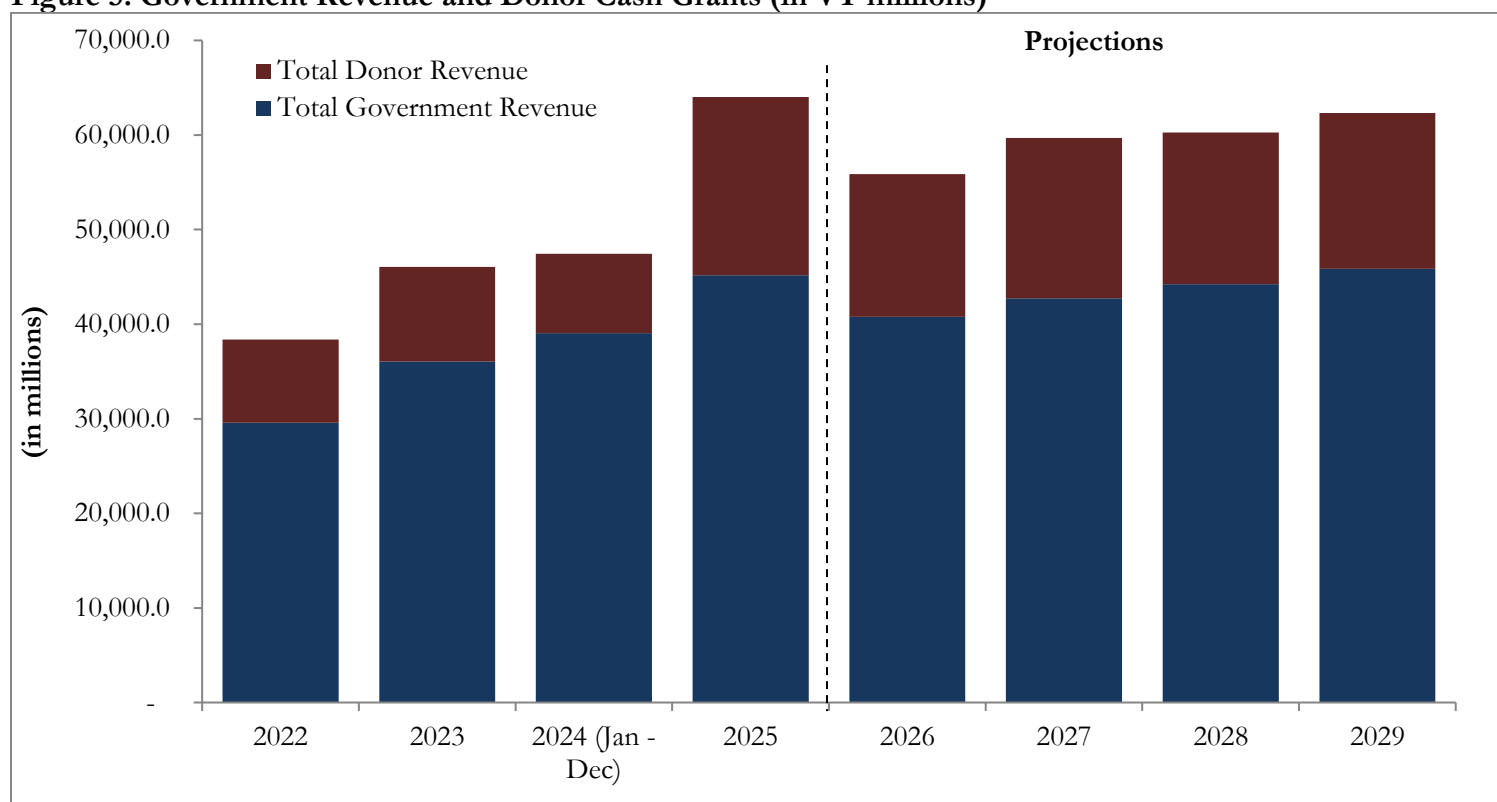
Revenue from property taxes totalled VT 705.8 million at the end of December, which represents 72.0 per cent of its 2024 budget target of VT 980.3 million.

⁵ The VT 17,705.2 million budget for net VAT collections is the VAT expected to be received by the Government (VT 18,099.8 million) minus the VAT to be paid by the Government (VT 394.7 million).

At the end of December, collections of other Government revenue (predominantly fees and charges) totalled VT 13,793.7 million, which is 79.6 per cent of its budget target of VT 17,334.2 million. The main component of this category is revenue from the Honorary Citizenship Programs comprising the Vanuatu Development Support Program (VDSP) and the Vanuatu Contribution Program (VCP) and the Capital Investment Immigration Plan (CIIP). Altogether collected VT 9,399.2 million at the end of December, representing 85.6 per cent of the budget target of VT 10,983.8 million and is 12.0 per cent higher than the VT 8,399.1 million that was collected during the same period last year.

Vanuatu also received budget support from its development partners totalling VT 1,289.4 million⁶ through Asian Development Bank (VT 964.5 million) and 11th EDF programs (VT 156 million). At the end of December, the Government had received VT 8,385.4 million in project grants from development partners, representing 94.0 per cent of the revised budget target of VT 8,917.5 million⁷. The major contributing donors so far are the World Bank Contributions (VT 2,323.4 million), New Zealand Contributions (VT 1,344.2 million), China Contributions (VT 864.3 million), the International Development Association (VT 616.5 million) and Australia Contributions (VT 516.2 million). The Vanuatu Government continues to gratefully acknowledge the support of its development partners.

Figure 5: Government Revenue and Donor Cash Grants (in VT millions)



Source: Ministry of Finance and Economic Management

This brings the total Government revenue (including donor financing) to VT 47,425.5 million at the end of December. This represents 84.2 per cent of the revised budget target of VT 56,326.8 million and is 3.0 per cent higher than the VT 46,046.0 million recorded during the same period last year.

⁶ The Budget support amount will change due to unposted journals for the earthquake recovery related Budget support.

⁷ The 2024 Donor Revenue original budget of VT 7,868.2 million has increased by VT 1,049.3 million to reflect project grants from development partners for the normal supplementary budget (VT 382.1 million) and the financial emergency supplementary budget (VT 667.2 million).

4.3 Revenue Estimates in the Integrated National Budget 2025

4.3.1 2025 Revenue Projections

The Government revenue (excluding Donor financing) is estimated to decrease by 4.7 per cent from VT 47,409.3 million in 2024 to VT 45,178.6 million in 2025 mainly due to the estimated decline in both the VAT and the Honorary Citizenship Program. However, in 2025, the Government will continue to rely on the existing tax regimes with more emphasis on the compliance of tax policy and administration.

In 2025, VAT, the major revenue item is estimated to collect VT 13,730.0 million⁸ representing 22.5 per cent less than VT 17,705.2 million in budget 2024. Meanwhile, the Honorary Citizenship Program is estimated to decrease by 30.5 per cent from VT 10,983.8 million in 2024 to VT 7,629.5 million in 2025. Furthermore, there are also some reductions in administrative fees and charges. In contrast, Taxes on international trade and transactions is estimated to increase its collection by 10.3 per cent from VT 4,474.8 million in 2024 to VT 4,937.8 million in 2025. Excise tax on the other hand, is estimated to increase its collection by 3.3 per cent from VT 3,627.1 million in 2024 to VT 3,747.2 million in 2025. Budget support is also estimated to increase by 3,265.3 per cent in 2025, from VT 182.0 million in 2024 to VT 6,124.8 million. In 2024, the Government strengthened its mechanisms for policy dialogue and mobilisation of budget support with key development partners – including Australia, New Zealand, the Asian Development Bank (ADB) and the World Bank – through the formalisation of the Joint Policy Reform Group (JPRG). Through this mechanism, actual receipts of budget support in 2024 totalled VT 1,289.4 million (substantially higher than the VT 182.0 million budgeted). In 2025, the JPRG mechanism is expected to be strengthened with additional budget support commitments from the JPRG partners against a Government-led policy action matrix, including significant financial support for response and recovery efforts for the 2024 category 7.3 magnitude earthquake.

In addition to the Government revenue collection estimates of VT 45,178.6 million, VT 15.3 million is estimated from the sales of fixed assets, VT 4.0 million from currency gains and losses, VT 407.5 million from VAT paid by Departments, VT 28.6 million from the safety and security levy trust fund and VT 4,138.6 million from issuance of Government bonds aggregates to a total of VT 49,772.5 million which will be used to fund the Government Budget Appropriation of VT 49,772.5 million. This represents a decrease of 12.8 per cent compared to the 2024 Government Budget Appropriation of VT 57,051.0 million.

In 2025, the Government is estimated to receive a total of VT 27,093.7 million worth of project grants (VT 16,845.4 million), Aid in Kind (VT 5,948.3 million) and loan disbursement (VT 4,300.0 million) from its major development partners. This represents an increase of 31.7 per cent from the original budget of VT 20,571.8 million in 2024.

The total estimated revenue (Government and donor financing) in 2025 is VT 76,866.2 million. This represents a 1.0 per cent decrease from the VT 77,622.8 million in the 2024 original Budget.

⁸ The VT 13,730.0 million budget for net VAT collections is the VAT expected to be received by the Government (VT 14,137.5 million) minus the VAT to be paid by the Government (VT 407.5 million).

4.3.2 Revenue Measures 2024 and 2025

Vanuatu has witnessed a stagnant growth in its revenue base with the lack of direct taxation being a contributing factor. The biggest share of its indirect taxes is collected in the form of fees, permits, licenses, and charges, and the Government anticipates revenue collections to improve further through these programs in 2025.

Among other revenue policy efforts, Value Added Tax (VAT) will remain the primary source of revenue for the financial year 2025. The Government aims to address VAT collection and leakage in the 2025 financial year through Government contracts and Tender Board, especially low value procurement. Another, significant area for strengthening VAT compliance effectiveness and efficiency is the implementation of a VAT monitoring system in this financial year.

The Government has also agreed that certain business institutions, in which the Government owns stocks or is a guarantor, will pay dividends in 2025. These include the Reserve Bank of Vanuatu, Vanuatu Posts Ltd., Ifira Wharf and Stevedoring Ltd., Northern Island Stevedoring Company Limited and the National Bank of Vanuatu.

One of the most lucrative programs that has under-performed against its projected revenue target is the citizenship program, which has recently received attention due to its continued declining trend in collections. It has become clear that the citizenship program's revenue collections will not be the same as they were in the past. Revenue collection has continued to decline in both the financial years 2023 and 2024. Authorities are now reviewing the policies governing this initiative and recommending policy adjustments that will help the program survive into the future.

A Revenue Governance Committee and a Revenue Technical Committee were appointed by the Minister responsible for Finance and Economic Management to assist the Government in its efforts to expand its domestic revenue base. These committees are expected to be active in this financial year and have been mandated in their respective TORs to work in close collaboration with respective revenue-raising Government ministries and agencies to identify potential revenue initiatives that can be implemented to bring in much needed revenue. Ministries are also encouraged to establish their own Revenue Governance Committees to ensure ownership and successful implementation of new revenue initiatives.

Vanuatu Commitments with OECD Global Forum and EU Code of Conduct

Vanuatu continues in its efforts to meet international standards of good tax practices. This includes the ones set by the OECD's Global Forum on Transparency and Exchange of Information for Tax purposes (Global Forum) and the European Union's Code of Conduct Group (EU CoCG).

Vanuatu is listed on Annex 1 (the so called blacklist) of the EU List of Non-Cooperative Jurisdictions for Tax Purposes (the EU List) due to its facilitation of offshore structures and arrangements that generate profits without real economic substance. Vanuatu has introduced two bills that are pending parliamentary approval. These are:

- Bill for the Resident Entity (Economic Substance) Act
- Bill for the Resident Entity (Consequential Amendments) Act

The Bills, if passed by Parliament, should withdraw Vanuatu from Annex 1 of the EU List.

Finally, Vanuatu has been confirmed to undergo a second supplementary evaluation in accordance with its responsibilities to the OECD Global Forum. The review will begin in April 2025, with an onsite visit scheduled for early May 2025. Vanuatu must prepare for the review so that it can improve on its standing in the international tax arena.

4.3.3 Revenue Policy Recommendations for Budget 2025

Below are some key policy recommendations which, if taken on board, should pave the way forward in ensuring that the forecasted revenue for 2025 is achievable.

1. Ministry of Finance and Economic Management (MFEM)

- Fast track the procurement process for the purchase of a new VAT Monitoring System so that it can be installed early at all points of sales and implementation can assist the Government in reaching its 2025 onward budget targets.
- Secure a long-term solution for corresponding banking issues for Vanuatu and spearhead actions to help mitigate delays in the release of funds by banks due to AML/CTF requirements. These issues are impacting activities under the Citizenship program, Interactive gaming and Casino License, and the Government planned licensing of industrial Hemp and Medical Cannabis
- Undertake a full review of the Excise Tax Act and Import Duties to close gaps where revenue has been foregone.
- Approval of the GBEU bill by the Parliament so that the Government can collect its share of dividends as a shareholder to each SOE's
- Explore options in the medium term to broaden its current tax base. The introduction of some form of direct taxations such as personal income and corporate tax could be considered given their fairness to the general population and sustainability.

2. Vanuatu Citizenship Office

- The Citizenship Regulation Order must be amended to ensure that fees collected through the CIIP program match those collected through the VDSP. Provisions that allow for the retention of 50 per cent of fees as investment funds should also be reviewed.
- Amending the Regulation Order to reduce the number of sub-Agents required for each application, resulting in better due diligence checks.
- Increase the number of Agents in the Vanuatu Development Support Program (VDSP) in 2024 and DCIR to ensure these agents are registered for VAT.

3. Ministry of Agriculture, Livestock, Forestry, Fisheries and Biosecurity

- Ensure that the vessel day scheme is implemented by the Fisheries Department and that the Regional Fisheries Organisation fees are collected specifically for those memberships that have now been paid by the Government of Vanuatu.
- Jack Mackerel fees must be reviewed to ensure they are collected correctly by the government.

4. Ministry of Lands, Geology and Water Resources

- Ministry of Lands to review and upgrade the current urban land rent premiums accordingly.
- Ensure the Department of Lands addresses unpaid revenue from land rents and system difficulties related to land rent bill generation.

5. Ministry of Infrastructure and Public Utilities

- Ensure that the revenue collected from the service provided by the two new tug boats continue to be collected.
- Review all current fees and charges collected by Ports and Harbour and ensure required changes in regulations or Act are made to enable revenue collection.

All Government revenue generating agencies should ensure that their revenue compliance strategies are effective and efficient. There have been complaints that ministries and agencies are not doing enough to collect revenue and that compliance measures are insufficient. There is still evidence of tax evasion, and many businesses are failing to comply with the law. Every citizen must appreciate the importance of paying taxes because it contributes to the total wealth of the country.

Each ministry should ensure that the Ministry of Finance and Economic Management is consulted on any policy changes that will have an impact on their annual budgeted revenue.

4.4 Expenditure – January to December 2024

Government expenses (excluding donor financing) recorded VT 36,580.4 million at the end of December 2024, against a revised annual budget target of VT 41,409.8 million⁹. This denotes 88.3 per cent of the 2024 revised budget target and is 4.3 per cent more than the VT 35,060.2 million spent during the same period in 2023.

In 2024, a total supplementary budget of VT 5,047.9 million was appropriated under section 34 of the PFEM Act [CAP 244]. These were funded by both the Government and its development partners as detail in annex 1 in table 19. The supplementary budget includes the normal supplementary of VT 1,552.5 million and financial emergency supplementary of VT 3,495.4 million mainly for TC Lola response and recovery efforts

Spending on compensation of employees remains the largest component of Government expenses, recording VT 19,027.7 million at the end of December. This represents 93.9 per cent of the revised annual budget target of VT 20,256.8 million and is 11.5 per cent more than the VT 17,069.9 million spent during the same period in 2023.

The next largest category of Government expenses is the use of goods and services, which recorded a total of VT 9,346.8 million at the end of December. This represents 88.7 per cent of the revised budget target of VT 10,535.1 million and is 2.5 per cent more than the VT 9,122.2 million spent in the same period in 2023.

Grants, the third largest category of Government expenses, recorded VT 3,514.9 million¹⁰ at the end of December, which is 50.3 per cent of the revised budget target of VT 6,987.4 million and is 32.3 per cent lower than VT 5,193.0 million that was spend on grants during the same period in 2023.

The remaining categories of Government expenditure include interest, social benefits, subsidies, and other expenses. At the end of December, spending on interest reached VT 1,156.6 million, representing 108.4 per cent exceeding the annual budget target of VT 1,067.4 million. This is 3.8 per cent higher than the VT 1,114.3 million spent during the same period in 2023. Expenditure on social benefits up to the end of December reached VT 829.8 million, representing 46.5 per cent more than the annual budget target of VT 566.2 million and is 31.6 per cent lower than the VT 1,213.5 million that was spent during the same period in 2023.

Total spending on subsidies recorded VT 146.2 million, which represents 76.9 per cent of the budget target of VT 190.0 million and is 76.1 per cent more than the VT 83.0 million recorded during the same period in 2023. Other expenses totalled VT 2,558.5 million up until the end of December, representing 46.0 per cent more than the annual budget target of VT 1,752.0 million and is 102.4 per cent more than the VT 1,264.2 million that was spent during the same period in 2023 due to overspent in Scholarship fees.

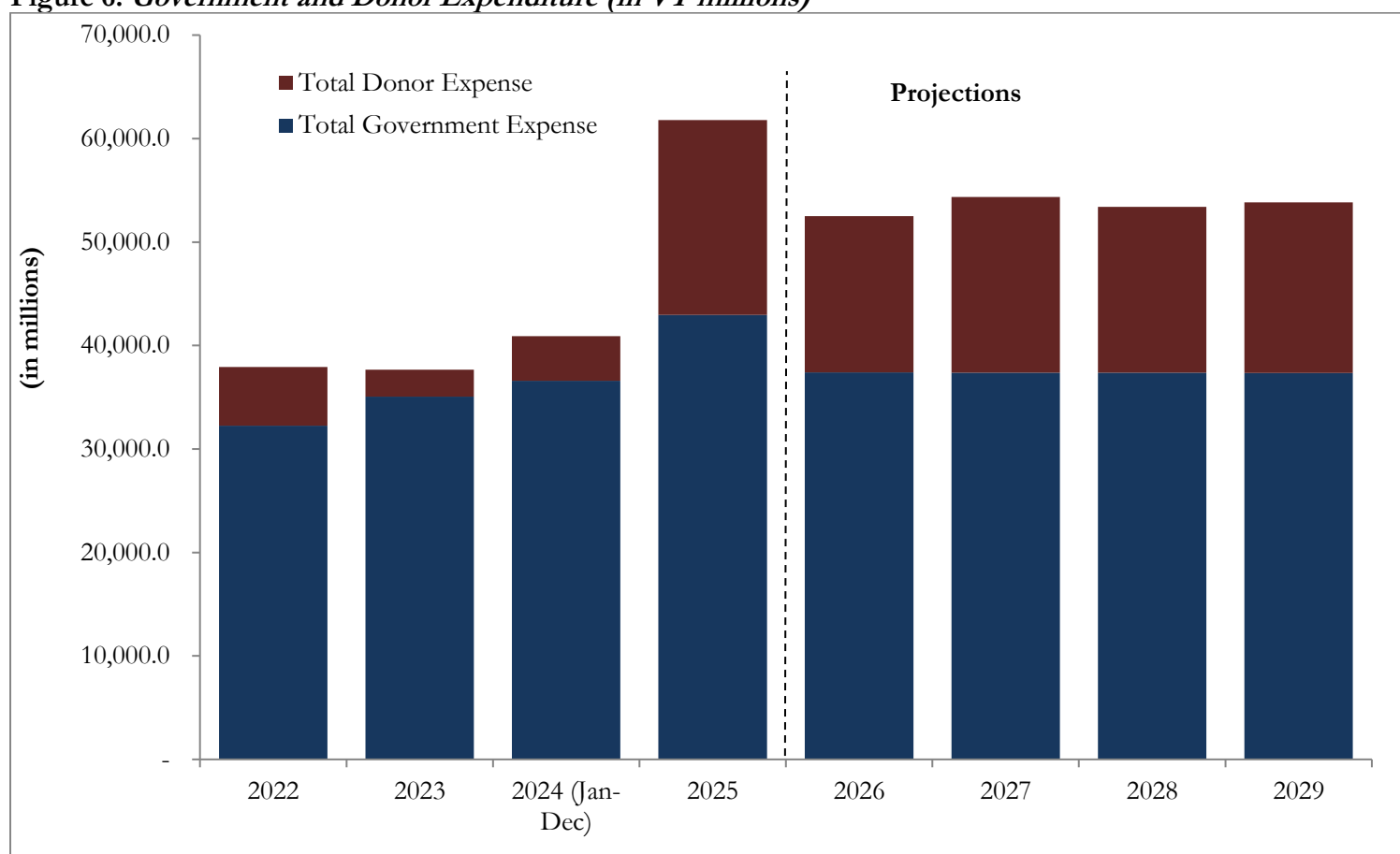
⁹ The 2024 original Expense Budget of VT 36,341.8 million have increased by VT 5,068.0 million (VT 928.5 million for the normal supplementary, VT 963.8 million for the TC Lola financial emergency supplementary, VT 175.7 million for the 2023 rollover of unspent funds and the additional VT 3,000.0 million that was reallocated from the net acquisition of non-financial assets budget to operating expense budget).

¹⁰ Grants payment also includes the VT 2,340.4 million payment to Air Vanuatu.

Net acquisition of non-financial assets recorded VT 4,497.0 million at the end of December, this represents 29.4 per cent of the revised budget target of VT 15,276.9 million¹¹ and is 194.6 per cent higher than the VT 1,526.6 million that was spent on net acquisitions of non-financial assets during the same period in 2023; mainly due to the implementation and execution of the 2024 Capital Budget.

Under development financing, spending on projects grants at the end of December reached VT 4,333.2 million. This represents 48.6 per cent of the revised budgeted target of VT 8,917.5¹² million and is 66.4 per cent higher than the amount of VT 2,603.5 million that was spent on projects at the end of December in 2023.

Figure 6: Government and Donor Expenditure (in VT millions)



Source: Ministry of Finance and Economic Management

Thus, total expenditure, including Government and Development financing, was VT 40,913.6 million at the end of December. This represents 81.3 per cent of the revised budget target of VT 50,327.3 million and is 8.6 per cent more than the VT 37,663.7 million spent during the equivalent period in 2023.

¹¹ The 2024 acquisition of non-financial assets original budget of VT 17,062.8 million has increased by VT 1,2141.1 million (VT 25.0 million for the normal supplementary, VT 274.0 million for the financial emergency supplementary and VT 915.1 million for the 2023 roll over of unspent funds. In addition, the budget has also reduced by VT 3,000.0 million due to the re-allocation of VT 2,000.0 million for the Deposit of the new aircraft and VT 1,000.0 million for the Pekoia airport to meet the voluntary liquidation of Air Vanuatu costs and other unforeseen costs.

¹² The 2024 Donor Expense original budget of VT 7,868.2 million has increased by VT 1,049.3 million to reflect project grants from development partners for the normal supplementary budget (VT 382.1 million) and for the financial emergency supplementary (VT 667.2 million).

4.5 Expenditure Estimates in the Integrated National Budget 2025

The Government expense (excluding donor financing) is estimated to increase by 18.2 per cent from the original budget target of VT 36,341.8 million in 2024 to VT 42,948.6 million in 2025. However, it is estimated to increase by only 3.7 per cent from the revised budget target of VT 41,409.8 million in 2024, mainly due to the additional budget allocations through the 2024 supplementary and the rollover of unspent funds from 2023 to 2024.

On this note, the major component of expense, compensation of employees is estimated to increase by 15.6 per cent to VT 23,426.9 million in 2025 from the revised budget target of VT 20,256.8 million in 2024, followed by interest which is estimated to increase by 42.0 per cent from the budget target of VT 1,067.4 million in 2024 to VT 1,515.7 million in 2025 due to an increase in new domestic borrowing in 2024. In addition, social benefit is also estimated to increase by 35.5 per cent from the budget target of VT 566.2 million in 2024 to VT 767.0 million in 2025. Meanwhile, subsidy is budgeted to increase by 7.9 per cent from the budget target of VT 190.0 million in 2024 to VT 205.0 million in 2025. Other Expenses budget is also forecasted to increase by 10.1 per cent from VT 1,752.0 million in 2024 to VT 1,929.5 million in 2025.

In contrast, the second major component of expense is the use of Goods and Services and is budgeted to decrease by 16.8 per cent from the revised budget target of VT 10,589.9 million in 2024 to VT 8,811.2 million in 2025 due to 2024 one off NPPs and partly the re-allocations of funding from the use of goods and services to compensation of employees in budget 2025. Grants is expected to decrease by 9.9 per cent from the budget target of VT 6,987.4 million in 2024 to VT 6,293.4 million in 2025.

However, in addition to the expense budget is the acquisition of fixed assets, estimated at VT 3,237.8 million representing 78.8 per cent decrease from the revised budget target of VT 15,276.9 million in 2024 while external loan and bond repayments are estimated to decrease by 1.7 per cent from VT 3,166.3 million in 2024 to VT 3,113.2 million in 2025.

Therefore, the Government estimated expense of VT 42,948.6 million, including acquisition of fixed assets (VT 3,253.1 million), loan repayments (VT 3,113.2 million), VAT repayments (VT 407.5 million), holding gains and losses (VT 50.0 million) amounts to a total of VT 49,772.5 million¹³ which is the 2025 total Government (excluding Donor funding) Budget Appropriation. The total Government Budget Appropriation of VT 49,772.5 million also includes VT 8,698.0 million worth of New Policy Proposals (NPP) that was allocated by the Government across four budget policy priority outcomes outlined in the 2025 Budget Policy Statement and is also included for reference at the end of this report. On this note, the 2025 Budget Appropriation is also committed to fund relief, response, and recovery efforts of the recent category 7.3 earthquake that hit Port Vila in December 2024.

Priority outcome 1: A happy, resilient, fair and Just Society in harmony with their environment emphasises the Government's commitment towards the provision of essential services such as equitable and quality health service, education services, security and justice, improved water sanitation, land management, improve production as well as improving climate change and disaster risks adaptations and mitigations. The allocation of VT 2,490.4 million under this priority outcome among others also includes VT 1.2 billion for the Government remuneration tribunal costing review for all departments under the Ministry of Education and Training, all departments under the Ministry of Health and the Vanuatu Mobile Force and Police Force. VT 1 billion for the Teachers remote allowances, family (child) allowance, Housing allowance and salary increments. In addition, 42.0 million is allocated for the institutional strengthening of area councils and VT 24 million for the new vaccine supplies for effective coverage.

¹³ The expenditure figures are shown by program, activity and agency in Table 11 and the volume 2 of the 2025 Budget Book.

Priority Outcome 2: An improved and well-maintained resilient infrastructure that facilitates a strong rural and urban economy. Infrastructure is an essential service that eases production, manufacturing and movement of goods and services and connectivity between the urban areas and the outer islands where most people live and engage in subsistence and commercial farming. Hence, the Government is committed to this essential service with a total NPP budget allocation of VT 1,142.8 million. The allocation of the budget under the infrastructure priority outcome among others also includes VT 300.0 million for the Hall of Justice, VT 200.0 million for the urban development, VT 200.0 million for the rural feeder roads, VT 170.2 million for the PWD contractors litigation costs, VT 100.0 million for the sealing of Port Vila urban roads, VT 78.1 million for the drilling underground water equipment and VT 50.0 million for the new integrated financial management information system (IFMIS).

Priority Outcome 3: Vanuatu National Acceleration Framework for the National Sustainable Development Plan is adequately resourced to ensure its implementation with a total NPP budget allocation of VT 1,146.0 million. This priority outcome consists of series of policies and actions for implementation to achieve the policy objectives and targets that were outlined in the National Sustainable Development Plan (NSDP) or the People's plan 2030. Among others, this priority outcome also includes VT 1 billion for the two twin otter deposit, VT 55.0 million for the NSDP HIES survey, VT 25.0 for the Management and Development and Harvesting of Timber on LSP and IFPs, VT 20.0 million for the coconut rhinoceros beetle delimiting survey report in Santo (Phase 1), VT 20.0 million for the Increase Production of Agricultural food crops for Semi – Commercial and Commercial Agriculture and VT 10.0 million for the Rural Maritime Safety Development Program.

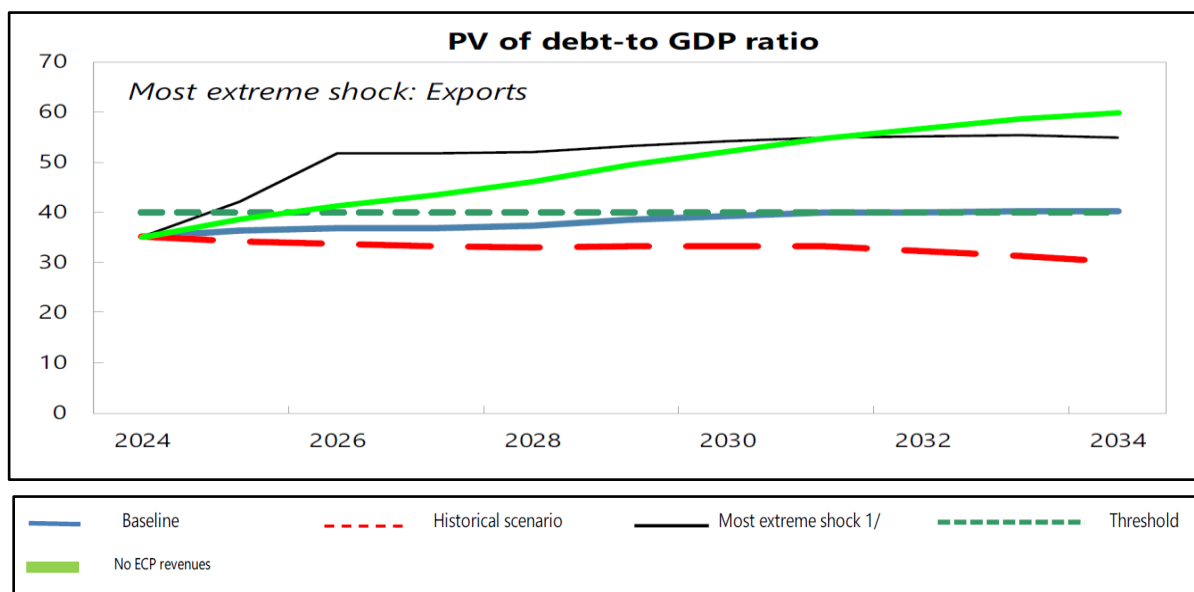
Priority Outcome 4: Continued implementation and sustaining of Government reforms, essential services and commitments covering both productive and social sectors to address Government reforms, resilient developments, natural disaster preparedness and response as well as resilient natural resource management. This priority outcome has a total NPP budget allocation of VT 3,918.8 million and it includes among others, VT 2,568.0 million towards the 2025 earthquake related recovery funds, VT 765.3 million for the Government remuneration tribunal costing review for government line agencies, VT 300.0 million for the world bank subscription fee, VT 59.0 million for additional budget for Parliament sittings and VT 40.0 million for the new tug boats' operations and maintenance.

4.6 Public Debt

After major setbacks from the natural disasters of the 2023 cyclones and the late 2024 devastating earthquake, major infrastructure projects funded through both grants and loans will now see major works and disbursements in 2025. The country is still actively exploring alternative financing options due to limited debt-carrying capacity with major multilateral partners due for all new grant funding over the next 3 years at least. However, approval of the Medium-Term Debt Management Strategy (MTDS) 2023-2026 by the Council of Ministers sets out plans for debt sustainability and project financing over the next four years. An update to this strategy in the new quarter is necessary due to significant changes caused again, from the earthquake damage to major buildings and infrastructure around Port Vila's CBD and its International wharf vicinity.

The Earthquake devastation will deteriorate growth further, denting Vanuatu's debt sustainability in the medium term. The voluntary liquidation of the national carrier Air Vanuatu has caused a major drop in tourism since may last year, but there are signs of improvement in tourism numbers with new carriers flying in. The slow development in this sector will lead to slower growth prospects and can lead to higher public debt. In addition to decreased tourism related revenue and duty fees, the IMF anticipates an increase in mixed capital spending and other expenses related to Air Vanuatu's voluntary liquidation.

Figure 7. Vanuatu's Debt Sustainability Analysis - Under Different Scenarios



Source: Ministry of Finance and Economic Management

The risk of external debt distress for Vanuatu has deteriorated to high (from moderate in the previous DSA), as the airline stoppage threatens service exports in the near term. The PV of the external debt-to-GDP ratio breaches the indicative threshold under the baseline scenario in 2024 and 2025. With the envisaged increase in external debt over the medium term, the PV of external debt-to-GDP breaches the threshold level of 40 in the later years (2033-2034)

The public debt is sustainable if breaches are minor and occur in later years for external debt indicators. It hinges upon the success of Air Vanuatu's restructuring, the government's ability to access highly concessional external loans, and the assumption of a gradually declining deficit. There's an imperative need for continued fiscal consolidation, strengthening debt management strategies, and enhancing resilience against future shocks to ensure fiscal sustainability.

The IMF's recent Debt Sustainability Analysis (DSA) shows that the risk of overall debt distress remains high. The public debt-to-GDP ratio exceeds the 55.0 per cent threshold from 2033 onwards, a year later than in the previous analysis conducted in June 2023. The precipitous decline in revenues from the Economic Citizenship Program (ECP) is anticipated to create a structural fiscal deficit in the medium term, having a significant impact on future fiscal outcomes. Under an alternate scenario with zero ECP revenues, the PV of public debt-to-GDP breaches the threshold level from 2027 onward.

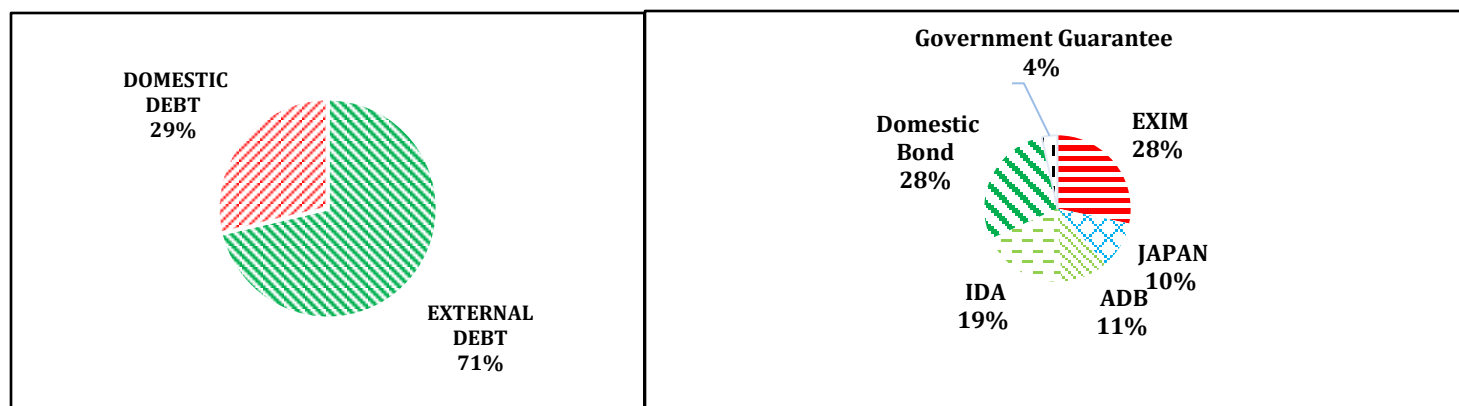
Table 7. Statement of Debt Stock & Composition¹⁴ (VT millions)

	2020 Actual	2021 Actuals	2022 Actuals	2023 Actuals	2024 Preliminary	2025 Budget	2026 Forecast	2027 Forecast	2028 Forecast
External Debt									
<i>Bilateral</i>									
EXIM Bank of China	15,877.4	16,162.1	15,958.7	16,783.0	16,630.7	14,082.0	12,266.7	10,451.5	8,636.3
Japan International Cooperation Agency	8,573.7	8,013.4	7,124.1	6,233.6	6,115.7	5,694.0	5,487.4	5,280.8	5,074.1
Bilateral Government Guarantees	927.9	844.8	844.8	844.8	868.5	847.8	822.9	754.7	727.8
Total Bilateral Debt	25,379.0	25,020.3	23,927.6	23,861.4	23,615.0	20,623.8	18,577.1	16,487.0	14,438.3
<i>Multilateral</i>									
Asian Development Bank	5,741.7	5,463.4	6,204.6	6,502.2	6,162.5	7,640.6	8,190.5	8,524.1	8,943.0
International Development Association (World Bank)	10,038.9	10,150.1	11,330.7	11,269.6	11,208.2	14,236.5	16,490.1	18,374.8	19,484.8
Multilateral Government Guarantees	76.7	69.9	63.0	56.1	49.3	35.5	28.7	21.8	14.9
Total Multilateral Debt	15,857.4	15,683.5	17,598.3	17,828.0	17,420.0	21,912.6	24,709.2	26,920.7	28,442.7
Total External Debt	41,236.4	40,703.8	41,526.0	41,689.3	41,034.9	42,536.4	43,286.3	43,407.6	42,880.9
Domestic Debt									
Domestic Bonds	8,041.8	8,179.2	10,523.2	12,709.8	16,638.4	19,638.4	21,138.4	22,638.4	24,138.4
Domestic Government Guarantees	934.7	985.7	996.7	1,047.6	1,120.0	1,222.6	1,273.9	1,325.2	1,376.5
Total Domestic Debt	8,976.6	9,164.9	11,519.9	13,757.4	17,758.4	20,861.0	22,412.3	23,963.6	25,514.9
Total Stock of Debt	50,213.0	49,868.6	53,045.8	55,446.8	58,793.4	63,397.5	65,698.6	67,371.2	68,395.8
<i>Total Debt-To-GDP Ratio</i>	47.9%	46.4%	45.8%	41.8%	41.5%	41.9%	40.4%	38.3%	36.7%
<i>External Debt-To-GDP Ratio</i>	39.3%	37.9%	35.9%	31.5%	29.0%	28.1%	26.6%	24.7%	23.0%
<i>Domestic Debt-To-GDP Ratio</i>	8.6%	8.6%	8.6%	8.6%	12.5%	13.8%	13.8%	13.6%	13.7%

Source: Ministry of Finance and Economic Management. These figures represent end of year estimates and will vary due to exchange rate fluctuations and actual end of year disbursement values.

¹⁴ These figures represent end of year estimates and will vary due to exchange rate fluctuations and actual end of year disbursement values.

Figure 8: Public Debt Composition



Source: Ministry of Finance and Economic Management

The Government of Vanuatu strictly adheres to securing loans from multilateral and bilateral partners on concessional terms as stipulated in the PFEM Act. It is imperative to emphasize that currently, two major ongoing projects are still disbursing. The South Santo project, with a total cost of approximately 16 billion vatu, and the Pentecost Road project phase 1, with a total cost of approximately 4.5 billion vatu (final disbursement by March 2025), noting the government's determination to effectively utilize concessional loans to drive crucial infrastructure development in the country.

Several loan financing projects are currently in the pipeline. These include the Luganville water supply project with the Asian Development Bank (ADB), the Tanna Phase 3 and the Ambae Road Phase 1 projects with the EXIM Bank of China, the Major upgrade of Baurefield airport and terminal building including the Pekoa Airport project (anticipating Saudi Government Funding).

The Government maintains prudent monitoring of all costs and risks associated with its debt portfolio and works to ensure medium to long-term debt sustainability. Fiscal consolidation in the medium term will be critical for the sustainability of Government debt in the long term.

a) Debt Management Nominated Strategy and Target Indicators

A set of debt management targets is produced based on the current debt portfolio's characteristics and the debt management objectives of Vanuatu. Aligned with Vanuatu's development objectives, the essence of the MTDS 2023-2026 the Government intends to use the following key targets:

- The Government will also prioritize financing from domestic sources to secure the necessary financing for its development objectives
- The Government will prioritize the Long-term Maturity of all its securities issuance.
- MFEM will continue undertaking debt prepayment of loans that have a grant element of less than 35%.
- Government will continue to develop the domestic debt market to improve its depth, liquidity, and efficiency. As part of this effort, it will develop closer engagement with the existing domestic investor base and aim to further expand it to reduce excessive dependency on a few investors.
- To minimize the impact of costs and risks of Creditors to the Government, these indicators shall be used as a guideline to provide measurable and quantifiable targets for monitoring purposes:

Table 8. Statement of Government Operations, excluding donors using GFS14 Classification, in VT millions

GFS Code	GFS Description	Actual 2022	Actual 2023	Revised Budget 2024	Actual (Jan -Dec) 2024	Budget 2025	Forecast 2026	Forecast 2027	Forecast 2028	Forecast 2029
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	29,578.7	36,035.3	47,409.3	39,040.1	45,178.6	40,759.7	42,732.8	44,236.3	45,844.3
A11	Taxes	18,982.3	23,354.5	29,662.0	23,956.9	26,304.7	27,407.9	28,681.3	29,646.3	30,686.2
A111	Taxes on income, profits, and capital gain	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll and workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	450.9	489.4	980.3	705.8	710.3	743.9	782.9	812.9	844.6
A114	Taxes on goods and services	14,477.5	17,963.2	24,206.9	19,276.7	20,656.5	21,492.7	22,456.2	23,208.7	23,998.0
A115	Taxes on international trade and transact	4,053.8	4,902.0	4,474.8	3,974.3	4,937.8	5,171.3	5,442.3	5,624.6	5,843.6
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A132	Grants	979.2	1,837.4	182.0	1,289.4	6,124.8				
A14	Other revenue	9,617.2	10,843.4	17,565.3	13,793.7	12,749.1	13,351.8	14,051.5	14,590.1	15,158.1
A2	Expense	32,259.8	35,060.2	41,409.8	36,580.4	42,948.6	39,616.1	39,574.8	39,582.5	39,545.8
A21	Compensation of employees	17,057.6	17,069.9	20,256.8	19,027.7	23,426.9	23,624.3	23,624.3	23,624.3	23,624.3
A22	Use of goods and services	7,203.0	9,122.2	10,589.9	9,346.8	8,811.2	8,080.9	8,122.9	8,164.9	8,206.9
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0				
A24	Interest	999.3	1,114.3	1,067.4	1,156.6	1,515.7	1,401.7	1,318.4	1,284.1	1,205.4
A25	Subsidies	325.6	83.0	190.0	146.2	205.0	205.0	205.0	205.0	205.0
A26	Grants	3,336.1	5,193.0	6,987.4	3,514.9	6,293.4	3,741.1	3,741.1	3,741.1	3,741.1
A27	Social benefits	1,131.0	1,213.5	566.2	829.8	767.0	645.6	645.6	645.6	645.6
A28	Other expense	2,207.2	1,264.2	1,752.0	2,558.5	1,929.5	1,917.5	1,917.5	1,917.5	1,917.5
GOB	Gross operating balance (1-2+23+NOBz)	(2,681.1)	975.2	5,999.6	2,459.7	2,229.9	1,143.6	3,158.0	4,653.8	6,298.5
NOB	Net operating balance (1-2+NOBz)	(2,681.1)	975.2	5,999.6	2,459.7	2,229.9	1,143.6	3,158.0	4,653.8	6,298.5
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net investment in nonfinancial assets	1,386.3	2,032.3	15,276.9	4,497.0	3,255.3	1,747.8	1,669.7	1,669.7	1,669.7
A311	Fixed assets	1,386.3	1,526.6	15,276.9	4,497.0	3,255.3	1,747.8	1,669.7	1,669.7	1,669.7
A312	Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	0.0	505.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	(4,067.5)	(1,057.2)	(9,277.3)	(2,037.4)	(1,025.4)	(604.2)	1,488.3	2,984.1	4,628.8
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
A32	Net acquisition of financial assets	(4,020.2)	(1,305.5)	(6,215.9)	383.9	(0.0)	(2,765.8)	(1,096.9)	360.5	2,029.5
A321	Domestic	(4,020.2)	(1,305.5)	(6,215.9)	383.9	(0.0)	(2,765.8)	(1,096.9)	360.5	2,029.5
A3212	Currency and deposits	(4,020.2)	(1,305.5)	(6,215.9)	383.9	(0.0)	(2,765.8)	(1,096.9)	360.5	2,029.5
A3214	Loans	0.0	-	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A322	External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	47.3	(248.3)	3,061.4	2,421.3	1,025.3	(2,161.6)	(2,585.2)	(2,623.6)	(2,599.3)
A331	Domestic	2,344.1	2,186.6	5,181.7	3,882.7	3,426.4	0.0	0.0	0.0	0.0
A332	External	(2,296.8)	(2,434.9)	(2,120.3)	(1,461.4)	(2,401.1)	(2,161.6)	(2,585.2)	(2,623.6)	(2,599.3)

Source: Ministry of Finance and Economic Management

Table 9. Statement of Donor Operations using GFS14 Classification, in VT millions

GFS Code	GFS Description	Actual 2022	Actual 2023	Revised Budget 2024	Actual (Jan - Dec) 2024	Budget 2025	Forecast 2026	Forecast 2027	Forecast 2028	Forecast 2029
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	8,801.0	10,010.7	8,917.5	8,385.4	16,845.4	14,092.2	15,468.8	14,780.5	15,124.6
<i>A11</i>	<i>Taxes</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A111</i>	<i>Taxes on income, profits, and capital gains</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A112</i>	<i>Taxes on payroll and workforce</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A113</i>	<i>Taxes on property</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A114</i>	<i>Taxes on goods and services</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A115</i>	<i>Taxes on international trade and transactions</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A116</i>	<i>Other taxes</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A12</i>	<i>Social contributions</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A13</i>	<i>Grants</i>	<i>8,801.0</i>	<i>10,010.7</i>	<i>8,917.5</i>	<i>8,385.4</i>	<i>16,845.4</i>	<i>14,092.2</i>	<i>15,468.8</i>	<i>14,780.5</i>	<i>15,124.6</i>
<i>A14</i>	<i>Other revenue</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
A2	Expense	5,659.7	2,603.5	8,917.5	4,333.2	16,845.4	14,092.2	15,468.8	14,780.5	15,124.6
<i>A21</i>	<i>Compensation of employees</i>	<i>487.3</i>	<i>276.4</i>	<i>478.1</i>	<i>235.8</i>	<i>1,023.7</i>	<i>856.4</i>	<i>940.0</i>	<i>898.2</i>	<i>919.1</i>
<i>A22</i>	<i>Use of goods and services</i>	<i>4,116.2</i>	<i>2,096.3</i>	<i>6,807.2</i>	<i>2,669.6</i>	<i>12,341.6</i>	<i>10,324.5</i>	<i>11,333.1</i>	<i>10,828.8</i>	<i>11,080.9</i>
<i>A23</i>	<i>Consumption of fixed capital</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A24</i>	<i>Interest</i>	<i>2.4</i>	<i>2.2</i>	<i>6.7</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A25</i>	<i>Subsidies</i>	<i>12.9</i>	<i>4.8</i>	<i>15.0</i>	<i>0.7</i>	<i>32.1</i>	<i>26.8</i>	<i>29.4</i>	<i>28.1</i>	<i>28.8</i>
<i>A26</i>	<i>Grants</i>	<i>969.5</i>	<i>191.6</i>	<i>1,166.9</i>	<i>1,353.5</i>	<i>2,498.2</i>	<i>2,089.9</i>	<i>2,294.0</i>	<i>2,191.9</i>	<i>2,243.0</i>
<i>A27</i>	<i>Social benefits</i>	<i>-25.6</i>	<i>22.3</i>	<i>432.2</i>	<i>28.0</i>	<i>925.3</i>	<i>774.0</i>	<i>849.7</i>	<i>811.8</i>	<i>830.8</i>
<i>A28</i>	<i>Other expense</i>	<i>97.0</i>	<i>9.9</i>	<i>11.5</i>	<i>45.6</i>	<i>24.6</i>	<i>20.6</i>	<i>22.6</i>	<i>21.6</i>	<i>22.1</i>
GOB	Gross operating balance (1-2+23+NOBz)	3,141.3	7,407.2	-	4,052.2	0.0	0.0	0.0	0.0	0.0
NOB	Net operating balance (1-2+NOBz)	3,141.3	7,407.2	-	4,052.2	0.0	0.0	0.0	0.0	0.0
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net investment in nonfinancial assets	4,900.7	5,406.8	7,017.6	5,134.3	4,300.0	5,105.5	4,556.8	4,010.1	3,296.4
<i>A311</i>	<i>Fixed assets</i>	<i>4,900.7</i>	<i>5,405.6</i>	<i>7,017.6</i>	<i>5,134.3</i>	<i>4,300.0</i>	<i>5,105.5</i>	<i>4,556.8</i>	<i>4,010.1</i>	<i>3,296.4</i>
<i>A312</i>	<i>Inventories</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A313</i>	<i>Valuables</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A314</i>	<i>Nonproduced assets</i>	<i>0.0</i>	<i>1.3</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
NLB	Net lending / borrowing (1-2+NOBz-31)	(1,759.4)	2,000.3	(7,017.6)	(1,082.1)	(4,300.0)	(5,105.5)	(4,556.8)	(4,010.1)	(3,296.4)
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
A32	Net acquisition of financial assets	(1,759.4)	2,000.3	(346.0)	(1,082.1)	0.0	0.0	0.0	0.0	0.0
<i>A321</i>	<i>Domestic</i>	<i>(1,759.4)</i>	<i>2,000.3</i>	<i>(346.0)</i>	<i>(1,082.1)</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A3212</i>	<i>Currency and deposits</i>	<i>(1,759.4)</i>	<i>2,000.3</i>	<i>(346.0)</i>	<i>(1,082.1)</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A3214</i>	<i>Loans</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A322</i>	<i>External</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
A33	Net incurrence of liabilities	0.0	0.0	6,671.6	0.0	4,300.0	5,105.5	4,556.8	4,010.1	3,296.4
<i>A331</i>	<i>Domestic</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>	<i>0.0</i>
<i>A332</i>	<i>External</i>	<i>0.0</i>	<i>0.0</i>	<i>6,671.6</i>	<i>0.0</i>	<i>4,300.0</i>	<i>5,105.5</i>	<i>4,556.8</i>	<i>4,010.1</i>	<i>3,296.4</i>

Source: Ministry of Finance and Economic Management. The figures for 2026 onwards are estimates based on historical grant figures, as no formal donor confirmation has been received yet.

Table 10. Statement of Consolidated Operations using GFS14 Classification, in VT millions

GFS Code	GFS Description	Actual 2022	Actual 2023	Revised Budget 2024	Actual (Jan -Dec) 2024	Budget 2025	Forecast 2026	Forecast 2027	Forecast 2028	Forecast 2029
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	38,379.7	46,046.0	56,326.8	47,425.5	62,023.9	54,851.8	58,201.6	59,016.8	60,968.9
A11	Taxes	18,982.3	23,354.5	29,662.0	23,956.9	26,304.7	27,407.9	28,681.3	29,646.3	30,686.2
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll and workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	450.9	489.4	980.3	705.8	710.3	743.9	782.9	812.9	844.6
A114	Taxes on goods and services	14,477.5	17,963.2	24,206.9	19,276.7	20,656.5	21,492.7	22,456.2	23,208.7	23,998.0
A115	Taxes on international trade and transaction.	4,053.8	4,902.0	4,474.8	3,974.3	4,937.8	5,171.3	5,442.3	5,624.6	5,843.6
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants	9,780.2	11,848.1	9,099.5	9,674.9	22,970.1	14,092.2	15,468.8	14,780.5	15,124.6
A14	Other revenue	9,617.2	10,843.4	17,565.3	13,793.7	12,749.1	13,351.8	14,051.5	14,590.1	15,158.1
A2	Expense	37,919.5	37,663.7	50,327.3	40,913.6	59,794.0	53,708.3	55,043.6	54,363.0	54,670.5
A21	Compensation of employees	17,544.9	17,346.3	20,735.0	19,263.5	24,450.5	24,480.7	24,564.4	24,522.5	24,543.4
A22	Use of goods and services	11,319.2	11,218.5	17,397.2	12,016.4	21,152.8	18,405.4	19,456.0	18,993.7	19,287.9
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	1,001.7	1,116.6	1,074.0	1,156.6	1,515.7	1,401.7	1,318.4	1,284.1	1,205.4
A25	Subsidies	338.4	87.8	205.0	146.9	237.1	231.8	234.4	233.1	233.8
A26	Grants	4,305.6	5,384.7	8,154.3	4,868.4	8,791.5	5,830.9	6,035.1	5,933.0	5,984.0
A27	Social benefits	1,105.4	1,235.8	998.4	857.8	1,692.3	1,419.6	1,495.2	1,457.4	1,476.3
A28	Other expense	2,304.2	1,274.1	1,763.5	2,604.0	1,954.1	1,938.1	1,940.1	1,939.1	1,939.6
GOB	Gross operating balance (1-2+23+NOBz)	460.2	8,382.3	5,999.6	6,511.9	2,229.9	1,143.6	3,158.0	4,653.8	6,298.5
NOB	Net operating balance (1-2+NOBz)	460.2	8,382.3	5,999.6	6,511.9	2,229.9	1,143.6	3,158.0	4,653.8	6,298.5
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net investment in nonfinancial assets	6,287.0	7,439.2	22,294.5	9,631.1	7,555.3	6,853.3	6,226.5	5,679.8	4,966.1
A311	Fixed assets	6,287.0	6,932.2	22,294.5	9,631.1	7,555.3	6,853.3	6,226.5	5,679.8	4,966.1
A312	Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	0.0	507.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	(5,826.9)	943.1	(16,294.9)	(3,119.2)	(5,325.4)	(5,709.7)	(3,068.5)	(1,026.0)	1,332.4
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
A32	Net acquisition of financial assets	(5,779.6)	694.8	(6,562.0)	(697.9)	(0.0)	(2,765.8)	(1,096.9)	360.5	2,029.5
A321	Domestic	(5,779.6)	694.8	(6,562.0)	(697.9)	(0.0)	(2,765.8)	(1,096.9)	360.5	2,029.5
A3212	Currency and deposits	(5,779.6)	694.8	(6,562.0)	(697.9)	(0.0)	(2,765.8)	(1,096.9)	360.5	2,029.5
A3214	Loans	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A322	External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	47.3	(248.3)	9,732.9	2,421.3	5,325.4	2,943.9	1,971.6	1,386.5	697.1
A331	Domestic	47.3	2,186.6	5,181.7	3,882.7	3,426.4	0.0	0.0	0.0	0.0
A332	External		(2,434.9)	4,551.3	(1,461.4)	1,898.9	2,943.9	1,971.6	1,386.5	697.1

Source: Ministry of Finance and Economic Management

Table 11. Medium Term Budget and Estimates by Program and Agency, in VT millions

		Budget Year	Forward Estimate	Forward Estimate	Forward Estimate	Forward Estimate
Ministry	Program	2025	2026	2027	2028	2029
Constitutional Agencies		3,139.1	3,139.1	3,139.1	3,139.1	3,139.1
President of the Republic	Presidential Support	125.9	125.9	125.9	125.9	125.9
Parliament	Corporate Services Office	357.4	357.4	357.4	357.4	357.4
	Hansard Office	32.4	32.4	32.4	32.4	32.4
	Procedure and Legislative Office	745.1	745.1	745.1	745.1	745.1
	Parliamentary Committees	86.8	86.8	86.8	86.8	86.8
	Standing Committees Office	92.5	92.5	92.5	92.5	92.5
Judiciary	Administration of Justice	391.3	391.3	391.3	391.3	391.3
	Judicial Service Commission	1.9	1.9	1.9	1.9	1.9
Malvatumauri Council of Chiefs	Preservation of Vanuatu Customs, Culture and Language	172.7	172.7	172.7	172.7	172.7
National Audit Office	Public Sector Auditing	103.2	103.2	103.2	103.2	103.2
Office of the Ombudsman	Planning, Management and Investigations	89.2	89.2	89.2	89.2	89.2
Public Prosecutor	Operations	145.1	145.1	145.1	145.1	145.1
Public Solicitor	Public Legal Services	95.2	95.2	95.2	95.2	95.2
Public Service Commission	Public Service Commission	364.5	364.5	364.5	364.5	364.5
State Law Office	Legal Advice and Executive Management	258.8	258.8	258.8	258.8	258.8
Citizenship Office	Citizenship Commission	77.0	77.0	77.0	77.0	77.0
Prime Ministers Ministry		1,630.2	1,330.2	1,330.2	1,330.2	1,330.2
	Director General's Office	195.0	195.0	195.0	195.0	195.0
	Information, Communication and Technology Policy and Administration	350.1	350.1	350.1	350.1	350.1
	Language Services	63.0	63.0	63.0	63.0	63.0

	Office of the Prime Minister	127.3	127.3	127.3	127.3	127.3
	Project Management	660.4	360.4	360.4	360.4	360.4
	Security Council	29.7	29.7	29.7	29.7	29.7
	Special Commissions	35.3	35.3	35.3	35.3	35.3
	Strategic Management	169.5	169.5	169.5	169.5	169.5
Ministry of Agriculture, Livestock, Forestry, Fisheries and Biosecurity		1,839.3	1,784.3	1,784.3	1,784.3	1,784.3
	Advancing Research and Development	3.0	3.0	3.0	3.0	3.0
	Community Capacity Building with Focus on Gender and Youth	3.0	3.0	3.0	3.0	3.0
	Improve Food Security	133.7	107.0	107.0	107.0	107.0
	Improve Quality and Safety of Agriculture Products	40.8	40.8	40.8	40.8	40.8
	Increase Production of Commodity Crops	259.2	230.9	230.9	230.9	230.9
	Resilience towards Climate Change and Natural Resources	12.7	12.7	12.7	12.7	12.7
	Resilience towards Climate Change and Natural Resources SHEFA	744.1	744.1	744.1	744.1	744.1
	Support Institutional Capacity, Policy, Communication and Administration	602.6	602.6	602.6	602.6	602.6
	Sustainable Management of Natural Resources	40.3	40.3	40.3	40.3	40.3
Ministry of Tourism, Trade, Commerce and Ni- Vanuatu Business		1,260.8	1,260.8	1,260.8	1,260.8	1,260.8
	Aid-for-Trade Coordination	284.3	284.3	284.3	284.3	284.3
	Cabinet Support	78.8	78.8	78.8	78.8	78.8
	Cooperatives Development	178.9	178.9	178.9	178.9	178.9

	Executive Management and Corporate Services	175.0	175.0	175.0	175.0	175.0
	Industry Development	191.0	191.0	191.0	191.0	191.0
	Intellectual Property Development and Protection	41.7	41.7	41.7	41.7	41.7
	National Standards Development	127.4	127.4	127.4	127.4	127.4
	Tourism Development	183.8	183.8	183.8	183.8	183.8
Ministry of Education & Training		12,212.6	12,212.6	12,212.6	12,212.6	12,212.6
	Cabinet Support	81.0	81.0	81.0	81.0	81.0
	Corporate Services	2,031.7	2,031.7	2,031.7	2,031.7	2,031.7
	Education & Training Services	9,833.6	9,833.6	9,833.6	9,833.6	9,833.6
	Executive Management and Internal & Quality Control	266.2	266.2	266.2	266.2	266.2
Ministry of Finance and Economic Management		13,822.6	9,869.3	9,679.0	10,594.0	10,508.2
	Border Control and Enforcement	137.3	137.3	137.3	137.3	137.3
	Cabinet Support	90.6	90.6	90.6	90.6	90.6
	Emergency	2,968.1	400.0	400.0	400.0	400.0
	Executive Management and Corporate Services	814.5	803.5	803.5	803.5	803.5
	Financial And Economic Management	1,272.2	1,272.2	1,272.2	1,272.2	1,272.2
	Government Contributions to International Organisation	48.0	48.0	48.0	48.0	48.0
	Grants to Institutions	1,136.2	1,152.0	1,152.0	1,152.0	1,152.0
	National Statistics	161.4	106.4	106.4	106.4	106.4
	Payments on Behalf of Government	6,804.0	5,468.9	5,278.7	6,193.6	6,107.8
	Revenue Collection	390.4	390.4	390.4	390.4	390.4
Ministry of Foreign Affairs, International Cooperation and External Trade		871.1	846.8	846.8	846.8	846.8

	Cabinet Support	156.5	156.5	156.5	156.5	156.5
	Dept of Foreign Affairs	671.2	647.0	647.0	647.0	647.0
	External Trade Negotiation and Development	43.3	43.3	43.3	43.3	43.3
Ministry of Health		4,670.5	4,670.5	4,670.5	4,670.5	4,670.5
	Cabinet Support	69.3	69.3	69.3	69.3	69.3
	Executive Management and Corporate Services	987.6	987.6	987.6	987.6	987.6
	Health Services	3,613.7	3,613.7	3,613.7	3,613.7	3,613.7
Ministry of Infrastructure and Public Utilities		2,574.9	2,174.6	2,174.6	2,174.6	2,174.6
	Civil Aviation Authority	177.4	148.9	148.9	148.9	148.9
	Executive Management and Corporate Services	202.7	202.7	202.7	202.7	202.7
	Ministerial Cabinet Support	89.2	89.2	89.2	89.2	89.2
	Public Works	1,775.3	1,405.1	1,405.1	1,405.1	1,405.1
	Shipping Services	330.4	328.9	328.9	328.9	328.9
Ministry of Internal Affairs		4,212.1	4,186.1	4,228.1	4,270.1	4,312.1
	Cabinet Support	352.6	352.6	352.6	352.6	352.6
	Decentralisation Services	932.4	974.4	1,016.4	1,058.4	1,100.4
	Executive Management and Corporate Services	36.3	36.3	36.3	36.3	36.3
	Internal Security & Law Enforcement	2,263.7	2,263.7	2,263.7	2,263.7	2,263.7
	National Services	452.7	384.7	384.7	384.7	384.7
	Police Service Commission	14.9	14.9	14.9	14.9	14.9
	Urban Planning and Development	159.5	159.5	159.5	159.5	159.5
Ministry of Lands, Mines & Water Resources		614.9	614.9	536.8	536.8	536.8
	Cabinet Support	67.1	67.1	67.1	67.1	67.1
	Executive Management and Corporate Services	217.6	217.6	217.6	217.6	217.6
	Geology and Mines	24.9	24.9	24.9	24.9	24.9
	Lands Management	101.5	101.5	101.5	101.5	101.5

	Valuer General's Office	13.5	13.5	13.5	13.5	13.5
	Water Resources	190.3	190.3	112.2	112.2	112.2
Ministry of Youth, Justice and Community Services		1,162.0	1,162.0	1,162.0	1,162.0	1,162.0
	Cabinet Support	257.2	257.2	257.2	257.2	257.2
	Correctional Services	483.9	483.9	483.9	483.9	483.9
	Grants to Youth & Sports Statutory Bodies	199.6	199.6	199.6	199.6	199.6
	Lands Tribunal	82.1	82.1	82.1	82.1	82.1
	Law Commission	31.0	31.0	31.0	31.0	31.0
	Women's Affairs	42.7	42.7	42.7	42.7	42.7
	Youth Development & Sports	65.5	65.5	65.5	65.5	65.5
Ministry of Fisheries, Oceans and Maritime Affairs		775.1	775.1	775.1	775.1	775.1
	Cabinet Support	82.9	82.9	82.9	82.9	82.9
	Executive Management and Corporate Services	42.2	42.2	42.2	42.2	42.2
	Fisheries	535.1	535.1	535.1	535.1	535.1
	Maritime Authority	87.1	87.1	87.1	87.1	87.1
	National Boundaries & Ocean Affairs	27.9	27.9	27.9	27.9	27.9
Ministry of Climate Change Adaptation, Geohazards, Meteorology and Energy		987.2	987.2	987.2	987.2	987.2
	Cabinet Support	72.0	72.0	72.0	72.0	72.0
	Climate Change	38.0	38.0	38.0	38.0	38.0
	Energy	349.6	349.6	349.6	349.6	349.6
	Environment	104.2	104.2	104.2	104.2	104.2
	Executive Management & Corporate Services	171.9	171.9	171.9	171.9	171.9
	National Disaster Management	64.9	64.9	64.9	64.9	64.9
	Vanuatu Meteorological Services	186.6	186.6	186.6	186.6	186.6
Grand Total		49,772.5	45,013.6	44,787.3	45,744.2	45,700.4

Source: Ministry of Finance and Economic Management

Table 12. Reconciliation of Government Expenditure estimates in VT millions¹⁵

Budget Year	Forward Estimates				
	2025	2026	2027	2028	2029
Expenditure estimates in Base Recurrent Budget Ceiling	41,074.5	41,039.4	40,849.2	41,764.1	41,678.3
Effect of parameter and other variations	-	-	-	-	-
Effect of Policy Decisions	8,698.0	3,974.2	3,938.1	3,980.1	4,022.1
Total Recurrent Budget Ceiling	49,772.5	45,013.6	44,787.3	45,744.2	45,700.4
Unallocated fiscal space	-	(2,765.8)	(1,096.9)	360.5	2,029.5
Expenditure estimates in 2024 Budget (Inc. fiscal space)	49,772.5	42,247.8	43,690.3	46,104.7	47,729.9

Source: Ministry of Finance and Economic Management

¹⁵ The total recurrent budget ceiling estimates in this table are the same as the grand total line in Table 11, with the addition of the unallocated fiscal space. The fiscal space has not been included in Table 11 in 2026 onwards because it has not been allocated to any programs and activities within any Ministry yet.

5. Budget Policy Statement 2025

1. Statement of Responsibility

This statement of responsibility confirms the Government's commitment in preparation and finalisation of the 2025 Budget. It outlines the core economic and fiscal policies of the Government that are in line with the legal requirements of sections 9 and 10 of the Public Finance and Economic Management (PFEM) Act [CAP 244]. These policies aim to achieve Government's policy objectives and targets that were outlined in the Government's National Sustainable Development Plan (NSDP) or the Vanuatu people's plan 2030, in order to enhance economic growth and improve service delivery.

Section 9 of the PFEM Act requires the Government to:

- specify its economic and financial policies, including those relating to key economic and fiscal variables; and
- State the discipline it will adhere to in its economic and financial dealings.

Section 10 of the PFEM Act requires the Government to:

- state its long-term objectives for fiscal policy in terms of major economic and fiscal variables;
- specify the main strategic priorities guiding the preparation of the budget;
- indicate the Government's targets for fiscal and economic variables; and
- provide an assurance that the long-term objectives outlined in the statement are:
 - a. consistent with the Principles of Responsible Fiscal Management laid down in Section 22 of the PFEM Act; and
 - b. Consistent with the previous year's Budget Policy Statement – that is, policies have remained consistent over time or, otherwise, justifications have been made for their departure.

In line with section 9 and 10, this Budget Policy Statements also confirms that the Government's economic and fiscal policy objectives, strategic priorities and intentions are also consistent with the Principles of Responsible Fiscal Management specified in section 22 of the PFEM Act [CAP 244]. On this note, the Government will continue to enhance its revenue collection, allocate its financial resources efficiently and at the same time manage state debt in a manner to improve service delivery as well as enhance economic growth.

As the Minister and Director General responsible for deciding and implementing the economic, financial and fiscal policy of the Government, it is our honour to confirm that the 2025 Budget Policy Statement is in line with Sections 9, 10 and 22 of the Public Finance and Economic Management (PFEM) Act [CAP 244].



2. Economic and Financial Policies

The 2025 Budget will be finalised in line with section 9, 10 and 22 of the Public Finance and Economic Management (PFEM) Act [CAP 244]. On this note, the Government will continue to raise revenue and allocate its financial resources towards both the productive sector and social sector in 2025 following the four budget policy priority outcomes outlined in this Budget Policy Statement in order to improve service delivery, enhance wellbeing of all the people in Vanuatu and at the same time improve economic growth.

The guiding principles for the finalisation and implementation of Budget 2025 will be the principles of responsible fiscal management as outlined in section 22 of the PFEM Act, which are provided in the box below. These principles require the Government to pursue its budget policy objectives in a fiscally responsible manner.

Section 22 of the PFEM ACT: Principles of Responsible Fiscal Management

1. Reducing and then managing debt at prudent levels so as to provide a buffer against factors that may impact adversely on the level of debt in the future, by ensuring that, unless such levels have been achieved, the total overall expenditures of the State in each financial year are less than its total overall receipts in the same financial year;
2. Achieving and maintaining levels of State net worth that provide a buffer against factors that may impact adversely on the State's net worth in the future;
3. Managing prudently the fiscal risks facing the State; and
4. Pursuing policies that are consistent with a reasonable degree of predictability about the level and stability of tax rates for future years.

3. Budget Policies

The 2025 Budget policies have been developed in line with sections 9, 10 and 22 of the Public Finance and Economic Management (PFEM) Act [CAP 244]. The Budget policies, objectives, and targets are crucial in the process of developing and finalising the Budget 2025.

The 2025 Budget Policy Statement outlines the following:

1. Budget Policy Priorities for 2025 and New Policy Proposals (NPPs) proposed budget allocations.
2. Economic and Fiscal Targets for 2025; and
3. Long Term Economic Policy Objectives

A. Budget Policy Priorities for 2025

Background

As per the provisions of the Government Act, the Prime Minister (PM), in consultation with the Council of Ministers, sets strategic policy planning and takes significant administrative decisions for the Republic of Vanuatu. This legal mandate has guided the development of the 2025 Government Policy Priorities for the country. Section 9 of the PFEM Act ensures that the allocated financial resources are in line with those policy priorities of the Government. However, the NSDP remains as the guiding policy document for this Government when developing the 2025 policy priorities to achieve the people's vision.

2025 is an important year as it will mark 10 years of the journey of making 'sustainable development' a nationally and internationally shared goal. The formation of the National Sustainable Development Plan or the People's Plan 2030 has been the NSDP was the first national development initiative that was widely consulted across Government agencies, non-government organisation, private corporations, community based and civil society organisations, sector representatives and development partners. Importantly, the resulting Plan that also domesticated the globally adopted Sustainable Development Goals (SDG).

With only five years before the lapse of the People's Plan 2030, the NSDP review has identified less than 50 per cent implementation across its policy objectives. Thus, the 2025 Government Policy Priorities will provide a platform for the Government and its stakeholders to revisit and recommit towards our efforts in implementing the Plan before 2030.

After 44 years as an independent country and 4 years after graduating from being a Least Developed to a Developing Country, Vanuatu has reached a cross-road in its development agenda. One that it must tread carefully. While Vanuatu aspires to be a developing country, it must ask itself what it is willing to sacrifice. Apart from the ongoing threats of climatic events and the associated reconstruction costs, Vanuatu's rural population has been dwindling for the bright lights of urban centres and the overseas work schemes that lure people to find employment elsewhere. Despite successive Government's investments into the productive sector over the last few years. The country finds itself dependent on outside economies for growth; such as through a thriving tourism sector, economic boost through construction after cyclones and increased Overseas Development Assistance and remittances from overseas work schemes. There is a widening inter-generational gap that threatens our identity as a Melanesian country, with its unique cultural and linguistic diversity. This gap is borne through a lack of appropriate measures to strengthen our Melanesian values - such as languages and protection of land rights and the systemic alienation, deprivation and eviction of indigenous people from indigenous lands in the name of development. We have not been good stewards of our environment and our people. Proper planning is needed in urban areas to prevent the polluting of harbours, our lagoons and rivers and in the rural areas' conservation and protection of native flora and fauna. Introduced invasive species of birds, fish and insects threaten our native birds and fish species, including the ongoing threat of the coconut rhinoceros beetle (CRB) to one of our main export commodities which is copra. Non-Communicable Diseases (NCDs) are threatening the very resource and lives of our people at alarming rates

through our high dependency of manufactured food items. As a society, we have been neglecting our children through lack of investments in early childhood education and development, as well as those living with disabilities.

We can only move forward, if we all move together. This is especially true for our islands. Smaller islands with less resources have been neglected for far too long because the Government has chosen to invest in the bigger islands to create opportunities. After 44 years of independence, only four out of 83 islands have some sort of tar-sealed roads and only the six main provincial headquarters have access to hospitals and proper infrastructure for education. With the influx of people leaving to find work elsewhere, many islands remain under-developed, with a large number of households now being looked after by a single mother or an elderly couple. This is concerning, especially during times of disasters with the distribution of relief supplies and in evacuation centres where abuses can happen.

All these concerns, including the under average performance of the Government in the first five years of implementing the People's Plan 2030, as per the findings of the NSDP review, led to the Government calling for a 'Resetting' of the National Agenda. This Led to the 1st Summit of the People and the Government in 2023.

The 'Resetting' Agenda, had a three -pronged approach, which aim to integrate NSDP review recommendations and constitutional mandates to complement and accelerate the People's Plan 2030 and strengthening resiliency.

1. The first prong targeted policy and governance reforms in the public and private sectors including creating and establishing enabling environments to improve conditions for a renewed and targeted national and sub-national growth.
2. The second prong is built on the premise of strengthened partnerships to support Infrastructure and growth in an ever-changing environment posed by threats of extreme weather events (such as the unprecedented two category five tropical cyclones), health security and peace targeting a resilient society.
3. The third prong is to guarantee our people a just and fair society that leaves no one behind and an environment that can continue to sustain and support the continuous pursuit of prosperity for us, our children and their descendants.

These 'Resetting Agenda prongs' formed the basis of the Summit dialogue of the Government and the people in 2023. The Summit brought together all major stakeholders of the People's Plan and adopted the 'Leaders Understanding' which committed to the need to re-focus and step up or accelerate efforts in meeting the targets of the People's Plan especially in the provinces through a well - coordinated and decentralised services.

The Directors' Strategic Planning Meeting that followed the Summit translated the 'Leaders Understanding' into the NSDP Acceleration Plan which included the development of a National Sustainable Development Policy, a Development Strategy and Sub-National Action Plans.

The findings and recommendations of the NSDP review along with the Summit resolutions will form the basis of the Government's Policy Priorities for the next five years, to ensure we are on target in meeting the NSDP Policy Objectives and hence ensuring that we achieve our collective vision for a 'stable, sustainable and prosperous Vanuatu.'

The main finding was that the tools for NSDP implementation, such as the National Planning Framework (NPF) and the NSDP Monitoring and Evaluation framework, while being adhered to appeared to be poorly implemented. These were partly due to lack of understanding, human resources capacity constraint and very ambitious plans with lack of proper execution, such as by grouping targets into specific timeframes that can be implemented and tracked.

In ensuring that the Government maximises its resources to meet the outcomes of the People's Plan by 2030, it developed a Roadmap of Government Priorities based on the three (3) 'prongs' of the Resetting Agenda was agreed to at the National Summit and translated into the NSDP Acceleration Plan. Under this plan, there will be a targeted focus on the implementation of the Economic pillar policy priorities in 2024 followed by Society and Environment pillar policy priorities in 2025. In 2026, the Government will evaluate these accelerative measures before proposing its policy priorities based on indicators that need more efforts to implement by 2030.

PRONG 1

(2023)

National and Sub-national Reforms and Partnerships

The Government Policy Priorities focused mainly on National Level reforms including the National Summit of the People to establish development priorities. Much of this work was led by the National Parliament, the Office of the Prime Minister, Office of the Public Service Commission, State Law Office, the Ministry of Foreign Affairs International Cooperation and External Trade, Ministry of Finance and Economic Management and Ministry of Internal Affairs. It looked at pressing domestic issues as well as foreign concerns including labour mobility, minimum wage, remuneration and political reforms including Political party integrity constitutional reforms as currently witnessed by the pending referendum.

In 2024, the government's New Policy Priorities have been reduced from its previous seven (7) priorities to only four (4) to allow for a better coordination and targeted approach to ensure progress can be properly measured and reported on. Thus, in 2024 there will be focus on promoting capabilities for resilience and prosperity especially after three (3) severe cyclones in three (3) years, the caucus and constitutional priorities and the need to address NSDP review in the remaining six (6) years.

PRONG 2

(2024)

National and Sub-national Resilient Infrastructure and Economic Growth

In 2024, the Government is committed to implement policy options aimed at strengthening Vanuatu's economic resilience and recovery through **building resilient infrastructure for economic, social and environmental sectors** at both the national and subnational levels to facilitate 'building back better' recovery while creating resiliency to minimize future macro-economic and human impacts from disaster. The other key focus for 2024 is on economic growth especially in rural areas. In 2024, the Government will stage the National Economic Forum as part of its renewed focus on accelerating the implementation of its Economic pillar targets.

PRONG 3

(2025)

Resilient People and Environment

The third prong is to guarantee our people a just and fair Society that leaves no one behind and an Environment that can continue to sustain and support the continuous pursuit of prosperity for us, our children, and their descendants. The Government's Policy priorities of the past have always put economic and infrastructure development as its priority focus. This has seen large investments of Government going to waste with projects not being sustained. The re-focus on people and their environment is also about investing in development that has people at the heart of decision-making and involving them as stakeholders in development and democracy creating ownership, accountability, and pride so they are an active participant in implementing The People's Plan and in achieving the National Vision for a Stable, Sustainable and Prosperous Vanuatu. A key aspect of this priority is resiliency and involves working with Indigenous governance in each island and province to develop a workable model and linkage with the formal system to support service delivery in rural communities. In 2025, the Government will organise the National Society and Environment Forum to ensure that implementation of NSDP Environment and Society Pillars are being met.

Core Policy Priorities Analysis and Justification for support in 2025

The current Government remains committed to public sector reforms including existing priorities captured in recurrent budgets of ministries to deliver the People's Plan 2030. However, the main focus of 2025 will be on building capacity for resiliency and prosperity through the Society and Environment Pillar targets. It does not mean that the Government is reducing investment in economic pillar. The Government has developed legislation to explore opportunities to partner with Private Sector through the Public, Private Partnership ventures to implement infrastructure and economic priorities of the government. This should open up more recurrent budget for the Government to implement programmes for social, environmental and cultural development.

In 2025, the government's New Policy Priorities will continue to focus on government's recurrent budget on four priorities to allow for a better coordination and targeted approach to ensure progress can be properly measured and reported on. Thus, in 2025 there will be a continued focus on promoting capabilities for resilience and prosperity especially after ongoing reconstruction efforts and threats of climatic events, implementing the Outcomes of the National Summit, caucus constitutional priorities and the need to address NSDP review and implement the Acceleration Strategy in the remaining five years before 2030 through the following priority outcomes and Targets:

Policy focus for 2025: Strengthening the three (3) levels of Government through resilient People and environment, resilient infrastructure, and Sustainable Growth

Vanuatu, a Pacific Island nation with a rich cultural heritage and diverse ecosystems, faces significant challenges in achieving sustainable development. Rapid population growth, environmental degradation, and vulnerability to natural disasters threaten the well-being of its people and the integrity of its ecosystems.

To address these challenges and ensure a prosperous and resilient future for all citizens, Vanuatu must adopt a comprehensive national sustainable development policy and implementation strategy. The 2025 Government Policy Priorities outlines the government's intention on meeting its People's Plan and sets out key priorities for achieving these through integrated planning, stakeholder engagement, and targeted interventions.

The burden of implementing the People's Plan has all been on the Government despite private, civil society and communities all having vested interests. The Government's expectation is changing from the traditional role of sole provider of public order and public goods. The development of the NSDP Acceleration Framework has defined the Government's emerging new role as facilitating and managing expectations of its stakeholders with diverging interests relating to climate change, demographic challenges and having better educated and well-informed citizens.

In 2025, the government, as per its 'Resetting Agenda', will prioritize emphasis on development of resilient people and environment through a strength-based, people-centered development approach. This outlook allows the Government to look at development from a perspective of what it already has instead of what it does not have. The greatest asset of the Government are its people and its environment-its cultural heritage. The inter-connectedness of the people and their environment is integral to Vanuatu achieving its vision for a 'stable, sustainable and prosperous' future. People are the custodians of their environment. Their sustainable use of the environment is important to their survival and to sustainable economic growth. In 2025, the government's intention is to commit its recurrent resources towards developing the potential of its children, its youth and maximizing the participation of women in development and democracy. Furthermore, it will explore the opportunities of utilizing the role of indigenous governance models and practices to support the Government deliver services to the people especially in the rural areas. This priority is set on the premise that investment in people and the environment will have longer term and sustained benefits for the Government in reducing expenses to address social issues such as unhealthy population for instance the prevalence of life-style diseases, crime and unemployment as well as maximize returns for economic growth and development. Land disputes have been a plaque on development aspirations in the past. Working with the Indigenous custodians is a progressive new outlook that will allow Government to partner with the custom owners through local authorities established by Government and Island Council of Chiefs to agree on development initiatives and land for development before resources are committed.

The focus in 2025 on resilient people and environment does not remove government's urgency and importance on building resilient infrastructure for economic, social and environmental sectors at both the national and provincial levels. These remain as important priorities for government. The Government wants to continue to create an enabling environment to encourage more Public Private Partnerships and Joint Ventures with local and foreign investors through the Public Private Partnership Policy, in order to spread economic development and benefits equitably. The proposed legislation of Public Private Partnership will allow the Government to pursue options of partnering with private sector to deliver services for economic and infrastructure development and meeting the targets of the NSDP Economic Pillar.

In 2025, Key priorities include:

- **Strengthening institutional governance at all levels for quality and effective service delivery and protection of our environment and natural resources** – to strengthen resiliency and governance at national, provincial, area councils and communities including resourcing these to deliver quality decentralised services for all our people and protection of our natural based resources including ocean, land, and forest
- **Improved and well-maintained resilient infrastructure and establishing an enabling business environment including supporting Public Private Partnerships** for resilient infrastructure, creating business opportunities and employment for entrepreneurs throughout Vanuatu with a focus on strengthening rural and urban economy that increasingly contributes to national prosperity and establishing model villages and communities

- **Resourcing the implementation of Vanuatu National Acceleration Framework for the National Sustainable Development Plan** through identification of human resource needs and resources needed to deliver services effectively and efficiently especially in the provinces
- **Continue to implement Government reform, essential services, and development initiatives** to support implementation of economic, social, and environmental development especially in human resources and infrastructure development for rural areas

Priority Outcome 1: A Happy, Resilient, Fair and Just Society in harmony with their environment

The Government will improve conditions by ensuring people are respected and their dignities are upheld and that they enjoy a quality life through choice and quality lifelong education and training; quality healthcare service and improved welfare, access to affordable, relevant and inclusive justice services, improved and better coordinated reliable, relevant and accessible protection and support services for children, youth, the elderly and people living with disabilities, as well as continuing to build our resilience to climate change, natural hazards while promoting the protection of our environment by:

- **Improving and strengthening quality education and training for all** to ensure the six (6) provinces of Vanuatu have access to quality education including building community capacity in delivering education outcomes and supporting implementation of human resources training for business and employment and linking to incentives for private and public sector skills development.
- **Improving and strengthening quality healthcare for all** to ensure the six provinces of Vanuatu have access to quality healthcare including building community capacity in managing community welfare and supporting implementation of health strategy
- **Improving climate change adaptation, disaster risk and environmental management governance at all levels** to mitigate the effects and impacts of climate change and other disasters on the economy and population including protecting and preserving our environment.
- **Improving environmental governance at all levels** to protect and preserve our nature-based resources including ocean, land, and forest.
- **Increasing equitable, accessible, safe, and affordable water supply, sanitation, and energy-** to increase communities' access to safe and secure drinking water sources and, electricity.
- **Strengthening Government agencies including social and cultural institutions** that have a strong legislation and governance framework to support decentralisation of services.
- **Increase support and strengthen programmes for children, young people, women, people living with disabilities, and the elderly** to ensure they have access to relevant, reliable, and timely services.
- **Establish a cultural hub** -to develop a model of linking the formal and informal systems of Governance that can be replicated in other provinces as a best practice for distributing some of the burden of implementing the People's Plan to businesses, civil societies, chiefs and individual citizens.
- **Enhance implementation of decentralization** – by strengthening the Provincial Governments, adopting whole-of-Government integrated approach, empowering area councils, establishing a

governance accountability mechanism, and developing and rolling out sub-national work and training manuals on planning and budgeting that must be risk informed.

Target Outcomes:

- Improved planning and resourcing for disaster risk financing and climate financing by national and Subnational Governments including implementing the Standard Operating Procedures (SOP) for Preparedness, Response Plans, Recovery Plans for Natural Disasters and Pandemics.
- Improved education quality, accessibility and training outcomes for children and young people
- Improved quality health care
- Improved service delivery
- Improved resilience and natural resource management
- Guaranteed social inclusion, security, peace and justice
- Government services must be decentralized down to provincial and area councils
- Improved investment and support for early childhood care and education
- Develop and establish TAFEA as the country's National Cultural Hub, and Tanna to host the 2025 National Forum on culture, society and environment
- Improved safe drinking water coverage and security for all population.
- Improved sanitation coverage
- Increased population access to reliable and sustainable energy sources, including renewable energy for urban and rural areas
- Development of standards for household, business, and industry waste management; and to improve rubbish collection management and disposals at landfills
- Improved waste management and pollution control.
- Improved management and sustainable use of forestry resources for TC Harold recovery and industrial developments in compliance with the Forestry Act
- Improved sustainable management of land and sea-based resources in compliance with Mines and Minerals Act as well as Petroleum Act and the Environmental Protection and Conservation Act
- Developed cultural impact assessment to protect sacred sites and promote heritage sites
- Increase support to the protection and the conservation of endangered species and wildlife
- Review of climate change and disaster risk reduction related policies, strategies, and legislations

Priority Outcome 2: Improved and Well-maintained resilient infrastructure that facilitates a strong rural and urban economy

This focus continues to be a priority of the Government given the versatility of our economic dependency. While tourism and remittances bring in lots of revenue, these options are dependent on overseas thriving economies. Covid-19 experience and threats of terrorism allow us to re-think that our model of revenue generation cannot be overly dependent on tourism and remittances. Vanuatu needs to invest and encourage investment into the productive sector and encourage this as a viable option for income generation through incentives that can attract people to venture into these.

The Government is committed to implement policy options aimed at strengthening Vanuatu's economic resilience and recovery as well as reducing Government expenditures through:

Resilient infrastructure is a core Government priority in 2025 improved and resilient public buildings, roads, wharves and airports, including energy and telecommunication infrastructure will continue to strengthen connectivity between essential Government services, agriculture, value addition, tourism and markets in the future through:

- **Rehabilitating and improving maintenance of high priority rural infrastructure** – through partnership arrangements with private sectors, development partners and local communities to improve rural (including feeder) roads, upgrading wharves and jetties, building of warehouses, sports and recreational facilities, health, education, justice, security, and facilities women, children, youth and people living with disabilities including completing transport infrastructure maintenance fund strategies.
- **Improving airport infrastructure including AToNs**– through the finalization of the airport master plan, which allows for the continued development of Code E terminals at the Bauerfield International Airport, acquiring land for airport development, moving the water source, upgrading major key airfields, sealing the existing air space agreement. Strengthening the regulatory arm of the industry is also required to keep up with operational demand.
- **Expanding access, and reducing the costs of energy and telecommunication**– by promoting alternative sources of energy in rural areas such as solar energy and hydropower, and other renewable sources of energy, improving accessibility and affordability of telecommunication in rural areas. Increase accessible, affordable, secure, reliable, and sustainable energy for all.
- **Expanding access of clean and safe drinking water**–through infrastructure support to communities and ensuring proper governance is established for maintenance and expansion
- **Strengthening the enforcement of compliance** services to ensure implementation of Government policies and legislation such as Environmental Impact Assessments, especially those targeting inclusive resilient infrastructure, revenue generation and good governance.

Target Outcomes:

- Strengthen health infrastructure and capacity in the country especially in ensuring accessibility of health care in rural communities
- Strengthen education infrastructure and capacity in the country especially in ensuring accessibility of quality education and training in rural communities
- Strengthen justice and security infrastructure and capacity in the country especially in ensuring accessibility of justice and maintenance of law and order in rural communities
- Strengthen infrastructure and capacity in the country especially in ensuring accessibility of services for men (chiefs), women, youth, People with special needs including early childhood development, church, and business networks in rural communities
- Continued development of multi-purpose courts for the development of physical and recreational activities in rural communities
- Continued support to the implementation, completion and maintenance of large on-going infrastructure projects, including feeder road projects, with required disaster risk informed building standards, including in disaster affected/prone areas.
- Improving waste management and sanitation infrastructure and operations to reduce pollution impacts
- Strengthened regulatory arm of the aviation industry including an interactive website where clients can file applications, obtain standard information. Continue negotiating the airspace agreement.

- Improved transport infrastructure facilities, including wharves, roads and airports to facilitate trade within and between islands; opening of rural feeder roads; develop road assets; and implement sustainable public road policy.
- Support capacity development of personnel and safer marine approaches through an increased installation of marine aids to navigation (AToN's) network at identified locations, and development of hydrographic surveys, security, management of facilities and the collection of revenues.
- Continued support in domestic shipping services to provide shipping subsidy
- Increased number of households with access to clean energy and electricity in rural areas, by continuing support and review of the National Green Energy Fund.
- Increased number of households with access to quality and safe water supply infrastructures
- Improved reliable and affordable access to telecommunications by extending the Government Broadband Network to rural areas to connect Government services to where it is needed, in line with Government's decentralization priorities
- **Increase primary production and market access** for commodity crops, animal, fish and forest products through increased mechanization, Public Private Partnerships (PPPs), and support to Vanuatu Primary Producers Association (VPPA), Vanuatu Cooperative Business Networks, and improve trade facilitation.
- **Strengthening of the food supply chains** starting from farm production, logistics, to market outlets and to consumers for ensuring food security and nutrition for the population.
- **Improving the management of land** leases and customary land as a catalyst for enhancing economic development and livelihoods of people living in rural areas.
- **Promoting a strong economic diversification** through commodity production and exports.
- **Increase Value-addition, infrastructure facilities, Agro-processing and Quality control** to enter a competitive market and expand the capacity for managing biosecurity and border control risks of pest and disease incursion.
- **Expanding the service sector**, such as businesses that serve the productive sector such as the Vanuatu Rural Development Bank (VRDB) while improving implementation of tourism initiatives
- **Support the proposal for the establishment of model villages and communities** to implement intersectoral Government priority services that reduce costs while integrating natural and cultural aspects of that locality
- **Support Public Private Partnerships (PPP)** for companies and rural communities to develop socio-economic infrastructure and private business ventures

Target Outcomes:

- Improved participation rate of Ni-Vanuatu business in the formal cash economy
- Improved food and nutrition security for every household
- Increase support to VPPA and Indigenous Ni-Vanuatu Agro- Industry Council (INAC)
- Improved Research & Development for productive sectors including support to Vanuatu Agriculture Research and Technical Centre (VARTC)
- Increased production and supply of poultry, fish, meat, and agricultural crops to local market outlets and export markets.
- Increased support to commodities subsidy and root crops subsidy
- Increased market access through increased value-addition and agro-processing and quality control
- Reduced backlog of court cases relating to customary land disputes and leases
- Increased support for land compensation and acquisition that promote public investment
- Increase support for Public Private Partnership (PPP) ventures and investment.
- Increased Vanuatu exports by reducing Technical Barriers to Trade (TBT) to compete in niche markets
- Increased number of local entrepreneurs, registered farmers, fishers, and foresters receiving necessary Government support.
- Increased support to the businesses, and cooperative development in rural communities
- Improved access to financial capital for MSMEs through VRBD, Industry Development Fund, and Cooperative Development Fund, and other Banking Facilities.
- Increased earnings and volume of trade due to existing/newly trade agreements.
- Improved private sector investment through PPP by both local and foreign investors in the productive sectors.
- Reduced risks and spread of pest and diseases entering Vanuatu including the Coconut Rhinoceros Beetle.
- Vanuatu Sustainable Tourism Policy 2019-2030 and Vanuatu Sustainable Tourism Strategy 2021-2023 implemented.
- Strengthened revenue base, develop new revenue initiatives; strengthen tax administration and compliance system.
- Continue to plan and coordinate with relevant stakeholders and businesses/agencies the employment stabilization to enable the program to assist businesses

- Support the creation of a disaster-recovery related development account within the Treasury Department
- Develop and implement the MTEF and provide capacity building program for other sectors to follow including the MOE, MIPU and the rest of the 13 ministries.
- Developed and strengthened appropriate regulations for trade and commerce
- Improve the timely Collection and dissemination of national official data especially for monitoring implementation of NSDP indicators
- Strengthen customs border control systems to continue to upgrade the Asycuda systems to achieve its operational objectives
- Model villages and communities that display all the community services needed while integrating features of the customs, cultures and environmental uniqueness of that locality

Priority Outcome 3: Vanuatu National Acceleration Framework for the National Sustainable Development Plan is adequately resourced to ensure its implementation

The National Acceleration Framework is a series of actions needed to ensure the achievement of development aspirations as aspired to in the People's Plan 2030: These include:

- **National Sustainable Development Policy 2024-2030** with its policy goals for Social Equity, Environmental Sustainability, Economic Development and Governance and Institutional Capacity
- **Strategies to implement the National Sustainable Development Policy:** Social Strategy, Environment Strategy and Economic Strategy. DCO will have mandate over these strategies.
- **Establishment of the following Steering Committees** to provide oversight on the implementation of Strategies: Social Strategy Steering Committee, Environment Strategy Steering Committee and Economic Strategy Steering Committee made up of respective DGs and 1st PAs
- **Establishment of Action Plans to implement Strategy** in provinces and municipalities. The Directors will have mandate over the Provincial and Municipal Action Plans. These will be for a period of 3 years as well.
- **Formal Working frameworks will be signed with provinces and municipalities** by each Ministry to implement the action plan. This will allow budget to be appropriated by each Ministry and respective Director Generals
- **Provincial Officers will develop annual activities** to implement activities coordinated through SG and Provincial Technical Advisory Committee who are also responsible on reporting on the activities per year.

Target Outcomes:

- National Acceleration Plan on the Implementation of the NSDP is finalised
- National Sustainable Development Policy Developed
- National Implementation strategies for Economic, Social, Environment and Cultural development developed and Implemented
- Provincial and Municipal Action Plans developed and Implemented

Priority Outcome 4: Continued implementation and sustaining Government reforms, essential services and commitments

To manage resources and development effectively and sustainably, the Government will continue to ensure there are resources available to implement and maintain development initiatives and support Government obligations including responding to disasters and *early* recovery.

- **Continued support for 2024 Government Policy priorities** to implement continued infrastructure and economic initiatives
- **Continued support for recovery efforts** to implement policy options aimed at strengthening Vanuatu's economic resilience and recovery through **building resilient infrastructure for economic, social and environmental sectors** at both the national and subnational levels to facilitate 'building back better' recovery while creating resiliency to minimize future macro-economic and human impacts from disaster as well as develop Vanuatu's economic potential.
- **Continued payment of Government Loans** and legal obligations to ensure efficient fiscal management
- **Preparedness and Emergencies** to allow Government to prepare and respond to threats of natural and other disasters without affecting allocated services budgets.

Allocation of Fiscal Space to Priority Outcomes (tentative)

Thus, the Government Policy focus for 2025 is strengthening the three levels of Government- National level, Provincial and Area Council, to deliver quality and targeted resourcing with four key policy outcomes.

The DSPPAC with the assistance of DoFT have been closely monitoring the trend of actual fiscal space allocation over the past years. After analyzing the trends of the actual fiscal space allocation over the past years, it is proposed that the overall fiscal space allocation for MBC to allocate to the policy outcomes are as follows:

- **Priority Outcome 1:** A Happy, Resilient, Fair and Just Society- 50%
- **Priority Outcome 2:** Improved and Well-maintained resilient infrastructure - 20%
- **Priority Outcome 3:** National Acceleration Framework on NSDP Implemented - 10%
- **Priority Outcome 4:** Government Reforms, Essential Services and Commitments implemented - 20%

Figure 9: Propose Fiscal Space Allocation



B. Fiscal Policies

The Government's fiscal policy will continue to be guided by the principles of responsible fiscal management. Together with Government reforms and sound financial management, the fiscal policies will continue to place more emphasis on growing the economy through increasing Government revenue, and meeting Government expenditure programs and activities, at the same time enhance service delivery to improve the wellbeing of all the people in Vanuatu.

C Economic Update in 2024

World Economic Outlook (WEO)

The July 2024 World Economic Outlook Update presents a global economy at a crossroads. While maintaining the overall growth projection of 3.2 per cent for 2024, the IMF has adjusted its 2025 forecast slightly upward to 3.3 per cent. The IMF has highlighted significant regional disparities, with emerging markets and developing economies, particularly in Asia, showing stronger performance. China's growth forecast for 2024 has been revised upward to 5.0 per cent, driven by rebounding private consumption and robust exports. Conversely, advanced economies face challenges, with the United States seeing a downward revision to 2.6 per cent growth in 2024. The euro area shows signs of recovery, albeit modest, with a projected growth of 0.9 per cent in 2024. The IMF emphasizes the complex interplay of factors affecting the global outlook, including persistent inflation in the services sector, evolving monetary policies, and the potential impact of geopolitical tensions on trade and economic stability.

The baseline forecast shows offsetting growth revisions have shifted the composition of growth. Among advanced economies, growth is expected to converge over the coming quarters. The growth forecast for emerging markets and developing economies has been revised upward due to stronger activity in Asia, particularly China and India. However, growth has been revised downward for Latin America and the Caribbean, the Middle East and Central Asia, and sub-Saharan Africa. The report emphasizes the need for policymakers to carefully calibrate and sequence the policy mix to restore price stability and address the legacies of recent crises, including replenishing lost buffers and durably uplifting growth.

Table 13. World Economic Outlook: Real GDP (year-over-year change; per cent)

	World Economic Outlook								
	2021	2022	2023	2024	2025	2026	2027	2028	2029
World Output	6.5	3.5	3.3	3.2	3.3	3.2	3.1	3.1	3.1
Advanced Economies	5.7	2.6	1.7	1.7	1.8	1.8	1.7	1.7	1.7
US	5.8	1.9	2.5	2.6	1.9	2.0	2.1	2.1	2.1
Euro Area	5.9	3.4	0.5	9.0	1.5	1.4	1.3	1.3	1.2
Japan	2.6	1.0	1.9	0.7	1.0	0.8	0.6	0.6	0.4
Emerging Markets and Developing Economies	7.0	4.1	4.4	4.3	4.3	4.1	4.0	3.9	3.9
China	8.5	3.0	5.2	5.0	4.5	3.8	3.6	3.4	3.3

Source: International Monetary Fund, World Economic Outlook (WEO), July 2024

The outlook for advanced economies shows a convergence in growth over the coming quarters. The overall growth projection for advanced economies remains unchanged at 1.7 per cent for 2024 and 1.8 per cent for 2025. However, there are some notable variations among countries. The United States is projected to grow by 2.6 per cent in 2024, slightly lower than previously forecast, with growth expected to slow to 1.9 per cent in 2025 as the labour market cools and consumption moderates. The euro area is expected to see a modest pickup of 0.9 per cent in 2024, driven by stronger momentum in services and higher-than-expected net exports. Japan's growth forecast for 2024 has been revised downward to 0.7 per cent due to temporary supply disruptions, but a turnaround in private consumption is expected in the second half of the year. Overall, while advanced economies are projected to maintain stable growth, they face challenges such as persistent inflation in services prices and the need to carefully manage monetary policy normalization.

The forecast for growth in emerging markets and developing economies has been revised upward. The projected increase is primarily driven by stronger activity in Asia, particularly in China and India. China's growth forecast has been revised upward to 5.0 per cent in 2024, mainly due to a rebound in private consumption and strong exports in the first quarter. India's growth forecast has also been revised upward to 7.0 per cent for the year. However, the outlook is not uniformly positive across all regions. Growth projections have been revised downward for Latin America and the Caribbean, with Brazil affected by flooding and Mexico experiencing moderation in demand. The Middle East and Central Asia face challenges from oil production cuts and regional conflicts, while sub-Saharan Africa's growth forecast has been revised downward, mainly due to weaker-than-expected activity in Nigeria. Overall, emerging markets and developing economies are expected to grow by 4.3 per cent in both 2024 and 2025, showing resilience despite varied regional challenges and global economic uncertainties.

The global inflation is on a downward trajectory but faces challenges in its path to normalization. The global consumer price inflation decreased from 6.7 per cent in 2023 to a projected 5.9 per cent in 2024, with a further decline to 4.4 per cent expected in 2025. However, the pace of disinflation is slowing, particularly in advanced

economies, due to persistent inflation in services prices and higher commodity prices. The report highlights differing sectoral dynamics, with stronger disinflation in goods prices partially offsetting sticky services inflation. Emerging markets and developing economies are experiencing a slower decline in inflation compared to advanced economies

The global outlook presents a balanced view of global economic risks, with some near-term concerns gaining prominence. On the upside, faster implementation of macrostructural reforms and policies promoting multilateralism could boost productivity, growth, and generate positive global spill overs. However, several downside risks loom larger. These include persistent inflation, particularly in the services sector, and potential price pressures from renewed trade or geopolitical tensions. The prospect of higher-for-longer interest rates could increase external, fiscal, and financial vulnerabilities. Economic policy uncertainty due to elections and the potential for increased protectionism pose additional challenges. Prolonged dollar appreciation might disrupt capital flows and complicate monetary policy easing in some economies. The report emphasizes that while overall risks remain balanced, policymakers must carefully navigate these challenges to maintain growth momentum and ensure a return to price stability.

Regional Economic Outlook (REO)

The Pacific Island Countries (PICs) are experiencing a robust recovery fueled by the reopening of borders. Tourism arrivals and remittances are rebounding significantly. Notably, Fiji, a leader in reopening, achieved pre-pandemic tourist levels in 2023, providing a positive signal for the region's tourism sector.

The July 2024 WEO update by the IMF largely maintains the growth projections outlined in the April 2024 WEO. The region is anticipated to grow at 4.0 per cent in 2024 (*excluding Australia and New Zealand*), reflecting an upward revision from 3.3 per cent the prior year. This growth is expected to moderate to 3.5 per cent in 2025, followed by an average of 2.1 per cent over the medium term. Vanuatu's growth trajectory is projected to be slower but steady, with forecasts of 3.0 per cent and 3.5 per cent in 2024 and 2025, respectively.

Papua New Guinea's initial growth projections have been revised downward due to the recent civil unrest. However, the IMF completed its second program review and expects positive growth of 4.5 per cent for 2024. This outlook is supported by the resumption of major mining operations, particularly the Porgera gold mine, and favorable commodity prices. The Government has also undertaken ambitious fiscal consolidation efforts to strengthen debt sustainability.

Inflationary pressures are easing in the region, reflecting both domestic and global central bank efforts at monetary policy tightening. Growth projections for Australia and New Zealand remain unchanged for 2024 at 1.5 per cent and 1.0 per cent, respectively, with stable medium-term prospects.

However, the region remains exposed to external shocks. Ongoing Russia-Ukraine conflict tensions could disrupt supply chains, hamper international trade, and potentially cause renewed inflationary pressures. The ever-present challenge of climate change and natural disasters necessitates continued multilateral cooperation to support affected countries.

Table 14. Regional Economic Outlook: Real GDP (year-over-year change; per cent)

Country	2021	2022	2023	2024	2025	2026	2027	2028	2029
Pacific Region(excl Aus&NZ)	-0.5	2.2	3.3	4.0	3.5	2.5	2.1	2.0	2.0
Fiji	-4.9	20.0	8.0	3.0	3.4	3.4	3.3	3.3	3.1
Kiribati	8.5	3.9	4.2	5.8	4.1	3.3	2.5	2.1	2.1
Marshall Islands	1.1	-0.7	3.0	3.0	2.0	1.8	1.5	1.5	1.5
Micronesia	3.0	-0.9	0.8	1.1	1.7	1.1	0.8	0.7	0.7
Nauru	7.2	2.8	0.6	1.6	1.3	1.2	0.9	1.0	0.8
Palau	-13.4	-2.0	0.8	12.4	11.9	3.5	2.0	1.5	1.5
Papua New Guinea	-0.8	5.2	2.7	4.5	3.7	3.5	3.1	3.1	3.1
Samoa	-7.1	-5.3	8.0	5.4	3.4	2.7	2.2	2.0	2.0
Solomon Islands	2.6	2.4	3.0	2.4	2.5	2.6	2.9	2.9	3.0
Tonga	-2.7	-2.0	2.6	2.5	2.4	1.4	1.2	1.2	1.2
Tuvalu	1.8	0.7	3.9	3.5	2.5	2.2	2.1	2.0	1.9
Vanuatu	-1.6	1.9	2.2	3.0	3.5	3.1	3.0	2.5	2.5
Australia	5.6	3.8	2.1	1.5	2.0	2.2	2.2	2.2	2.3
New Zealand	5.6	2.4	0.6	1.0	2.0	2.4	2.4	2.4	2.4

Source: IMF & Staff calculations

Vanuatu Economic Outlook (VEO)

Overview

Vanuatu started 2024 on a cautiously optimistic note, with the economy having weathered the impacts of twin cyclones Judy and Kevin at the beginning of 2023 and TC Lola in October, and activity in key sectors such as tourism slowly recovering from the Covid-19 pandemic. The effects of the global inflationary shocks following the end of the pandemic and the war in Europe are also fading, with inflation falling in the first quarter of 2024, reaching 5.3 per cent, down from its recent peak of 14.4 per cent in quarter 2 of 2023. In the country, the RBV aims to control excess liquidity and keep inflation within its target range of 0-4 per cent; thus, has gradually tightened its monetary policy stance.

The voluntary liquidation of Air Vanuatu in May 2024 has significantly clouded the outlook for the economy. It is likely that in the short run, output in the tourism and transport sectors will be directly and significantly affected, due to the sharp decline in the number of visitor arrivals. Other sectors, including retail, wholesale, finance, telecommunications, manufacturing, electricity production, and beef production will be hurt indirectly through a reduction in aggregate demand.

Overall, GDP growth for 2024 has been revised downwards to 2.8 per cent, from the 3.3 per cent forecasted in the first quarter. The main driver of this downgrade is the services sector, which has been downgraded from 4.6 per cent growth in the first quarter to 3.3 per cent. The agriculture and industry sectors have also both been downgraded, from 2.7 per cent to 2.5 per cent, and 6.8 per cent to 5.7 per cent respectively. The downward revision in the agriculture sector was further exacerbated by the absence of farmers who have travelled out temporarily for seasonal work programs. Expectations are that the capital project may not be implemented fully in 2024 as planned therefore forecasted to spread over three years will be responsible for supporting growth over the medium within the industry sector, as well as having positive spill over to the agriculture and service sector.

Table 15. Real Gross Domestic Product Growth (% change)

Vanuatu Economic Outlook										
	<i>Actuals</i>		<i>Estimates</i>		<i>Forecast</i>					
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Real GDP Growth (2006 prices)	-5.0	-1.6	2.8	3.0	2.8	3.8	3.9	4.3	3.5	3.6
Agriculture, Fishing and Forestry	-2.7	2.7	2.5	-0.9	2.5	2.5	3.2	3.4	3.5	3.2
Industry	4.0	-1.3	4.9	4.6	5.7	9.8	9.5	10.3	3.9	4.1
Services	-6.7	0.4	3.2	4.6	3.3	3.6	3.2	3.4	3.0	3.2

Source: Ministry of Finance and Economic Management

On the downside, long-term reputation damage to Vanuatu as a tourist destination might affect tourist preference to come to Vanuatu as a result of air Vanuatu grounding and unexpected changes in domestic routes. Delays to implement capital investments could also lead to slower growth in the industry sector, while the risk of the Coconut Rhinoceros Beetle spreading to Malampa, Penama, and Torba provinces will impact copra production over the medium term. These risks come on top of the persistent risks faced by the Vanuatu economy, arising from lower-than-budgeted revenue collections, tropical cyclones, labour shortages, land disputes and issues surrounding the corresponding banking relationships.

Agriculture, Fisheries, and Forestry Sector

While experiencing consistent growth in the sector, the agriculture, fisheries, and forestry sector remain pivotal in the economic landscape amid challenges in the labour market and production. The projected growth rate for this sector in 2024 and 2025 is 2.5 per cent, rising to 3.3 per cent on average from 2025 – 29. With this sectoral growth, there are mixed developments in crop production, weaker than expected demand for animal production while there is stable developments in the forestry and fisheries subsectors that have contributed significantly to its developments.

The crop production remains a vital subsector projected to grow by 2.5 per cent in 2024. Quarterly Statistical Indicators (QSI) of quarter 4 2023 produced by Vanuatu Bureau of Statistics shows that cocoa, kava, and coffee prices have increased significantly and remain steady in the first half of 2024 which would boost production of these commodities. The Government continues to subsidise copra prices to sustain production mainly in rural areas. Challenges are still faced with commodity price movements, severe weather patterns, skilled and unskilled labour force temporarily leaving for seasonal work programs and Coconut Rhinoceros Beetle (CRB) presents in Santo likelihood of spreading to other northern provinces over the medium term.

Animal production is projected at 1.7 per cent growth in 2024 and 2.0 per cent in 2025. Developments have been hindered by supply shocks that affect exports however domestic demand is expected to remain steady in 2024 and 2025. The Government maintains its ongoing support through pasture improvement programs, cattle restocking, and production of small ruminants. Downside risks are associated with the expiration of the lease of major plantations, farm maintenance, and a decline in the participation of small-scale holders. Solid domestic demand for timber production offsets declines in exports in the first half of 2024. Increased demand for timber is driven mainly by returning seasonal workers. Forestry is projected to grow by 2.4 per cent in 2024 and 3.4 per cent in 2025. Similarly, household demand for fish continues to remain solid with growth forecast at 3.0 per cent in 2024 and 2025 respectively. Although retail prices per kg have increased in urban centers, demand still exceeds supply. A major challenge faced is the high cost of production due to the high price of fuel so often fresh fish is unaffordable for low-income earners.

The agriculture, fishing and forestry sectors growth remains sluggish compared to other sectors reflecting risks associated with labour shortage, exposure to natural disasters, and CBR spread. It is very important to derive policies that can enhance sustainable agriculture production.

Industry Sector

The Industry sector being the fastest growing sector in the economy is expected to continue to remain solid at 5.7 per cent in 2024 and 9.8 per cent in 2025. Growth is expected to be driven by the implementation of the 2024 capital project worth more than VT 14 billion, however, delays in implementation have caused a downward revision of growth in 2024 by 1.1 percentage points as previously forecasted in the first quarter of 2024.

Infrastructure projects have continued in both the private and public sectors. Public infrastructure projects have been the major driver of growth over the years in the construction sub-sector where growth is projected at 8.7 per cent in 2024 and 13.1 per cent in 2025. Ongoing major infrastructure projects driving growth in 2024 and 2025 include Vanuatu Road Rehabilitation Project Phase 2, Pentecost Road Phase 1, and Vanuatu Climate Resilient Transport of which private sector projects also contribute positively to growth estimate. In the private sector, a recent economic assessment in urban areas indicates an increasing number of building permits, signifying heightened activity within the construction subsector. In addition, more than VT 14 billion worth of Vanuatu Government Capital Projects budgeted to be implemented in 2024 has commenced but at a delayed pace. There a lot of factors associated with the delay such as the risk of overheating of the economy that could cause supply shocks, price and wage spiral, and capacity constraints. As such, project implementation is expected to spread over 3 years to mitigate such effects as well as address Government fiscal management to achieve a successful execution plan. Major challenges include lower-than-expected revenue collection in 2024 that hinders project implementation plans, poor weather conditions, lack of special skills workforce and inflation.

Growth forecasts for manufacturing in 2024 and 2025 were 2.2 per cent and 2.5 per cent respectively. There is huge potential for the manufacturing industry in Vanuatu to expand supported with ongoing development programs funded by the 11th EDF, Industry Development Fund (IDF), Industry Support Fund (ISF), Micro Small and Medium Enterprise (MSME) projects that target domestic production and exports. Though huge Government focus directed to manufacturing in recent years, local industries are still faced with skilled labour shortages, high prices of raw imported materials and labour drain to seasonal work programs. Growth in water and electricity is estimated at 2.0 per cent in 2024 and is projected to surge to 9.0 per cent in 2025. Lower than previously projected growth in 2024 simply reflects an expected slower demand for utility mainly in the tourism industry following the voluntary liquidation of the Air Vanuatu on May 2024. There is an increase demand on solar energy for household consumption mainly in rural areas with the trend extending to urban areas lately. The hydropower expansion in Luganville and Brenwei in Malekula aims to reduce tariff charges to consumers. However, respondents from recent surveys reveal consumers from both Lakatoro and Luganville are still faced with high electric costs. This could require the attention of the regulator or the lag effect of the recent increase in fuel price.

Services Sector

Growth in 2023 is expected to have been relatively strong, at 4.6 per cent, driven by faster growth within the accommodation and food services sector. This was driven by stronger-than-expected tourist arrivals data, which showed that total visitor arrivals for 2023 had reached 62.0 per cent of 2019 levels. Cruise ship visitor

numbers also performed well, while the Melanesian Arts and Cultural Festival (MACFEST) in July 2023 further boosted growth.

The outlook for the services sector has significantly worsened since the beginning of the year due to repeated delays and cancellations by Air Vanuatu and its eventual liquidation hampering the recovery of the tourism sector, with resorts reporting reduced turnover and squeezed margins. The final voluntary liquidation of Air Vanuatu in May 2024 pushed the services sector to a critical condition – while the main impacted sector is in the tourism-related services, mostly felt through the accommodation and food services sector. The repercussions of the liquidation will be felt elsewhere including wholesale, and information and communication.

Growth for 2024 in the services sector has been revised down to 3.3 per cent, down from the 4.6 per cent forecast in Q1. The main driver is accommodation and food services, where growth has been revised down to just 1.4 per cent for 2024, with the remaining growth driven exclusively by domestic demand such as nakamals, while tourist-driven subsectors see flat growth. This modest growth contrasts with the 20.4 per cent forecast in Q1. Within the accommodation and food sector, it is likely that the outer islands, especially Santo and Tanna will be the hardest hit since they have lost all air connectivity, while Port Vila is still accessible by other airlines.

Other sectors have also seen a downward revision from the first quarter due to the liquidation of Air Vanuatu, notably air transport (to -5.0 per cent, from 5.0 per cent), retail (to 3.0 per cent from 4.2 per cent), wholesale (to 1.5 per cent from 2.0 per cent) and telecommunication (to 2.8 per cent, from 5.0 per cent). These revisions mostly reflect the negative spillovers arising from the loss of tourism. Partially offsetting these falls, growth in the land and sea transport sector has been revised upwards to 6.5 per cent, from 6.0 per cent, due to an increase in shipping activities amidst a lack of domestic air connectivity.

While the loss of Air Vanuatu is undoubtedly negative for the services sector, it should be noted that there have been several more recent positive developments, such as the increase in the frequency of Virgin Australia flights to and from Brisbane and Fiji Airways flights to Nadi; as well as the quick resumption of Solomon's flights to Auckland and on the Brisbane-Santo route. Further, both Qantas and Jetstar have announced new routes to Brisbane and Sydney respectively, which should more than make up for the loss of Air Vanuatu's international capacity. This means that pending the resumption of domestic connectivity, there is potential for a strong end to the year following a troubled beginning. However, this will rely on the ability of the sector to bounce back, and initiatives to attract visitors will be crucial.

Elsewhere, growth within the finance and insurance sector is expected at a respectable 3.0 per cent, reflecting moderate domestic activity as well as the continued flow of remittances, although growth is slower than in 2023 as a result of the winding down of Covid-19 support schemes, as well as a slight downgrade due to the liquidation of Air Vanuatu affecting business customers. This could lead to higher insurance premiums and a decrease in investment in the finance sector. The real estate sector is expected to post strong growth of 7.2 per cent, due to strong demand for residential and commercial sales and rentals in urban areas, combined with new subdivisions. Public administration, the second largest subsector, is expected to grow at 1.8 per cent as Government and donor programs continue.

Looking ahead, overall growth in the services sector is expected to pick up slightly to 3.6 per cent in 2025, again downgraded compared to MEC 1. However, beneath these figures, a divergent picture emerges. Growth in the accommodation and food services sector has been revised up, as the sector is expected to bounce back following the resumption of flights, growing at 21.3 per cent up from the 19.0 per cent forecast in quarter 1. It should be noted however that in levels terms, output in the sector remains 14.0 per cent lower in 2025 than that which was forecast in quarter 1. This indicates that there will be some medium-term impact on the sector even after flights have resumed.

Offsetting this faster growth in accommodation and food services in 2025 is slower growth in the air transport sector, which is expected to grow at just 0.5 per cent, and indeed not recover to its 2023 level until 2029. This is because even though international flights are expected to resume, they will be operated solely by foreign airlines, thus most of the activity will not be included in Vanuatu's GDP unlike before.

Over the medium term, growth in the services sector is expected to average 3.2 per cent over 2026-2029. The key drivers are expected to be positive spill-over from the Capital Budget in sectors such as wholesale and professional services; the continued flow of remittances; and the eventual full recovery of the tourism sector.

The main risk to this outlook in the near term is that the impacts of Air Vanuatu's liquidation are more long-lasting. For example, anecdotal evidence suggests that some resorts in Santo laid off staff following the cancellation of flights, thus it may take longer for such businesses to recover. Over the latter years of the forecast period, the main risk is that the Capital Budget is delayed or scaled back. This would result in fewer positive spill overs to the aforementioned sectors. Meanwhile, the persistent challenges faced by the services sector remain – including labour shortages, lack of skilled labour, and the high cost of doing business.

Monetary Update

The Reserve Bank of Vanuatu (RBV) gradually tightened monetary policy in late 2023 and early 2024. Although the policy rate was kept at 2.25 per cent. In October 2023, the RBV doubled the volume of RBV notes to VT200 million per month. In January 2024, the commercial banks statutory reserves deposit ratio (SRD) was increased to 5.50 per cent from 5.25 per cent. Furthermore, the exchange rate regime has continued to help cushion the pass through of import prices to domestic inflation. The RBV is likely to pursue further monetary policy tightening in coming months to address the ongoing excess liquidity in the system.

In terms of monetary policy targets, inflation is projected to fall within the RBV's inflation target of 0-4 per cent during the June quarter 2024 and remain within target until the December quarter of 2024. Deceleration in inflation largely reflected the easing in international commodity prices, including food and energy prices, slowdown in inflation of Vanuatu's major trading partners, consistent supply of domestic food and further tightening of the RBV's monetary policy stance. Similarly, official foreign reserves have remained adequate above the minimum threshold of 4.0 months of import for the first half of the year. At the end of June 2024 official reserves were sufficient to finance 6.7 months of imports. High import financing, Government external debt payments and slowdown in inflows from donor funds and Government revenue from abroad pose significant concerns to the current level of foreign reserves. Official reserves were projected to cover 6.7 months of imports at the end of 2024.

Monetary conditions remain supportive to growth, as money supply (M2) rose by 3.3 per cent over the year to May 2024. M2 growth is projected at 3.2 per cent over the year to June 2024 and 4.3 per cent for the year to the end 2024. Money growth was attributed to domestic credit, in particularly the increase in net claims on

the Government and the rebound in private sector credit (PSC) from COVID levels. The upward trend in net claims on the central Government with the banking system, reflected the significant rise in domestic borrowing combined with the reduction in Government deposits held with both the commercial banks and the Reserve Bank. Domestic credit is projected to drive money growth until the end of the year, given the expectations that Government will continue to borrow domestically as the need to source additional financing becomes more evident due to continuous fiscal challenges. Growth in net foreign assets (NFA) was relatively weak in the first half of 2024 and is forecasted to slow until the end of the year. This downward movement reflected net outflows of foreign currencies via both the Reserve Bank and Commercial banks. Overall, the subdued growth in NFA continues to reflect tighter international financial conditions, higher import costs, increased Government external payments, and slowdown in Government inflows from abroad, in terms of revenue and donor financing.

In terms of money components, M2 growth was attributed to both narrow money (M1) and quasi-money. The upward trend in M1 implies that money flow into the economy to support economic activities has risen during the first half of the year relative to the same period in 2023. Growth in currency in circulation was more pronounced thus remain the main driver of M1. High level of currency in circulation continues to reflect high personal consumption associated with the rebound in private sector credit, Government spending, persistent inflows of remittances to individual and households from seasonal workers abroad and regular income from formal and informal employment. At the same time, residents have accumulated their interest-bearing deposits during the first half of 2024, relative to a year ago. This attributed to rise in quasi-money. Growth in M1 is projected to remain steady and will drive money growth until the end of the year.

In terms of financial stability, commercial banks in Vanuatu continue to be profitable, maintain high level of liquidity and having adequate capital during the first half of 2024. High level of non-performing loans (NPLs) and corresponding banking relationship are significant concerns. Efforts to address high NPLs are on-going with some key components being outside the commercial banks control such as on-going delay in registration of mortgages as well as court foreclose processes. Though majority of the banking sector loan book are performing loans. Commercial banks continue to maintain adequate levels of provisioning against any expected losses. Overall, financial stability is projected to be maintain in the short to medium term.

Inflation

Vanuatu's year on year headline inflation rate increased by 5.3 per cent in the March quarter 2024, compared to 7.0 per cent recorded over the December quarter 2023, and lower compared to 11.6 per cent recorded over the same quarter of 2023. Prices have eased reflecting high peaks recorded in 2023, the lagged effects of reduction in international commodity prices, adequate domestic food supplies and compulsory use of scale in local markets amidst minimal domestic supply shocks. The underlying inflation rate rose by 3.2 per cent over the March quarter relative to 8.4 per cent over the December quarter 2023, reflecting eases in domestic prices of goods and services; excluding food and energy prices. Though the underlying inflation rate rose over the quarter, it has nearly reached its normal trend of 2 per cent recorded over the pre-pandemic period (2018-2019).

The main categories contributing to the year-on-year inflation were food, drinks and tobacco, clothing and footwear, and household supplies. Accordingly, increases were driven by a notable increase in prices of fruits and vegetables, dairy and related products, meat and seafood, beer, spirits and tobacco, clothing and home appliances. These all portray the spending patterns of the growing population on goods items in contrary to services which recorded reductions; in particular housing utilities, communication and transport related prices. Over the second quarter period, prices are estimated to remain low compared to previous year's level with

temporary spillover effects of surge in air fare prices which are estimated to have impact on overall transport prices over the reviewed period.

In terms of outlook, the year-ended headline inflation is projected to reach the RBV internal target of 0-4 per cent in mid-2024 and remain in target throughout the rest of 2024; due to both international and domestic factors. International factors that are expected to slow down prices includes, fall in global demand that is expected to weigh on overall prices. In addition, Vanuatu's main trading partners' headline inflation is forecasted to further drop this year relative to the previous year. Referring to domestic factors, adequate food supplies and lower overall demand in particularly relating to the tourism sector, expected over the rest of the year will drive down overall prices. In addition, domestic fuel prices have been observed to have been falling over the first half of the year and expected to remain volatile in line with international crude oil prices. Upside risks on overall outlook remains, including; the intensification of the Middle-East war and OPEC oil production cuts, climatic conditions such as the dry season from May to October and any potential cyclones developing towards the end of year. The RBV remains committed to further tighten its policy tools to control level of liquidity and overall inflation.

Balance of payments

Vanuatu's current account balance (CAB) is estimated to have improved by 78 per cent in 2023 relative to 2022. Main developments included improved services receipts in particular tourism receipts and inward receipts from labour employed abroad; in particular the labour mobility program. Imports of goods further worsened reflecting pick up in domestic activities and increased prices abroad. The current account balance is estimated to ease slightly over the first six months of 2024 due to expected reductions in primary income balance and trade in goods balance which is expected to offset reductions in services balance and secondary income balances.

Vanuatu's official foreign reserves registered a slower growth over the first half of 2024 compared to the same period of 2023. This largely reflected increased demand for private import financing, public external debt financing and moderate increase in income from investments placed offshore. Similarly, grants from abroad continues to grow on a moderate pace, for recovery and development purposes. Overall, official reserves are sufficient to cover for approximately 6.7 months of import cover at the end of June 2024.

In terms of outlook, overall current account balance is expected to worsen in 2024 compared to 2023, underpinned mainly by high import payments with moderate increases in remittances and tourism receipts from abroad. Official reserves are expected to remain within RBV's target of 4 months of import cover at the end of 2024, as the Bank continues to monitor both domestic and international developments.

Movements of the Vatu vis-à-vis the major foreign trading currencies reflect developments in the economic and financial conditions of Vanuatu's major trading partners. Over the period of January to June 2024, the Vatu appreciated against the AUD and NZD by 0.8 per cent and 0.9 per cent, while it depreciated against the USD and EURO by 1.2 per cent and 0.8 per cent in nominal terms, respectively. The RBV continues to pursue a stable nominal effective exchange rate in support of the current adequate levels of foreign reserves in the Banking system.

D. Budget Management

The Government will continue to raise additional revenue in 2025 through effective tax administration compliance and enforcement of both new and existing taxes to meets its expenditure programs and activities and at the same time manage its debt. On this note, the Government will continue to ensure that a balance

budget is presented and approved by Parliament this year for implementation next year. However, on occasions where the Government continues to face tight cash flow position next year then the Government will continue to implement both revenue and expenditure control measures next year.

In addition, the Government continues to acknowledge its development partners and is looking forward to their financial assistance as well next year to meet Government budget policy priority outcomes.

E. Government Debt and Borrowing

Due to the significant decrease in revenue from the citizenship program and increasing pressure on expenditures, there is an urgent need to proactively manage the primary fiscal balance. To effectively tackle these challenges, it is essential to strengthen our Medium-Term Debt Management Strategy.

The current total debt is VT 60.0 billion, which is 45.0 per cent of the GDP. Out of this, VT 41.0 billion is external debt, accounting for 31.0 per cent of the GDP, while VT 16.6 billion is domestic debt, representing 12.6 per cent of the GDP. In addition, the Government guarantees stock stood at VT 2.0 billion. It is crucial to carefully manage public debt to ensure long-term fiscal sustainability.

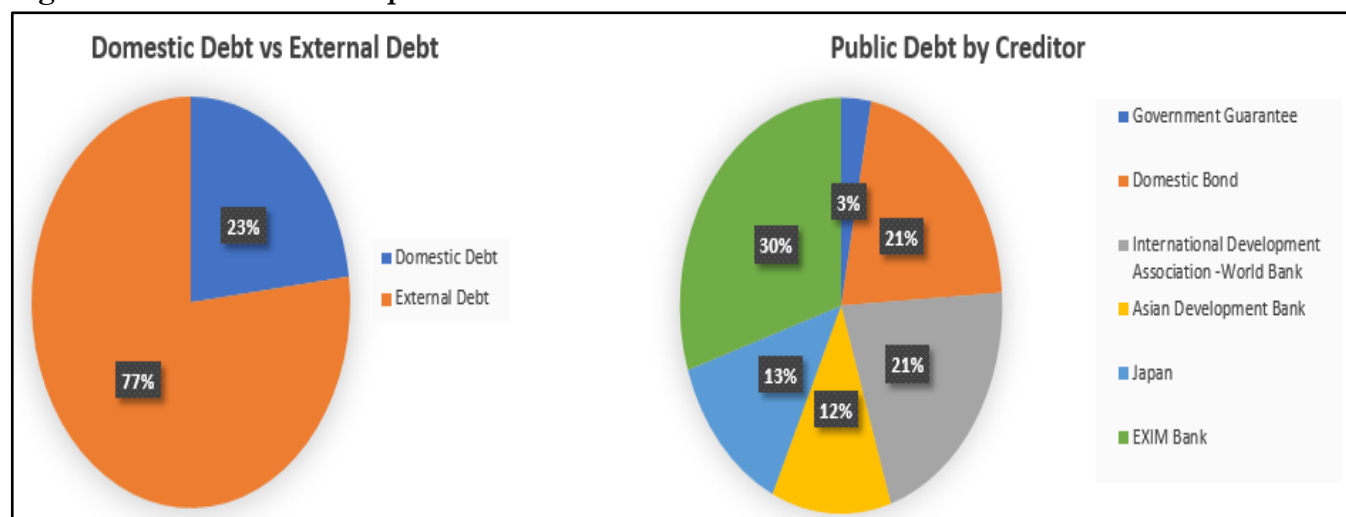
The government's strategy regarding borrowing from external creditors is twofold. Firstly, it will continue borrowing with a 35.0 per cent grant element, ensuring that a substantial portion of funds comes in the form of grants or highly concessional financing to minimize the financial burden on future generations. Secondly, the Government will only borrow for capital projects that promise long-term benefits and economic growth, focusing on productive investments that generate returns and bolster infrastructure. To finance next year's budget through domestic bonds, the Government plans to roll over all maturing bonds and limit new bond issuance to VT 2.0 billion, maintaining fiscal responsibility. To strengthen public debt management, a specialized Debt Management Committee will oversee all aspects of borrowing, repayment, and risk management. Additionally, the Government will develop a comprehensive Public Debt Management Regulation to ensure clear guidelines, transparency, and accountability in managing the country's debt.

Table 16. Statement of Debt Stock & Composition¹⁶

Statement of Debt Stock, showing the Government's Stock of Debt in Millions of Vanuatu VATU								
	2021 Actuals	2022 Actuals	2023 Actuals	2024 As of June	2025 Forecast	2026 Forecast	2027 Forecast	2028 Forecast
External Loan	39,789.1	40,618.2	40,788.4	40,876.4	40,931.1	43,128.8	43,915.9	44,117.8
Domestic Bond	8,179.2	10,523.2	12,709.8	16,638.4	18,138.4	19,638.4	21,138.4	22,638.4
Government Guarantees	1,900.4	1,904.4	1,948.5	2,020.9	45.8	39.0	32.1	25.2
Total Public Debt	49,868.6	53,045.8	55,446.8	59,535.8	59,115.4	62,806.2	65,086.4	66,781.5
<i>Total Debt-To-GDP Ratio</i>	48%	49%	48%	45%	42%	41%	40%	38%
<i>External Debt-To-GDP Ratio</i>	38%	38%	35%	31%	29%	28%	27%	25%
<i>Domestic Debt-To-GDP Ratio</i>	8%	10%	11%	13%	13%	13%	13%	13%

Source: Ministry of Finance and Economic Management

Figure 10: Public Debt Composition



Source: Ministry of Finance and Economic Management

¹⁶ These figures represent end of year estimates and will vary due to exchange rate fluctuations and actual end of year disbursement values.

The MTDS for 2023 to 2026 establishes debt management targets based on Vanuatu's current debt portfolio and management objectives. The Government will prioritize domestic financing, long-term maturity of securities, and prepayment of loans with less than 35.0 per cent grant element. Efforts will also focus on developing the domestic debt market to enhance depth, liquidity, and efficiency while expanding the investor base to reduce dependency on a few investors. These targets aim to minimize costs and risks, providing measurable guidelines for monitoring.

Table 17. Key Targets 2023-2026

	Current (2025)	Target
Domestic debt ATM (years)	6.7	Above 10 years
Debt refixing in one year (%)	8.7	Below 6 percent
FX debt as a percentage of total debt	71	below 70 percent
Total Debt as a percentage of Nominal GDP	41.9	Below 60 percent
External Debt as a percentage of Nominal GDP	28.1	Below 40 percent
Domestic Debt as a Percentage of Nominal GDP	13.8	Below 20 percent

Source: Ministry of Finance and Economic Management

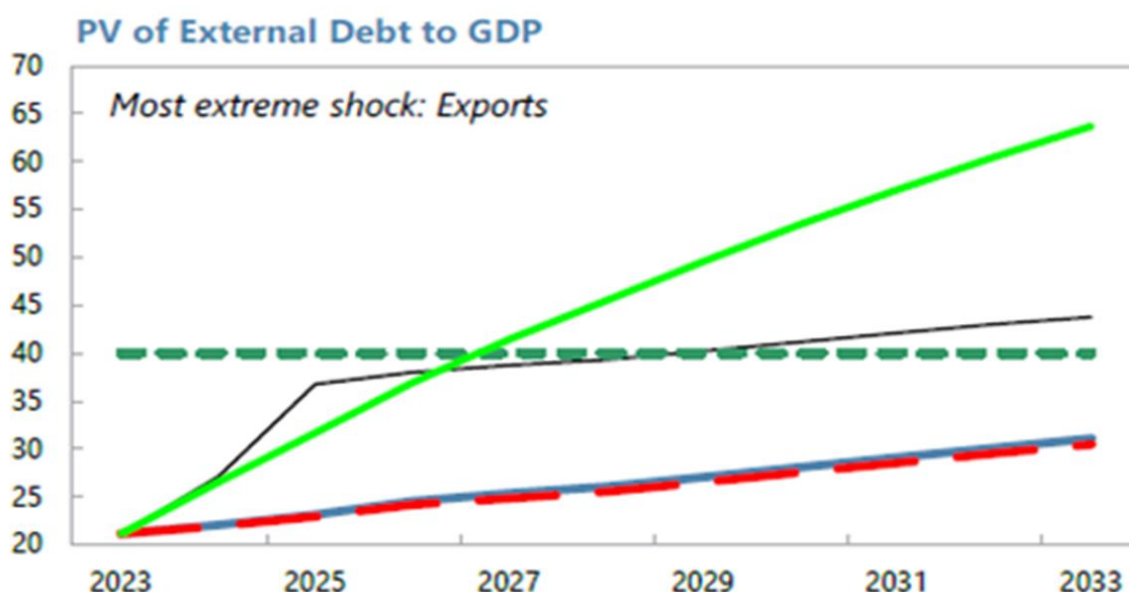
Vanuatu's Debt - to - GDP in Net Present Value

Vanuatu has been the only country regionally with a moderate debt distress rating for a while now and is still recovering from three cyclones which stroke last year and compounding with Air Vanuatu's voluntary liquidation. The moderate rate of debt distress rating may again be factored by the IMF to increase to a high debt distress rating. The rating can be short-lived pending how quickly the country can recover and in an event that Air Vanuatu's liquidation saga ends well this year with a better scenario than the one where the Government is expected to assume all Air Vanuatu's outstanding. Vanuatu continues its debt service payments for both domestic and external creditors. It is one of the very few countries in the world that has a program of debt prepayments every year to manage its debt stock (both domestic and external) and this year will see a break from this as it manages more urgent demands.

If the IMF increases Vanuatu's debt distress rating, the country will halt all borrowing and rely solely on grants for project financing. The World Bank's International Development Assistance and the Asian Development Bank's Country Program will convert their 50/50 grant-credit arrangements into full 100.0 per cent grants, each worth about USD 74.0 million. These funding packages, renewed every five years, will undergo consultations on priority areas later this year or early next year. Currently, Vanuatu also uses debt financing for infrastructure projects with positive economic returns, although greater scrutiny is being applied to new projects. The Government is committed to prudent monitoring of debt costs and risks to ensure medium to long-term debt sustainability.

Furthermore, Figure 11 illustrates the present value (PV) of the total external debt baseline (blue) to remain for the near term below the 40 per cent threshold (green dotted line), but the space at which to borrow is now greatly affected by the rise in the baseline in the current trajectory to intersect the threshold in the year 2027. The light green line indicates the alternative effect to the baseline (blue) if Vanuatu was to lose completely the Economic Citizenship Program (ECP). Last year's publications of the UK visa-free suspension with increased scrutiny of our Citizenship program abroad have affected the number of new citizenship applications. The granularity in the risk rating indicates limited space to absorb shocks, which underscores the importance of creating fiscal space to accommodate future unprecedented occurrences.

Figure 11: Forecasts of Vanuatu's Debt-to-GDP ratio in Net Present Value terms, under different conditions



Source: 2023 IMF, Ministry of Finance and Economic Management calculations

Again, despite the moderate ranking in debt distress, Vanuatu will need to continue to dialogue with all its development and multilateral partners as it seeks to path new revenue alternatives both domestically and internationally. Vanuatu continues to be ranked first as the country in the world which is the most vulnerable country to natural disasters. As such, Vanuatu must not only invest in public resilient infrastructure projects but must also be bold in seeking new revenue and financing options including from the domestic market.

F. Revenue and Taxes

If there is one crucial area that requires greater attention from the government, it will be a need to expand its domestic revenue base to meet the ever-increasing public expenditure demand, as the current Government continues to uphold this as one of its major priorities reflected within the revised NSDP for the next 6 years 2025 - 2030.

During the first six months of this financial year 2024, we have witnessed a mixed performance in the collection of revenue from all Government current revenue initiatives. Some major revenue policy initiatives such as VAT, those from the Fisheries Sector, Department of Health, Ministry of Youth Development and Training, and Ministry of Internal Affairs have been on track in terms of revenue collections against budget the forecast.

Value Added Tax (VAT), Excise Tax and other revenue-collecting items have performed well in the past 6 months compared to previous years. While there are high expectations in VAT collections for the financial year 2024, the Ministry of Finance and Economic Management is reminded to ensure compliance efforts are strengthened and supported to ensure the results are achieved, without which the government will likely fall short of its recurrent revenue target for this financial year 2024.

On the other hand, a few other main revenue initiatives have performed below expectation such as those within the International Trade and Transaction, Ports and Harbour, and Department of Lands.

One of the key revenue initiatives that has fared less than anticipated is revenue collection from the citizenship program, which has recently received attention due to its continued declining trend in collections. It is becoming clear that the citizenship program's revenue collections will not be the same as they were in the past years. Revenue from the Citizenship Program has continued to decline in both the 2023 and 2024 financial years. Authorities are currently reviewing the policies that govern these initiatives and recommending adjustments that will help the program survive in the future.

Ongoing Revenue Policy Reforms

The Minister responsible for Finance and Economic Management has now confirmed appointments for its Revenue Governance Committee and a Revenue Technical Committee to assist the Government in its effort to expand its domestic revenue base. These Committees are working with the respective revenue-raising Government ministries to identify potential revenue initiatives that can be implemented to boost its revenue base. Ministries are also encouraged to establish their own Revenue Governance Committees to ensure ownership and successful implementation of new revenue initiatives.

Vanuatu Commitments with OECD Global Forum and EU Code of Conduct

Vanuatu continues its efforts to meet international standards of good tax practices. This includes the ones set by the OECD's Global Forum on Transparency and Exchange of Information for Tax purposes (Global Forum) and the European Union's Code of Conduct Group (EU CoCG). Vanuatu is making ongoing progress in its obligations with the OECD Global Forum which eventually resulted in our approval to undergo an onsite review in Q2 or Q3 of financial year 2025 for Exchange of Information on Request (EOIR). Vanuatu also expects a peer review in Q1 or Q2 of 2025 to assess the effectiveness of the implementation of the Automatic Exchange of Information (AEOI) standards. Officers from the Tax Policy Unit, along with the Vanuatu Competent Authority (VCA) are currently working on ensuring all requirements are in place before the review is launched.

Vanuatu is on the EU List of Non-Cooperative Jurisdictions for Tax Purposes due to its facilitation of offshore structures and arrangements that generate profits without real economic substance. Vanuatu has introduced two bills that are pending parliamentary approval. These are:

- Bill for the Resident Entity (Economic Substance) Act and Bill for the Resident Entity (Consequential Amendments) Act.

These Bills will require resident entities with a high risk of international tax evasion to demonstrate economic substance in Vanuatu. Before Vanuatu may be removed from the EU Black Lists, these bills must be approved by Parliament and published in the Gazette before Vanuatu responds to EU to provide their review on the requirement. The next meeting of the EU Council to update the list of non-compliant jurisdictions is in March 2025, this implies that if the Economic Substance Bills are passed before then, Vanuatu should be removed from the list of non-cooperative countries during this meeting.

Box 1: Ongoing Policies Interventions

1. The Tax Administration Act

The new Tax Administration Act (TAA) which came into force on 1st January 2020 is intended to strengthen efforts in the collection and administration of taxes, strengthen compliance, and oblige taxpayers to lodge timely payments and avoid penalties. Unfortunately, its full implementation has been severely challenged by the COVID-19 pandemic throughout 2022 but better outcomes are anticipated in 2023, 2024 and beyond. Staffing remains a critical need for DCIR. More qualified staff needs to be recruited to boost revenue compliance.

Use of Technology to strengthen compliance and Administrations of Tax revenue

The Tax Administration Act established a service-based infrastructure that facilitates electronic payments and filings, as well as improved customs procedures, to assist taxpayers in fulfilling their obligations. There is still uncertainty, nonetheless, over the current systems' ability to assist the Government in fully capturing all necessary state revenue. It is consequently recommended that DCIR looks into other methods to reinforce their efforts to promote revenue compliance and administration. The Government has set aside around VT 300 million for the purchase of a cutting-edge VAT monitoring system, and work is currently underway.

2. Review and strengthening of the collection of Non-Tax Revenue

The Government through the interventions from the Revenue Policy Unit and line departments continues its efforts to review existing fees and charges collected by each of its agencies and finds ways to strengthen areas that are deemed as lacking in ensuring that revenue administration and compliance are active. A Non-Tax Revenue review is planned to be carried out soon in collaboration with all line ministries who collect revenue on behalf of the government.

Outstanding Revenue

The concerns surrounding unresolved revenue payments within line ministries and agencies will remain until all outstanding payments are cleared. Adequate policies must be put in place to control the accumulation of unpaid tax dues. Current outstanding non-tax revenue stands at VT 1.7 billion. Outstanding VAT revenue is likely to be more than VT 4.0 billion despite new regulations in the Tax Administration Act concerning late payments and related penalties.

The main reasons for the Government not yet fully addressing its outstanding revenue include:

- I. A lot of the current outstanding debts have exceeded their status of limitation validity;
- II. Accumulation of penalties and lack of stringent compliance efforts from both the Departments as well as taxpayers have contributed to the ongoing accumulation of outstanding payments; and
- III. Companies have closed down or liquidated and company owners may have already left the country or died with taxes owed still being recorded as outstanding.

The National Write-off Committee is now inactive, but the Ministry intends to revive it so that it may continue working with other authorities to handle the backlog of outstanding revenue. This can ensure an in-depth

assessment of the outstanding revenue balances that will better inform decisions to write-off as necessary so that outstanding balances represent a true and fair view of the government's receivables.

The implementation of all approved Government expenditure programs and activities for the budget year depends on revenue collection. The Government will continue to boost its revenue collection by strengthening the administration, compliance, and enforcement of existing tax laws as well as newly introduced fees and charges to boost revenue collection efforts.

G. Expenditure Programme and Policies

The 2025 Budget Appropriation will be financed by existing and new revenue-generating mechanisms, along with Government bonds and receipts from major development partners. In 2025, the allocation of the Government's and donor partners' financial resources will be in line with the four Governments' budget policy priorities in this budget policy statement. Therefore, the Government will continue to adopt sound financial management and fiscal discipline to ensure that there is sufficient cash to implement the Government's expenditure program and policies as well as to achieve its expenditure priority outcomes in 2025.

4. New Policy Proposals (NPPs)

The allocation of the 2025 fiscal space towards NPPs will fall in line with the four budget policy priority outcomes identified in 3.A. The NPPs will be considered only if they have been approved by the head of the agency and submitted in the Government financial management systems with supporting documents.

In addition, NPPs must be:

- able to be accommodated within the overall aggregated fiscal envelope;
- accompanied by well-researched and detailed proposals to reinforce the Government's key policies, programs, and activities;
- within the capacity of the Ministry to implement over the suggested time frame;
- able to expand and develop the economic capacity and growth rate of the country;
- financially sustainable (if the activity is to become ongoing activity); and
- within the capacity to generate greater revenue potential to the Government.

5. Economic and Fiscal Targets for 2025

The following economic, financial and fiscal policies, objectives, and targets are crucial for financial resource allocation and at the same time for achieving a balanced budget in 2025.

Table 18. Economic and Fiscal Policy Targets

Economic and Fiscal Policy Targets	Long-term Economic and Fiscal policy objectives
Budget balance Balanced Budget	Recurrent balance is positive over the medium-term.
Revenue Recurrent revenue is forecast to be at least 30.0 per cent of GDP	Revenue are consistent with the balanced budget objective
Expenditure Recurrent expenditure is forecast to be at least 30.0 per cent of GDP	Expenditures are consistent with the balanced budget objective.
Debt Ensure that the Net Present Value (NPV) of external debt to GDP is lower than the threshold of 40.0 per cent of GDP.	The annual Nominal Public and Publicly Guaranteed Debt-to-GDP ratio remains below 60 per cent associated with disaster and climate change-related risks.
Economic Growth Forecast Real GDP Growth rate of 3.8 per cent	The annual average economic growth rate is higher than the population growth rate.
Inflation Inflation forecast to be within its target range of 0-4 per cent.	The annual inflation rate remains below 4.0 per cent.

6. Conclusion

This Budget Policy statement is finalised and presented in line with section 9, 10 and 22 of the Public Finance and Economic Management Act [CAP 244] and it will be used as a basic guiding principle to allocate and finalise the 2025 Budget Appropriation that will be appropriated in Parliament before the end of this financial year. On this note, the 2025 Budget Appropriation will be financed by both the Government and its development partners to meet the Government's expenditure programs, policy objectives and targets that were outlined in this budget policy statement as well as the National Sustainable Development Plan (NSDP) – the Peoples' Plan 2030 to enhanced economic growth, service delivery and wellbeing for all the people in Vanuatu.

6 Annex 1: Details of Supplementary Appropriations within Budget 2024

Table 19: Supplementary Appropriation of additional amounts in 2024 under section 34 and 34C of the Public Finance and Economic Management ACT [CAP 244], in VT

Agency	Description	Cost Centre, Program and Activity	Amount
President's Office	Presidential Palace Water Connection and Outstanding Medical Treatment Cost	2 - 01AA - CAAA - OVER	40,867,488
President's Office TOTAL			40,867,488
Parliament	Health Committee and Climate Change Committee	2 - 02AA - CBAA - OVER	30,000,000
Parliament Total			30,000,000
Ombudsman	Additional Operation Budget for Ombudsman	2 - 03AA - CCAA - OVER	10,000,000
Ombudsman TOTAL			10,000,000
Malvatumauri	Consultation allowance for 10 new members of the council	2- 04A1 - CDA1 - OVER	13,450,000
Malvatumauri TOTAL			13,450,000
Citizenship Commission	Staff Recruitment	2- 06AA -CKAA - PAYR	11,000,000
Citizenship Total			11,000,000
State Law Office	Operations for National Coordinating Committee	2- 11AB - CFAA -OVER	7,000,000
State Law Office Total			7,000,000
Ministry of Prime Minister	GRT review team Office space rental	2 - 56AA - MPDE - OVER	4,572,000
	Support for National ICT Day	4 - 57AA - MPEA - OVER	1,097,000
	Governance for Growth Phase 4	4 - 09AA - MCBA - OVER	153,742,732
	Starlink subscriptions to support communications through cyclone season - TC Lola	4-57AA-MPEA-OVER	9,900,000
Ministry of Prime Minister Total			169,311,732
Ministry of Agriculture, Livestock, Forestry, Fisheries, and Biosecurity	Establishment of Industrial Hemp and Medical Cannabis Program	2 - 71AA - MAHA - OVER	20,000,000
	PHAMA Plus and Vanuatu Primary Producers Authority (VAN05): Facilitating widespread adoption of solar drying techniques for Cacao and Kava	4 - 47CD - MACA - OVER	1,453,369
	Enhancing Livestock Production and Health Project	4 - 89AA - MAHA - OVER	10,133,912
	Building Rural Women's Leadership in Food Security and Disaster Management	4-47CE-MACD-OVER	15,000,000

	MFAT Early Recovery to Agriculture & Livestock	4-89AA-MAHA-OVER	162,814,875
Ministry of Agriculture, Livestock, Forestry, Fisheries, and Biosecurity Total			209,402,156
Ministry of Education and Training	Scholarship Supplementary request for 2024	2 - 88DA - MEJE - OVER	160,000,000
	Science Lab Project for Baldwin Lonsdale Memorial School	4 - 53AB - MEIA - OVER	45,354,253
	Vanuatu Global Partnership for Education (GPE) Program -ESPIG	4 - 54AD - MEIA - OVER	56,053,390
	Support for Education response and early recovery - TC Lola	4-53AB-MECA-OVER	85,000,000
	Food Security activities and skills Training delivered through Vanuatu Skills Partnership	4-53AB-MECA-OVER	39,000,000
	Education infrastructure - Building new climate resilient classrooms - TC Lola	4-53AB-MECA-OVER	79,000,000
Ministry of Education and Training Total			464,407,643
Ministry of Finance and Economic Management	Operations Cost for three new sections namely the Design & Monitoring Unit, the Vanuatu Competent Authority and the Gambling Unit.	2 - 3620 MFBB OVER;	2,000,000
		2 - 3621 - MFBB - OVER;	2,000,000
		2 - 3622 - MFBB - OVER	2,000,000
	Additional operation for CTB office	2 - 3304 - MFCC - OVER	11,000,000
	Organizational review of Department of Customs and Revenue Services	2 - 3612 - MFBB - PAYR	10,000,000
	Delivering trusted statistics for better data use and policy impact in Vanuatu	4 -1604 - MFDA - OVER	2,000,000
	Melanesian Well-being Indicators Final Phase	4 -1604 - MFDA - OVER	8,000,000
	2023 - 2024 TC Lola Financial Emergency	2 - 3518 - MFKB - OVER	1,461,289,155
	2023 Tanna Ashfall	2 - 3518 - MFKB - OVER	94,800,500
Ministry of Finance and Economic Management Total			1,593,089,655
Ministry of Foreign Affairs, International Cooperation and External Trade	Payroll Budget for Vanuatu Government Representation in the International Maritime Organization	2-41AB-MOAA-PAYR	18,000,000
Ministry of Foreign Affairs, International Cooperation and External Trade Total			18,000,000

Ministry of Internal Affairs	VPF Housing Allowance	2 - 2602 - MIDA - PAYR	135,702,037
	Vanuatu Police Central Station	4 - 2602 - MIDA - OVER	116,000,000
	Printing and Supply of 70,000 Electronic Passport Booklets	2-4501-MIDG-OVER	490,000,967
	Expansion of Voter Registry and National ID card and enhancing the electoral participation of youth and women	4-2802-MIEB-OVER	19,000,000
	Ministry of Internal Affairs Total		760,703,004
Ministry of Lands, Mines and Water Resources	Replacement of Vehicles under Lands and Survey (Port Vila)	2 - 6601 - MLEB - OVER	10,000,000
	Lease Awareness In TORBA, PENAMA and SANMA	2 - 6601 - MLEC - OVER	3,000,000
	Provincial Area Administrators Training	2 - 6901 - MLFA OVER	2,000,000
	Gravity-fed Water Supply for Big Bay Region, Santo	4-6903-MLGA-OVER	10,000,000
	WASH Sector and Cluster Strengthening Support	4-6904-MLGA-OVER	5,000,000
	Land Registry File Restoration	2-6701-MLEF-OVER	14,000,000
	Ministry of Lands, Mines and Water Resources Total		44,000,000
Ministry of Health	VCH Repairment Plan	2 - 61RB - MHCA - OVER	50,000,000
	New and Existing Vaccines Supplies for Effective Country Coverage	2 - 61VX - MHCD - OVER	30,000,000
	National TB Review Meeting	4-61UH-MHCB-OVER	1,771,000
	Notifiable Disease Surveillance Electronic Notification System Pilot Study	4-61UM-MHCA-OVER	1,695,498
	Hospital Master Plan Development Phase 1	4-61UA-MHBB-OVER	2,946,100
	WASH and Infection Prevention & Control (IPC)	4-61UK-MHCA-OVER	10,000,000
	WASH and Infection Prevention & Control (IPC)	4-61UK-MHCA-OVER	6,000,000
	Shefa NTD	4-61UL-MHCC-OVER	10,000,000
	Sanma NTD	4-61UL-MHCC-OVER	10,000,000
	Emergency and Disaster Response	4 - 60BA - MHBB - OVER	3,282,000
	Vanuatu Health Research Symposium	4 - 61VA - MHCA -OVER	641,107
	Sustaining Universal Coverage of LLINS in Vanuatu	4 - 61UC - MHCA - OVER	10,000,000
	Mapping Key Characteristics of Aedes vectors in Vanuatu	4 - 61QA - MHCA - OVER	2,990,000

	One Health- Leptospirosis Workshop, Training and Field Sampling	4 - 61QA - MHCA - OVER	1,729,000
	Renovating the Intensive Care Unit (ICU) at VCH	4 - 61QA - MHCA - OVER	20,414,400
	Vila Central Hospital Sewage Treatment Plant Upgrade	2-61RB- MHCA-OVER	44,286,000
	reconstruction of Health centres and Dispensaries in Pentecost	2-61VH- MHBB-OVER	15,000,000
	Support for health response and early recovery activities including replacing medical equipment	4-61UA-MHCC-OVER	16,000,000
	Repair / rebuilding health facilities	4-61UA-MHCC-OVER	47,000,000
Ministry of Health Total			283,755,105
Ministry of Infrastructure and Public utilities	Out of Court Settlement Payment CC 736 of 2023	2-78A1 - MUFC - OVER	369,385,300
	Repair of roads and bridges in cyclones affected areas	4-78A2-MUFA-OVER	39,000,000
Ministry of Infrastructure and Public utilities Total			408,385,300
Ministry of Justice and Social Welfare	Universal Periodical Review (UPR)	2 - 30AE - MJAB - OVER	3,500,000
	Correctional Officers' Uniform	4 - 2501 - MJCA - OVER	10,500,000
	Vanuatu Corrections Farm Vehicles	4 - 2501 - MJCA - OVER	9,000,000
	Kitchen for New Tanna Nakauyen Correctional Centre & Probation Forum and Community Awareness	4-2505-MJCA-OVER	3,160,432
Ministry of Justice and Social Welfare Total			26,160,432
Ministry of Climate Change Adaptation, Geohazards, Meteorology and Energy	Hosting of the 7th Pacific Meteorological Council Meeting	2 - 75DA - MGCA -OVER	8,000,000
	Climate Watch Vanuatu - Building Community Climate Resilience	4 - 75DF - MGCA - OVER	4,885,678
	Vanuatu Green Energy Transformation (VGET)	4 - 98AA - MGHA - OVER	13,537,395
	Lolowai Battery Energy Storage System BranTV	4 - 6301 - MGDA - OVER	23,412,515
	Science and Technology Research Partnership for Sustainable Development	4 - 75DA - MGC - OVER	9,585,156
	National Adaptation Plan	4 - 98BA - MGHA - OVER	29,270,462
	Low Emissions Climate Resilient Development Program	4 - 6301 - MGDA - OVER	8,484,380
	New Zealand Flexible Finance - Assistance for Climate Change projects	2-98AA-MGHA-OVER	579,667,472

	WMO Women Leadership Workshop (WILS 2.0), Media Mana Class and the 2 national Training and workshops for Impact-based forecast (IBF)	4-75DC-MGCA-OVER	6,578,360
	Awareness-raising events for the International Day for Risk Reduction, including volcanic eruption simulation exercise	4-1701-MGFA-OVER	907,676
	National L&D Fund	4-98AA-MGHA-OVER	50,000,000
	Humanitarian Response assistance from Government of Malaysia	4-1701-MGFA-OVER	5,981,778
	Humanitarian Response assistance from Government of Solomon Islands	4-1701-MGFA-OVER	13,180,800
	Humanitarian Response assistance from Ba'hai Assembly Vanuatu	4-1701-MGFA-OVER	300,000
	Humanitarian Response assistance from Government of Philippines	4-1701-MGFA-OVER	1,784,329
	Humanitarian Response assistance from Red Cross	4-1701-MGFA-OVER	11,731,649
	Humanitarian Response from Government of Cook Islands	4-1701-MGFA-OVER	1,188,665
	Humanitarian Response	4-1701-MGFA-OVER	1,206,093
	Humanitarian Response - Gov of Australia	4-1701-MGFA-OVER	63,615,302
	Humanitarian Response - EU	4-1701-MGFA-OVER	25,000,000
	Humanitarian response - Vanuatu Red Cross Society, through the IFRC	4-1701-MGFA-OVER	100,000,000
Ministry of Climate Change Adaptation, Geohazards, Meteorology and Energy Total			958,317,710
Total for ALL Agencies			5,047,850,225

Source: Ministry of Finance and Economic Managements